

Niva Bupa Health (NIVABUPA)

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Call: Nov 2024

Niva Bupa Health Insurance Company Limited
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November 29, 2024

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To,
National Stock Exchange of India Limited
Exchange Plaza, C-1, Block G
Bandra Kurla Complex, Bandra (E), Mumbai – 400 051 BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai – 400 001

Symbol: NIVABUPA
Scrip Code: 544286

Sub: Transcript of the earnings call conducted on November 25, 2024

Dear Sir/Madam,

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 read with Part A of Schedule III, please find enclosed transcript of the earnings call conducted on November 25, 2024.

The same is also hosted on the website of the Company at <https://transactions.nivabupa.com/pages/investor-relations.aspx>.

For Niva Bupa Health Insurance Company Limited

Rajat Sharma
Company Secretary & Compliance Officer
Membership No. : F7069

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“Niva Bupa Health Insurance Company Limited
Q2 and H1 FY25 Earnings Conference Call ”
November 25, 2024

MANAGEMENT : MR. KRISHNAN RAMACHANDRAN – MANAGING
DIRECTOR AND CHIEF EXECUTIVE OFFICER – NIVA
BUPA HEALTH INSURANCE COMPANY LIMITED
MR. VISHWANATH MAHENDRA – CHIEF FINANCIAL
OFFICER – NIVA BUPA HEALTH INSURANCE COMPANY
LIMITED
MR. ANKUR KHARBANDA – CHIEF DISTRIBUTION
OFFICER – NIVA BUPA HEALTH INSURANCE COMPANY
LIMITED
MR. BHABATOSH MISHRA – DIRECTOR -CLAIMS ,
UNDERWRITING AND PRODUCT – NIVA BUPA HEALTH
INSURANCE COMPANY LIMITED
MR. DHIRESH RUSTOGI – CHIEF TECHNOLOGY
OFFICER – NIVA BUPA HEALTH INSURANCE COMPANY
LIMITED

MR. VIKAS JAIN – DEPUTY CHIEF FINANCIAL OFFICER
AND CHIEF INVESTMENT OFFICER – NIVA BUPA
HEALTH INSURANCE COMPANY LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the Niva Bupa Health Insurance Q2 and H1 FY25 Earnings Conference Call. This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on the date of this call. These statements are not the guarantee of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing star and then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Krishnan Ramachandran, MD and CEO. Thank you and over to you, sir.

Krishnan Ramachandran: Thank you very much. A very warm welcome on behalf of the entire management team of Niva Bupa to each and every one of you for making time to be with us today. With me in the room are Vishwanath, our CFO, Ankur, our Chief Distribution Officer, Dr. Bhabatosh, Director for Underwriting Product and Claims, Dhires, our Chief Technology Officer and Vikas, our Deputy CFO and CIO. Thank you again for making time for us today.

As a team, this is our first earnings call after we got listed and I just wanted to convey that we are very, very excited about the health insurance opportunity in India. As Niva Bupa, we do feel we make a significant positive contribution to the economic development of the country by making sure that we provide affordable and high quality health insurance solutions to the citizens of our country.

Indeed, our purpose is to give every Indian the confidence to access the best healthcare. What we'd like to do over the next 15 minutes is to give you an overview since this is the first time we have the opportunity to address you, an overview of the Company's strategy as well as, of course, the financial results. From a strategy standpoint, there are six pillars that underpin our strategy of competing and winning customers in the marketplace.

The first is a growth strategy. It's about building a granular, growth-oriented and profitable health insurance franchise. The second pillar is being the health partner of choice for our customer. The third is to build a multi-channel, diversified distribution network with an emphasis on digital sales. The fourth is to have a business model that's underpinned by technology and analytics. Fifth is disciplined underwriting and claims management, again, underpinned by expertise.

Our majority partner, Bupa, brings global expertise spanning over eight decades in health insurance and we, in India, do leverage that expertise significantly. And last but perhaps most important in our mind is a focus on talent management and execution. On our growth strategy, for the first half of this year, the overall health insurance market in the country grew at 9.6 %.

Niva Bupa grew at 33.1 %.

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Retail grew at 18.3 %. Niva Bupa grew at 32.2 %. Our overall market share improved on a year-on-year basis from 4.1 % to 5%. And our retail market share, on a year-on-year basis, improved from 8.9 % to 9.9 %. In terms of product mix, as of H1, 67.9 % of our business comes from retail health, 29.7 % from group health, and 2.4 % from personal access and travel.

For the customer, we believe today that we have a comprehensive portfolio of innovative health insurance products covering all life stages. We use several segmentation variables to design and offer our products. Many of our products are innovative and offer relevant features to the segments.

Three broad variables that

we have used with much success in the marketplace include health status, age, as well as income. And today, we have a wide bouquet of products covering significant customer segments in the Indian market. Over time, our strategy has been not just product, but also to build propositions around health.

We believe that we are a partner not just in illness, but equally in wellness for our customer. And towards that, we have enabled access to a 360° health and wellness ecosystem. And we have put in place what we believe is a solid and holistic customer health proposition, all made available

through our customer app.

And as of H1, we had 4.8 million downloads, monthly active users of 400,000. And through this platform, more than 30,000 people get their health check-ups done on a monthly basis. More than 6,000 people get their consultations done. And we have a range of health services that are available. And our customer app is very, very highly rated, both on Android as well as iOS. We believe that it's important to continuously improve customer experience.

We indeed are focused on measuring customer experience across 35 critical touch-points. And through small and large improvements, we continuously focus on improving customer experience. Claims is the moment of truth in our business. And we have continuous improvement programs to improve customer experience across all critical touch-points. But importantly, the claims touch-point and our NPS score has been steadily improving over time. We are a multi-channel company. This is by choice. As I mentioned, this is a carefully thought through strategy for the company. As of H1, about 30% of our business comes from agency, about 20.8% comes through corporate agents banks, 8.7% through corporate agents other than banks, and 27.2% comes from brokers, including digital brokers such as Policy Bazaar. And a very high proportion of our business, close to 13%, comes from the direct-to-consumer channel. We have significantly transformed our operation using technology and analytics. In the company, we refer to the value chain transformation as intelligent automation. As of H1, close to 100% of our policies were applied, you know, from customers digitally. More than 95% of payments were done digitally. Close to 51% of cases were auto-decisioned using an intelligent and sophisticated underwriting rule engine.

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And we have a very advanced capability around auto-adjudication when it comes to claims. And this is one of the more complex problems to solve in the Indian healthcare ecosystem. And as of H1, close to 28% of our claims were auto-adjudicated. We are very careful about and disciplined about our risk selection approach.

And more broadly, if I talk about our approach on portfolio management, we have a five-pronged approach to managing loss ratios on a sustainable basis, especially in the retail health portfolio. The first is our approach to risk selection, and we have a lifetime value approach to that. It's a proprietary model that we have refined over the last four years. And we believe that this stands us in good stead, especially when it comes to building a retail book which has sustainable loss ratios over time.

Second is our approach to risk assessment, where at the individual level, depending on health status, we do charge premiums that are appropriate for lifetime risk. So we have a very mature and sophisticated approach to pricing risks appropriate to health status, which we believe is quite different from what is there in the market.

On claims management, we have a five-pronged approach, including rolling out a preferred provider network, auto-adjudication, which I spoke about, robust analytic capabilities around fraud detection, and capabilities that we borrowed from Bupa around billing review and case management.

And

and last, but perhaps the most important in my mind is this business we believe firmly is about talent and execution. It is an execution-intensive business. It is a complex business. We believe that talent, which is able to execute well, which is able to develop expertise over time that comes from focus, is critical to sustaining success.

We have placed a lot of emphasis on talent management within the company, and we use an important marker, external marker, to sort of guide us in terms of how we are doing on talent, which is the Great Places to Work Trust Index score. And there, in the most recent ranking, we rank or we feature amongst the top 25 in banking and financial services. We feature as amongst the best places to work for millennials.

And we also feature as a leading player, as the leading player, if you will, in the non-life and health insurance segment in India. At this point, to talk about financials, I'm going to hand over to my colleague, Vishwanath, the CFO.

Vishwanath Mahendra: Good evening, everyone. Following are some of the financial highlights for H1 -FY25, our gross written premium grew by 33% from INR2,436 crores to INR3,242 crores. The growth rate in GWP for Q1 and Q2 are 31% and 35%, respectively. Net earned premium grew by 36% to INR2,231 crores in H1. The PAT under IFRS has more than doubled from around INR28 crores to INR60 crores in this financial year. There is seasonality of profit under IGAAP, with H1 having losses.

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The losses under IGAAP has also shown significant improvement and has moved from loss of around INR80 crores last financial year first half to loss of INR6 crores in first half current financial year, resulting in around 93% improvement. Combined operating ratio has improved by around 120 basis points to 103.5% in current financial year YTD from 104.7% in last financial year. The upside is driven by improvement in loss ratio, which was 63.8% last financial year H1 and is 62.5% in current financial year.

Annualised yield is 7.5% in H1 with AUM of INR5,965 crores. Solvency ratio is at healthy level of 2.25 against regulatory minimum of 1.50 as on 30th September 2024. So this was overview of H1 for FY25. Happy to take questions.

Moderator: Thank you very much. We will now begin the question and answer session. The first question comes from the line of Varun P from Kotak Securities.

Varun P: I just had a question regarding to the agency channel. So if you look at the share of agency, it has been on a decreasing trend for us largely because of higher growth in banca and others. But even in 2Q, I think the share has come down by about 200 basis points. So what is the growth in the agency channel and agency force and do you see this picking up over the second half or this is what is to be expected for a full year?

Krishnan Ramachandran: As of H1, our growth on agency was 25.6%. In terms of look, the reason why the share of agency has come down frankly is that Banca has grown faster. We have opened up more white spaces within our banks. We have added more bank partners. So it is the outcome of an organic process. We would be comfortable with the channel mix as it stands today. So that is broadly the reason. It is the outcome of what has happened with other channels as opposed to anything inherent with respect to agency. Agency is doing as we have envisaged as of H1. In fact, I would submit it is doing marginally better than our own internal ambitions. Overall, in terms of retail new business growth, we have grown H1 at 40% -- that was the growth as of H1.

Varun P: Regarding to investment yield, do you expect this to moderate given that Gsec yields are coming off and there is an expectation of rate cut and even the equity markets are not being as favourable as they were previously?

Vikas Jain : We do not expect th

is to come down. What we did was implemented a strategy since last two years of investing in duration. Therefore, given the fact that the current portfolio we have significant duration, we do not expect this number to come down significantly despite the falling yields in the GSEC. We should be able to maintain. We do not do equity. This is all debt I am talking about.

Largely, from a debt perspective, we expect this to be the yield we envisage going forward roughly around these levels.

Moderator: We have the next question from the line of Manish Bhatiya, an Individual Investor.

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Manish Bhatiya: Sir, I would like to ask a question. As we have seen the trend, the results for Q3 and Q4 are better than Q1 and Q2. Can we expect the same to follow this year as well?

Krishnan Ramachandran: Firstly, thank you, Manish, for the comment. Yes, on the Indian GAAP basis, historically, if you look at the last several years, our Q1 and Q2 are the weakest quarters and Q3 and Q4 are the strongest quarters. So you can expect the same this year as well. I'll request Vishwanath, our CFO, to add. Just one other comment. We do declare and for the last two financial years, we have published our audited IFRS statements.

As you may all know, this has been notified by the Ministry of Corporate Affairs. The Indian insurance regulator is in the process of finalizing the timelines for the insurance industry. So IFRS will become the standard sooner or later as far as insurance in India is concerned. We consolidate our reports with Bupa on an IFRS basis.

And we have our audited results available. And therefore, the results are a lot smoother, if you observe. Vishwanath spoke about the IFRS numbers as well. The results there are much smoother, but on an Indian GAAP basis, there is this lumpiness.

Vishwanath Mahendra: Nothing more to add.

Manish Bhatiya: All right. One more thing. I would like to tell you that I use your app as well and you have wonderful features on your app. So I would like to congratulate you on that part as well.

Krishnan Ramachandran: Thank you very much. Credit to Dr. Bhabatosh. Thank you.

Moderator: The next question is from the line of Prayesh Jain from Motilal Oswal Financial Services.

Prayesh Jain: Firstly on claims, could you break down your claims ratio into what was the loss ratio in H1 on retail and what was the loss ratio on group in H1 versus the same thing for last year?

Vishwanath Mahendra: Yes, Prayesh. So I will talk about loss ratio on IFRS basis. So last full financial year, the loss ratio on IFRS basis and this is based on published accounts was 63% and for retail it was around

65%. Current year H1, the loss ratio, given the seasonality of infection, it's around 64.5% H1 and the loss ratio for whole year for retail, we expect that to settle around the same number, 65%-odd.

Moderator: Prayesh, do you have any further questions?

Prayesh Jain: Yes, I was just clarifying, this is on IFRS basis, right?

Vishwanath Mahendra: Yes, Prayesh, that's right.

Prayesh Jain: And the IFRS loss ratio for H1 was how much for these?

Vishwanath Mahendra: Overall, 64.5%.

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Prayesh Jain: Okay, got it. Second question was on the expense ratio, which you have reported that on GWP basis, it's at 40% and I think by the end of next year, for the full year next year, we have to be at 35%, right?

Krishnan Ramachandran: For the full year next year, we need to bring this down to 35% plus allowances, so roughly 36%, Prayesh.

Prayesh Jain: Okay, so what is the glide path that you would kind of look at?

Krishnan Ramachandran: So in terms of the glide path, we have submitted a glide path and we are committed to conforming to the glide path and being compliant by next financial year. I think t

here's only one

caveat that I'll add, which is that because of the 1 by N change, and we recently had a discussion with the regulator as well, on a like -to-like basis, we'll certainly comply. But given this change, there will be a second order impact as far as fixed expenses is concerned.

And we believe the regulator is reviewing the definition because they have changed the goalpost in the middle of this financial year. But otherwise, we are on a path to comply on a like -to-like basis.

Prayesh Jain: Okay, and this largely would come in from which line item, so commission broadly should not be impacted?

Krishnan Ramachandran: Largely the fixed costs. So the fixed costs will now be defrayed over a different denominator. And that's a second order impact. We are still assessing the impact on a full year basis. But that is a second order impact, just to be clear.

Moderator: We have the next question from the line of Dipanjan Ghosh from Citi Group.

Dipanjan Ghosh: Sir, if you can give some color on -- you know, you mentioned your new business growth around 40%-41%. If you can kind of break that down across channels, or at least give some color on which channels are growing faster. My second question would be more of a qualitative question, which may not be pertaining to the quarter. It is more on, how do you see the claims ratio evolve as the vintage of the book really changes?

Or in your portfolio over the past few years, when the customers are moving from, let's say, the three -year bucket to the five -year bucket, or when you're moving across different demographics or geographies, how does the triangulation really work in terms of the overall combined movement or the loss ratio movement, whichever you think is a better metric to look at? The third question is, the third and the fourth questions are more of data-keeping questions.

One is if you can break your overall business between new and renewal for 1H or FY 2024. And the last question is, what proportion of your policies will be less than three years in terms of premiums or number of policies on the retail indemnity side?

Krishnan Ramachandran: So, I'm going to request the CDO to take up your first question on new business, the CFO to handle claims, and we'll address the third and fourth after that.

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Ankur Kharbanda: Hi, Dipanjan. So, overall, as Mr. Krishnan mentioned, overall, new business grew at a 40% number. Largely, all channels grew in the similar manner. The direct digital and our own digital business grew better than the average. Agency channel was also in the similar number, plus 30, early 30s. And all other channels are also into the similar manner of growth.

Vishwanath Mahendra: Yes. In terms of cohort -wise experience, so I would like to mention about combined ratio. So, as book matures, waiting periods get over, claims ratio increase, but at the same time, there is drop in expense ratio. So, combined ratio is the right metric to look at. In terms of combined ratio, if we just divide in new and renewal, so the renewal book has better combined ratio compared to new book for retail channel, retail book, retail portfolio.

Krishnan Ramachandran: And in terms of your question on the proportion of new and renewal, as of H1 on the retail side, roughly 40% of our book was new and the balance is renewal. With respect to proportion within three years, Dipanjan, we don't disclose that at this point, but we can maybe offline connect to

see if we can help you, depending on what your requirement is.

Dipanjan Ghosh: Got it, sir. Just to follow up on the second question, you mentioned that your combined experience on the renewal book is better than the new book. This seems a little difficult to triangulate when I look at some of your other listed peers, be it the SAHIs or the multiline players. I just want

to get some sense of, is it more of a function of the new business distribution mix and the corresponding pay-out that is prevalent for your business as of date?

And is that the driving factor of your combined experience on the back book being better? And is that subject to change based on how the new business origination or the pay-outs change? Maybe not today, but maybe let's say from a 3 to 5 year perspective.

Krishnan Ramachandran: So broadly, one of the things that I mentioned in terms of our approach to risk selection, I think the most important lever when it comes to building out sustainable loss ratios over the long term is having the portfolio built from the right mix of risks. So when Vishwanath says that our combined ratio on renewal is better than our new business combined ratios, it's fundamentally how the portfolio loss ratios play out over time.

And for the renewal book as a whole, it is the case that the combined ratios are lower, because on the new business side, almost the entire fixed expenses that the company has, including sales teams, et cetera, the payouts to distribution, all of that means that there's a fairly heavy cost of acquiring a new customer, which is why the new business combined ratios do tend to be higher than the renewal combined ratios. That's been the case that we've observed both here as well as in my prior experience, Dipanjan.

Dipanjan Ghosh : Got it, sir.

Krishnan Ramachandran: The whole idea is to keep the renewal claims ratios at a target level so that the combined ratios are sustainable and deliver value over time.

Dipanjan Ghosh : Got it, sir. Thank you and all the best.

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Moderator: The next question is from the line of Supratim Datta from Ambit Capital. Please go ahead.

Supratim Datta : Thanks for the opportunity. My first question is on the loss ratio bit. If I understood correctly, last year, first half, the retail loss ratio was 65%. Could you let me know what is the corresponding retail loss ratio under IFRS this year, first half? That would be helpful. That's the first one.

Secondly, I wanted to understand that based on some of your peers, what we understand is the industry is going through another round of price hikes. Just wanted to understand how you are thinking of price hikes and what proportion of your portfolio could be repriced on the retail side over the next one year. Lastly, on this one by N regulation, which has come in from 1st October for long term health.

Wanted to understand what proportion of your, again, portfolio gets impacted due to this. And how does this impact the commission that you were previously able to pay banks or your other distributors in the older regime versus the newer regime. How does that change? And are those negotiations already completed? So if you could give me some color on these two things, that would be very helpful.

Krishnan Ramachandran: Sure. I'll request Vish to take the first two questions. And the third, I'll split between Ankur and myself.

Vishwanath Mahendra: Sure. So in terms of loss ratio for H1 for retail book, it is around 67 % odd. And as we discussed, there is seasonality of loss ratio in the first half because of infection. In terms of price increase, we have taken price increase of around 10 % for two products, which contribute around 25% in retail portfolio.

And we plan to take, again, some price increase close to 10 % for one or two products, which contribute around 10 % of the portfolio. And this is our practice to take a smaller price increase, single digit or 10 % max for all older mature products every year to take care of inflation and mix change. All other products other than these are new and they don't warrant any price increase this financial year.

Supratim Datta : And this 10 percent portfolio will be repriced by around 10 %. Is that correct

?

Vishwanath Mahendra: Yes, that's right. So, correct. So overall, 35% portfolio will see increase of around 10%.

Krishnan Ramachandran: And to your question on 1 by N, I'll separate the response into two parts. One is the business part, which I request Ankur to cover. But as far as the accounting part is concerned, number one, on an IFRS basis, there is no change because there is full matching.

As far as the accounting system otherwise is concerned, all commissions do get matched to when the business gets booked. So from a commission standpoint, there is no change. As I mentioned earlier, fixed costs end up getting defrayed on a different denominator than has been historically

the case.

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So there is a second order impact there. It's not a material impact, but there is a second order impact, which when we spoke to the regulator last week as well, they are cognizant of that. And they are hopeful that they'll be – definitionally, EOM recognizes that they changed the goalpost during the financial year.

So that's as far as the accounting part is concerned. To reiterate, no impact on IFRS, which is the measure of economic value of the company. As far as EOM is concerned, there is a second order impact because of the fixed cost commissions just get booked along with the business booking.

As far as the business itself is concerned, Ankur?

Ankur Kharbanda: On the business side, we have been talking to a lot of our partners, advisors, etc. to understand.

There is definitely an income loss to some of the people for the current year. But this is our arrangement, agreements, and this is our discussions with them. We are comfortable that it should be in the similar mode of what it was earlier. But there can be some plus-minus here and there on that business. But largely, we are comfortable on that.

Supratim Datta : Got it. And just to understand this, so currently, under the i GAAP, you will be booking the first year premium, right? And hence, the commission will also be corresponding to that one year's premium or would you continue to pay?

Ankur Kharbanda: No, no. That's correct.

Supratim Datta : And this renegotiation of these terms with distributors that has been broadly completed, would that be a correct assumption?

Krishnan Ramachandran: I would say to a very large extent. There is a habit change, especially on the retail business with smaller distributors. We are working our way through it as we speak.

But as Ankur mentioned, by the end of this quarter, we believe that we'll be in a situation where the change has been absorbed. And we'll get back into our normal rhythm of business. But to a very large extent, I think that the process of change and what it means to distribution, we've had those conversations. And we feel that we're arriving at a situation where the business impact is going to be mitigated.

Supratim Datta : Understood. And just lastly, I think, what proportion of your book gets impacted due to this one by N change?

Krishnan Ramachandran: So by the time the year is done, we believe about in the mid -20s is where the overall proportion of business is the multi-year book for us.

Supratim Datta : Understood. That's very helpful. Thank you.

Moderator: We have the next question from the line of Varun P from Kotak Securities. Please go ahead.

Varun P: Hi, sir. Just I had a follow-up question regarding the hospital network. It appears that we have pruned it a bit from the end of last year. So have you found any fraudulent cases that are emerging

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out of certain hospitals? Or was there any proactive action taken on that front? Or is it something else?

Krishnan Ramachandran: Dr. Bhabatosh.

Dr. Bhabatosh Mishra: As you would be aware, the provider network is a dynamic thing. Based

on negotiation, based

on patterns, whether it is about cost, whether it is about fraud, and more specifically abuse, we continue to look at it on a very periodical basis based and backed by data and analytics. Based on those, we keep on taking actions of adding and sometimes pruning the list a little bit here and there.

So it's a part of the dynamic overall policy of provider network building. Overall titrating customer demand need to have access to healthcare facilities on a cashless basis, plus having the right provider in the network to deliver best quality services at appropriate cost.

Varun P: Okay, so you mean it's business as usual, nothing out of the ordinary.

Dr. Bhabatosh Mishra: That's correct. Thanks.

Moderator: We have the next question from the line of Chirayu Maloo from Avendus Spark. Please go ahead.

Chirayu Maloo: Hi. I just have one question. The GDPI number for October month, which is reported, is on one by n basis or it is on full basis?

Krishnan Ramachandran: It is on a full basis. I think between the industry and regulators, there is still an ongoing discussion on how to report the sales numbers because, if you want to move to the new basis, then you have to adjust the prior year because the prior year is on – it's not on a like-to-like basis.

So, as of now, it's on a full basis.

Chirayu Maloo: Okay. Thank you.

Moderator: We have the next question from the line of Swarnab Mukherjee from B&K Securities. Please go ahead.

Swarnab Mukherjee: Hi, sir. Good evening and thank you for the opportunity. I have a broad industry -level query. I just wanted to take the data that we have from IR DA in terms of the number of unique lives that are insured in the retail space. I think that number is somewhere around INR5.2, INR5.3 odd crores as of FY '23. I don't have any newer data.

So, I just wanted to understand that in FY '24 and FY '25, have we seen that number to increase or if you have a sense on how that is happening, how that is playing out and in case the number is stagnant and given the fact that the sense that we get from you and also other listed players is that a round of price hikes are again coming. So, in that way, would it become this the higher ticket size of a policy? Would it become an impediment for adding newer lives in the retail part?

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So, I wanted to know your thoughts on that where this challenge has been in adding these newer lives from the industry as a whole and what are we doing to navigate through that. And also, sir, as an addition to that, we have been hearing that this porting as a process has also picked up in the industry.

So, I wanted to understand from your side your thoughts on this and if you could share what proportion of your fresh coming from porting and in porting also what could be the impact on the future claims of the customer because we'll be on -boarding customers who are slightly ahead in the cycle as opposed to somebody building a fresh - taking a fresh policy. So, I wanted to know your thoughts on this and point that, maybe I can squeeze in some data keeping question.

Krishnan Ramachandran: Sure. Look, I think both are important questions. So, from a Lives growth standpoint on retail, look, the way we think about it and we'd request for all of you to think about it in similar lines is that this is very much "a retail business" and a retail conversation advisory business.

So, in order to see lives growth at the industry level, as you can expect from retail branch banking or as you can expect from, let's say, retail stores, in order to see growth, there are two levers, right? One is same store sales growth and the other is new store growth. So, for growth to happen at the industry level, given that the business model today is by and large conversation led, companies need to undertake capex pro

grams.

You know, that could be adding, you know, adding offices, adding sales headcount, manning bank branches with more sales headcount and so on and so forth, right? So, at the industry level, whichever operator has embarked on a capex program. So, for example, in our case, we've embarked on a significant capex program over the last four and a half years.

We have added, you know, 150 odd offices. We have grown our agency strength over the last four years from 40,000 to ~160,000. We have grown our bank partners to from about 12 to about 21. Our own sales headcount has grown 4x in the last four years. So, all of that has meant that we have experienced retail business growth and volume growth.

So, the 40% new business growth number that I referred to on retail for H1 this financial year comes from a combination of value growth, which is roughly about 7%, 8%, and the balance actually is Lives's growth. So, I would say rather than addressing the question at the industry level where if you have to find growth, then you have to look at what are the inputs that are going into growth in terms of investments, in stores, sales staff, brand building, et cetera.

Outside of that, I guess you have to look at the individual operators whoever is making the required investments into the inputs for driving retail growth. You should logically see outcomes. And, you know, the case in point is Niva Bupa itself, where we have seen not just overall business growth in retail, but a good balance combination of value as well as volume growth. I'd say that's the answer to your first question.

Inherently, you know, our own assessment is that the growth trajectory on retail will continue to be a CAGR of 17% -18% over the next four five years. We believe that the volume growth, which Niva Bupa Health Insurance Limited

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is in single digit for the industry, our assessment is so the 17%, 18% will come from a mix of volume and value growth roughly single digit in both cases. Maybe single digit volume growth and double digit value growth is our assessment. And our own growth, I've given you the statistics as far as H1 of this year is concerned.

Now, to your question on porting, our point of view on porting is that we address it through the

– see, ultimately, as you rightly pointed out, what matters is how do you adjust for economics at the time of on-boarding a new customer, right? And like-to-like, vintage -to-vintage, the claims experience is broadly the same. So a fifth-year ported customer is the same as a fifth-year fresh customer from a claims experience standpoint.

So what then matters is how do you adjust for the economics at the time of on-boarding the new risk and also making sure that you're careful about your risk assessment and pricing. So from a philosophy standpoint, our lifetime value approach addresses that. We adjust the economics. It falls in into the appropriate grid as far as our incentivization and commissions are concerned so that we adjust for the difference in claims ratios in the first year.

And as a proportion of our overall book, roughly that number is in the mid -20s. But from, you know, from our standpoint, from an economic standpoint, we neutralize, in terms of the incentives that we pay both to our commissions as well as sales incentives to our employees.

Swarnab Mukherjee: Just to clarify, so when you say the proportion of the book, it is the overall book or on the fresh side?

Krishnan Ramachandran: New business, on the fresh book, on the fresh book.

Swarnab Mukherjee: Understood, sir. And also, if I can kind of squeeze in a couple of more questions. So I wanted to understand on your Banca business, so what kind of products will you be selling? Is there a substantial share of indemnity there or is it predominantly benefit-based products? And how does the economics play out? So that is one question.

And the other one I wanted to understand a little bit from your side on the channel level, say, costs of acquisitions. So agency vis-à-vis Banca brokers and online platforms. How would you, what would be the order of costs of acquisitions in this channel and how, basically, what would be your thoughts on adjusting your sourcing mix based on that? Some color would be very helpful, sir.

Krishnan Ramachandran: On the product mix, I'll request Ankur to address. On economics, I'll request Vishwanath to address.

Ankur Kharbanda: Sure. On the product mix on the Banca side, it's a mix of both indemnity and some of the benefits as well. But largely, it is indemnity cover which we sell in the Banca side of it. And if you look at our overall growth, it is a very good growth which is coming on the Banca business coming today. And I'm, again, repeating, it's a mix of both indemnity plus benefit. But it is higher towards on the indemnity.

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Vishwanath Mahendra: Yes. In terms of economics, I would say we look at combined operating ratio for those segments and channels. So, our loss ratio and expense ratio, both commission and manpower, our own expenses, direct-indirect, should make sense to us. So, not a major difference in combined operating ratio across channels. But one thing clear that digital is having better economics, lower combined ratio. That's something I can tell you with certainty.

Swarnab Mukherjee: Okay, sir. Very helpful. Can I ask one quick question? So, I just wanted to understand, you have given IFRS basis combined ratio as well as loss ratio. To compare with your peers, multiline insurers who are listed and who report on 1 by 365 basis, just to understand the computation, shall I take the loss ratio you have given on IFRS side and add to the expense ratio that is provided by GAAP to arrive at a like-for-like comparison? Would that be the correct way, sir?

Vishwanath Mahendra: Actually, I would suggest you take our IFRS accounts as a whole. The reason is, if you compare with, let's say, some other insurance companies, IFRS accounts not only adjust for loss ratio and expenses, it also normalizes for different growth rates. So, if you take our expenses of i GAAP and take loss ratio of IFRS, that may not be consistent because if there is another company which has lower growth rate, so the expense would be lower in that case.

Our expense on i GAAP may seem to be higher, but IFRS normalizes that difference in growth rate in terms of deferred acquisition cost. So, our request is to take our IFRS accounts, and a lot of other companies are publishing IFRS accounts, you compare IFRS to IFRS, that's better comparison.

Swarnab Mukherjee: Understood, sir. Very helpful. Thank you so much for your response, sir, and all the best.

Moderator: We have the next question from the line of Prayesh Jain from Motilal Oswal Financial Services. Please go ahead.

Prayesh Jain: Hi. So, just on this Banca business, there's a lot of talk from the finance ministry as well as the RBI to, and the pressure on banks to kind of slow down on insurances, particularly mis-selling. Some of it is directed towards life insurance, but is there any issue that you are witnessing, or do you expect that coming for the health insurance business as well? That would be the first one. Second one, when you say that the digital business has a better profitability - relatively better profitability, does that also include Policy Bazaar as we considered that to be on the broker channel? So, in that sense, where would be the profitability of that channel particularly?

Krishnan Ramachandran: Thank you, Prayesh. To your question on bancassurance, yes, both the DFS, FM, as well as IRDA, have indicated some level of discomfort with respect to insurance. My understanding is that a lot of that stems from the life ins

urance industry to do with mis-selling and customer complaints around that line of business.

Because when I look at, one, if you look at the health insurance business over a period, in the context of banks, it is still very, very small. Our assessment is the life insurance business is many times the size of the health insurance business as far as banks are concerned. Certainly, that's the case with all of the bank partners that we work with.

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times the size of the health insurance business as far as banks are concerned. Certainly, that's the case with all of the bank partners that we work with.

So, yes, our understanding is that it is to do with complaints on the life side. Also, when I examine our own complaints with respect to policies that we distribute through our bank partners, there is actually no difference in terms of customer complaints specifically around mis-selling on banks versus any of our other channels. So that's as far as bancassurance is concerned. But, yes, there have been these comments across policy makers across the spectrum. Our belief is it's about making the business more sustainable specifically around addressing complaints around mis-selling. To your question on digital, so when Vishwanath referred to digital, it is both what we do with digital partners like Policy Bazaar.

They are by far the biggest player in the industry as far as digital is concerned. They are categorized as a broker. It also includes our direct-to-consumer business. In the ranking, because there is no trail as far as our own direct-to-consumer business is concerned, it is the most attractive channel as far as the company is concerned.

Prayesh Jain: I got it. Just one more clarity. When we benefit based, is there a cause of concern on the benefit base? We maintain will be definitely does not qualify for a mis-selling unless it's wrongly priced. In terms of...

Moderator: May I interrupt? Your line is not very clear.

Prayesh Jain: One second. Is this better?

Moderator: This is much better, sir. Please proceed.

Prayesh Jain: Yes, I'm saying on the Bancassurance business, the benefit base, does that pose any risk from the RBI side? And I think that is something that you can help me clarify.

Krishnan Ramachandran: If you look at the overall proportion of personal accident and travel, as far as the company is concerned, that's 2.4% on the overall company. And even within banks, as Ankur mentioned, I would say to a very large extent, it is indemnity. And also the benefit base, again, we are a relatively small player, and the benefit base would also include products like Daily Cash, which are essentially hospitalization products.

Prayesh Jain: Got it. And lastly, on the 1 by N for the long-term policy, how would you renegotiate with reinsurers? I think that business is reinsured quite a bit. So how would that change?

Vishwanath Mahendra: So we have not reached that position. So currently, our treaties are in place. And as per treaties, we are ceding the entire premium for, let's say, if it's three-year, five-year, two-year terms. So when those treaties come for renewal, maybe around March, we will negotiate with reinsurers.

Prayesh Jain: But from an accounting perspective, the NWP that is arrived after reinsurance reduction, that would reduce the net. So you will start reporting GWP, say, on a 1 by N basis. But your

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reinsurance would be for the entire business? That is what you're saying? For the entire three years?

Vishwanath Mahendra: Yes. So currently, that is the case. But this clarity has to emerge. We are in touch with reinsurer also. I don't think this circular is applicable to them, but we are in touch with them.

Prayesh Jain: Got it. Thanks.

Moderator: As there are no further questions, I would now like to hand the conference over to Mr. Krishnan Ramachandran for closing comments. Over to you, sir.

Krishnan Ramachandran: Again,

I'd like to thank all of you for your questions. As I stated at the very start, we are very, very excited about the health insurance opportunity. We have been delivering industry-leading growth as a company.

And I do believe that with the combination of strong shareholders, a very high-quality team that's been executing very well. We will continue to build a business model that's sustainable and delivers value to all stakeholders as we move along. Thank you once more for your hearing and

your questions.

Moderator: On behalf of Niva Bupa Health Insurance, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: Feb 2025

Niva Bupa Health Insurance Company Limited
IRDAI Registration No. 145 | CIN: L66000DL2008PLC182918
Registered Office: C-98, First Floor, Lajpat Nagar, Part 1, Delhi-110024
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February 10, 2025

Ref: NIVABUPA/EQ/2024-25/33

To,
National Stock Exchange of India Limited
Exchange Plaza, C-1, Block G
Bandra Kurla Complex, Bandra (E), Mumbai – 400 051 BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai – 400 001

Symbol: NIVABUPA
Scrip Code: 544286

Sub: Transcript of the Earnings call conducted on February 04, 2025

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 read with Para A of Part A of Schedule III, please find enclosed transcript of the Earnings call conducted on February 04, 2025.

The same is also available on the website of the Company at www.nivabupa.com.

Kindly take the same on records.

Thanking you,
For Niva Bupa Health Insurance Company Limited

Rajat Sharma
Company Secretary & Compliance Officer
Membership No. : F7069

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“Niva Bupa Health Insurance Company Limited
Q3 FY '25 Earnings Conference Call ”
February 04, 2025

MANAGEMENT : MR. KRISHNAN RAMACHANDRAN – MANAGING
DIRECTOR AND CHIEF EXECUTIVE OFFICER – NIVA
BUPA HEALTH INSURANCE COMPANY LIMITED
MR. VISHWANATH MAHENDRA – CHIEF FINANCIAL
OFFICER – NIVA BUPA HEALTH INSURANCE COMPANY
LIMITED
MR. ANKUR KHARBANDA – CHIEF DISTRIBUTION
OFFICER – NIVA BUPA HEALTH INSURANCE COMPANY
LIMITED
MR. BHABATOSH MISHRA – DIRECTOR -CLAIMS ,

UNDERWRITING AND PRODUCT – NIVA BUPA HEALTH
INSURANCE COMPANY LIMITED
MR. DHIRESH RUSTOGI – CHIEF TECHNOLOGY
OFFICER – NIVA BUPA HEALTH INSURANCE COMPANY
LIMITED
MR. VIKAS JAIN –CHIEF INVESTMENT OFFICER –
NIVA BUPA HEALTH INSURANCE COMPANY LIMITED

MODERATOR : MR. ANSUMAN DEB - ICICI SECURITIES

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Moderator: Ladies and gentlemen, good day , and welcome to the Q3 FY '25 Earnings Conference Call of Niva Bupa Health Insurance Company Limited , hosted by IC ICI Securities Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing star , then zero on your touchtone phone.

Also before we begin, we'd like to inform you that this conference call may contain forward - looking statements about the company which are based on the beliefs, opinions and expectations of the company as of the date of this call. These statements are not the guarantee of future performance and involve risks and uncertainties that are difficult to predict.

I now hand the conference over to Mr. Ansuman Deb from IC ICI Securities. Thank you, and over to you, sir.

Ansuman Deb: Thanks, Rayo. Good evening, ladies and gentlemen. On behalf of IC ICI Securities, we welcome you all to the Q3 and nine -month FY '25 results conference call of Niva Bupa Health Insurance Company Limited .

We have with us the senior management of the company represented by Mr. Krishnan Ramachandran, MD and CEO ; Mr. Vishwanath Mahendra, CFO ; Mr. Ankur Kharbanda , Chief Distribution Officer ; Mr. Bhabatosh Mishra , Director, Claims Underwriting and Product ; Mr. Dhiresh Rustogi, Chief Technology Officer ; and Mr. Vikas Jain, Chief Investment Officer. I now hand over the call to Mr. Krishnan for his opening remarks, post which we will open the floor for Q&A. Over to you, sir.

Krishnan Ramachandran: Thank you, Ansuman , and a very , very warm welcome to all of you who are participating in this call, and thank you for making time for us this evening. To refresh memories, I thought it would be useful to summarize the six pillars of our strategy as Niva Bupa . Pillar one is building a granular, growth -oriented and profitable health insurance franchise.

Pillar two, being the health partner of choice for our customers. Pillar three, building a multichannel and diversified distribution with emphasis on digital sales. Pillar four, technology and analytics -driven business model.

Five, being disciplined about underwriting and claims management, underpinned by the considerable expertise that Bupa has accumulated over several decades as well as through multiple geographies. And last, but perhaps the most important, given how execution -intensive our business is, our focus on talent management and execution.

One headline comment I'd like to make about quarter 3 is that it has been a quarter where there's been a significant regulatory change. While the change is about accounting and therefore does not have a material bearing on economic value, it did mean that it was a transition quarter, especially as far as our distribution partners were concerned, who were used to a certain income stream and had done their own planning and budgeting basis, the accounting that was prevalent Niva Bupa Health Insurance Limited

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prior. So, in that sense, Q3 for the entire industry and indeed for us was a quarter for transition. And as we briefly discussed the last time, fundamentally from a business standpoint, I think the more important priority for us was to make sure that we navigate what this meant from a business standpoint.

And I would like to confirm that for the most part, we do believe the business fundamentals are unchanged as a result of this accounting transition. In terms of the value of the company, we'll get to that especially as we go through our financial statements. But again, I'd like to reiterate that there's been no fundamental change in terms of what the business means from an underlying value standpoint.

So w

with that broad-brushed view of a significant change in the quarter, I will sort of reflect on the quarter gone by in terms of GWP and profit on both bases so that you all can understand what it has meant for the company. So, if I looked at GWP on a like-to-like basis without making this change for the nine months gone by, we closed at INR5,011 crores, which is a growth rate of 30.2% over last year.

The same thing factoring in for the accounting change for nine months was INR4,683 crores, a growth rate of 21.7%. Our profit after tax on an IGAAP basis for the nine months that went by was INR7.4 crores. But importantly, and we have consistently reiterated that the right set of accounts that reflect the underlying economic value of our business is IFRS, transition of which for the industry is on the anvil.

So on an IFRS basis for the nine months gone by, our profit after tax was INR119.5 crores. In terms of the various elements of our strategy, our product mix is largely unchanged from the nine months of the prior year, about 67% retail and the balance being group, personal accident, and travel. There has been a marginal increase in the contribution of personal accident and travel in our book.

We continue to improve our market share. Our market share on retail health grew to 9.6% compared to 9% of the preceding nine months last year. During the quarter, we launched a product, a tiered network product, which is an important product launch in the sense that for the first time as a company, we are offering a trade-off to the consumer in terms of network choice. For most part, the basis of competition in the Indian market has been on the size of the network. With this product, we are giving customers the trade-off of a more affordable premium in return for choosing a more restricted network.

Early days yet, but I think an important product to widen penetration and our own growth, especially as we move down income segment. We continue to drive our 360 health and wellness proposition. We are now up to 7.2 million downloads of our customer app with a monthly active user base that has increased to 4.4 lakhs. And as I mentioned last time, we continue to see healthy volumes of health journeys that our customers as well as non-customers use our app for. So more than 30,000 health checkups a month through the app, more than 6,000 doctor consultations that go through our app, and we continue to maintain high ratings on both Android as well as Play Store.

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On NPS, again to refresh memories, we look at NPS across 35 pivotal customer touchpoints. Our NPS has improved in the nine months gone by from a whole year of 50 last year to 53 in the nine months gone by. And also importantly claims, which is the moment of truth in our business. We have improved our NPS in the nine months this financial year to 66, up from 63 last year.

We continue to diversify and deepen our distribution. We've added more than 9,000 agents in the quarter gone by, 11 partners in the bancassurance corporate agency space, and 8 brokers. And we continue to have a very well diversified distribution mix as a company.

On technology, we continue to move the needle, a very, very high proportion of policy servicing, renewal, cashless claims as well as claims submitted digitally. So we continue to maintain higher standards enabled by technology and analytics.

On the entire value chain, one KPI I draw your attention to is we have moved the needle now to 28.6% of our cashless claims being auto-adjudicated without a human being reviewing the claim. This is the most ambitious journey we have been embarked on as a company, which is to solve auto-adjudication of claims in an environment where, to a very large extent, hospitals still deal with paper and digital files, not digitized files.

And our strategy of building out a preferred provider network

, now we have the PPN present in

35 cities, covering about 455 hospitals. And about 14% of our claims in these cities go through the PPN network.

Lastly, I will close with a comment on talent, which is that for the fifth time in a row, we have been certified as a great place to work. We await our eventual rankings in the April-May timeframe. But in terms of the Trust Index score and the proportion of people who count Niva Bupa as a great place to work in our employee base, we continue to have a very, very high standing.

So that's a broad brush update on the execution of the company strategy. I'll hand over to Vishwanath, our CFO, for an update on our financial performance.

Vishwanath Mahendra: Thank you, sir. Good evening, everyone. So like Mr. Krishnan talked about this, without 1 by-1 impact, the GWP registered a growth of 30% YTD on a like-to-like basis. Net earned premium also grew by the same percentage, 30% to INR3,367 crores in the first nine months compared to the last financial year. IFRS PAT has more than tripled from INR18 crores to INR60 crores for the quarter 3. And the IGAAP profit for standalone quarter three has also improved from INR4.6 crores last year to INR13.2 crores this year.

The combined ratio for nine months F Y '25 is 100.9% without 1-by-N impact, with an improvement of 230 basis points from nine months F Y '24 on like-to-like basis. COR for current year on 1-by-N basis is 105%. Expense of management ratio for nine months is 39%, with an improvement of 50 basis points over the same period last year. Annualized yield in current

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financial year is 7.4%, with AUM of INR7,311 crore s. Solvency ratio is at a healthy level of 3.03 as on 31 December 2024, against regulatory minimum of 1.50.

So this was an overview of nine months for F Y '25. Happy to take questions.

Moderator: Thank you very much. We will now begin the question -and-answer session. First question is from Supratim Datta from Ambit .

Supratim Datta: Thanks for the opportunity. On the combined ratio and the combined ratio increase that we have seen, could you break d own whether the loss ratio now, have you moved that also to a 1 by 365 or does that continue to be on 1 by 50? If that continues and only the GWP has moved to a 1 by N, could you give us what would be the corresponding claims ratio now if it moves to 1 by 365? That's the first question that I wanted to understand.

The second bit to it was now that your expense ratio has increased because of this 1 by N impact , how do you get down to that regulatory threshold of 36%? Is there some leeway that the regulator plans to give or how are you looking at reducing it now to that 36% level? That would be the second question.

Thirdly, you mentioned a product which has basically a restricted network of hospitals which seems very similar to the kind of policies that exis t in the US or in more developed markets. I just wanted to know what is the pricing differential here , how much are the premiums lower and what are additional facilities that you plan to give? Are these policies restricted only to your PPN network or is th e mechanism something different? Those were my three questions. Thank you.

Vishwanath Mahendra: Supratim , I'll take the first question. We are still on 50% method of accounting as far as UPR is concerned. The numbers which are given here is where GWP is proportionally reduced basis 1 by N. Whatever GWP is coming, we calculate NWP and 50% of that we provide as UPR. So these numbers are on that basis. We have given both the loss ratio by both the methods. For the first 9 months, 61.1% is basis old accounting without 1 by N and 63.4% is 6 months old accounting and 3 months new accounting. Now, coming to 1 by 365...

Supratim Datta: Vishwanath , just on this, can you give us the corresponding 1 by 365 method? What would be

the loss ratio?

Vishwanath Mahendra: Yes, so w e do calculate 1 by 365 and we publish reconciliation of IFRS accounts. If I look at IFRS , it is around 67% for 9 months FY '25 for retail ; overall is 64.2%.

Supratim Datta: And t his is 9 months, right?

Vishwanath Mahendra: Yes, 9 months.

Krishnan Ramachandran: Just to repeat or reiterate, Supratim , 9 months overall loss ratio is 64.2% on a 1 by 365 basis.

Now, to your question on expense of management, as with many other companies, we had a

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hearing with IRDA and the IRDA has sent out an advisory to us. One is for the prior years, which is up to FY '24, we have been given dispensation formally by the regulator.

For this year as well as next year, the regulator has asked us to conform to the glide path that has been approved by the Board , which means that the expense of management definition wi ll be on a full basis. So with that clarification, we feel comfortable that we are well on track to meet the glide path that has been approved by our Board and has been sent to the regulator. So that's the update on expense of management. To your question on the network product, I would request Dr. Bhabatosh to address that.

Bhabatosh Mishra: The concerned product that was highlighted of a little limitation in network offers customer 15% of discount on the base premium. And is it limited to the preferred provider network of 455 hospitals in 35 cities? The answer is no. The network is way more larger. It is just a few hospitals, a few hundreds of hospitals less than the overall network, which is accessible to the customer under this.

Krishnan Ramachandran: But to answer your strategy on, you know, strategically, this is a step in the direction that you're familiar -- you mentioned that you're familiar with the US market. The whole idea is to build out several tiers of networks. What we have launched is only the first iteration . And obviously as the tier becomes smaller and customers have to trade off more choice, going all the way up to

perhaps a HMO product, where the level of premium discount will become larger and larger. But the whole idea is to be able to improve - if it's a smaller network, you have better control of customer experience.

You have better control of cost. And this is exactly the strategy that Bupa adopts globally. In many of their markets, while they don't necessarily have only closed network products, but there's clear advantages to going to own provision hospitals, which they do in a very advanced way in Spain. It's what Kaiser Permanente does in the United States. So something that Bupa is very familiar with and has executed on globally. This is the first step in that strategy, Supratim.

Supratim Datta: And one last question. So on the commissions, you mentioned that you have had discussions on this with your channel partners. Just wanted to understand, have these been deferred in line with the GWP, or are they still front loaded?

Ankur Kharbanda: Yes, so just to answer, I'm Ankur Kharbanda. Just to answer this, so we have been in discussions with all our partners, case to case basis, largely a lot of them have moved to the new methodology. But there are some cases whereby we are keeping it basis, you know, the front loading. And we are seeing that on a business case, if it works well for us, we are looking at all of those factors and deciding in terms of what we need to do.

Supratim Datta: What proportion would have moved to the deferred? Could you give that?

Krishnan Ramachandran: So we're still working through that, Supratim. As I said, it's been a transition quarter. We'll probably need one more quarter to see where it finally settles.

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Moderator: The next question is from Prayesh Jain from Motilal Oswal. Please

go ahead.

Prayesh Jain: A good set of numbers, loss ratio and combined ratio improving on a Y-o-Y basis. That too significant improvement. But could you chart out the path for us in terms of how should we look at the combined ratio from here on, on a reported basis as to how the combined ratio and loss ratio could trend from here on?

Krishnan Ramachandran: The thing is, if you were to ask me on a like-to-like basis, our combined ratio trajectory on a steady state, we would have answered 95 -- in the ballpark of 95%. But because of this transition, we're still going through the planning process at this point. And I'd say, it'll probably take us some time -- and as we have also discussed, we're still landing the conversations with some of our partners in terms of how commissions will settle.

So I think by the end of this quarter, on the reported basis with the current accounting, we will have better clarity. But broadly, as I mentioned, in terms of the fundamental economics of the business, if I looked at IFRS or the old accounting, we would be on track to deliver to our five-year plan.

Prayesh Jain: The second question was, if you could give us a loss ratio on 1-by-N basis, including without a 1-by-N basis for nine months?

Vishwanath Mahendra: Yes. So with 1-by-N basis, it is 63.4%. Without 1-by-N basis, it is 61.1%.

Prayesh Jain: For nine months?

Vishwanath Mahendra: For nine months, yes.

Prayesh Jain: And the third question is on the expense of management. You mentioned that there are some leeways given by the regulators. But could you help us, whether it will be driven by scale advantage? Where in which line items you would see the most significant improvement in terms of expense rate improvement from here on? I think that, you know, I am sure that you would have that in your mind as to how will you reach there. So that is the question that I am asking, how and what are the key things that will kind of drive your expense of management towards the targeted range? And for nine months, what is the kind of levels that we are on EOM basis?

Vishwanath Mahendra: Yes, so for nine months, we are at 39% on like-to-like basis. So this is on full GWP basis. And the levers, one is, of course, mix change. Second, all the investment we have done in last two years and we are doing in technology. So that's something which is going to give us and is giving us operating leverage and new renewal mix. These are the two three things. So channel mix, new renewal mix and this operating leverage.

Krishnan Ramachandran: Yes, I think the big lever is going to be operating leverage on top of other things that Vishwanath mentioned. Same time next year, our renewal book would be sizable. And as we have discussed in the past, basically there's trail plus opex, which is for a total of 18%-19%. That's what's going to help us get to the 36% EOM limit by next financial year.

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Prayesh Jain: And the last question from my side would be, the senior citizens bit, I don't know whether you

alluded to this when you were opening the comments, but the restriction of 10% price hike, how do you think this will be kind of, I understand you have a strategy of increasing the prices on an annual basis either way. Do you think this 10% is a good number or how do you think about this?

Vishwanath Mahendra: Yes, right. So currently, like you mentioned also, so we increase premium for all our mature products every year. And it is generally increases in high single digit or let's say in 10% range. And this is more or less uniform across age and sum insured because we don't really cross - subsidize. There may be some variation here and there. So in that sense, we don't think it is going to bite us.

Prayesh Jain: But is this a precursor to kind of IRDAI wanting to control price? This was never heard of earlier,

of IRDAI coming out and giving instruction on capping the price hikes.

Krishnan Ramachandran: No, I think it's to do with the fact that senior as a constituency, there's been talks from all circles of how do we make it more affordable? And I think the regulator is of the view that, you know, especially at that age when you don't have or when most people don't have income streams operating, they felt that beyond 10% is what is socially appropriate. So that's where this is coming from.

But honestly, as long as the premiums are age rated, which is the case you've avoided cross - subsidy, we believe a 10% annual rate increase is reasonable. And also, they have indicated that if you needed more than that, you would need to then technically justify and get the approval from the regulator. So it's not that they have said that it's not permitted beyond that. It's just that you have to get permission and have a technical justification if you want to increase it by more than 10%. That's broadly what it is, Prayesh.

Moderator: Next question is from Dhaval from DSP.

Dhaval: Yes, thanks for the opportunity ; good performance. I just had a couple of questions. First is relating to this FDI increase that was talked about on Saturday. How does this benefit or change course for Bupa as a support model? So that's the first question. And secondly, relating to opex and operating leverage, under IFRS basis, how do you think operating cost to premiums stabilizes, let's say, FY '28 or so, '27-'28, if you give a glide path around that, that would be useful. So absolute opex would be fine, but just directionally, how do you think it would be? So those are two questions.

Krishnan Ramachandran: So on FDI, it's interesting that you asked this question, because obviously we had this discussion with Bupa as well during our pre-meetings around the Board. They are very excited. As you all know, they are a very long-term shareholder in the company.

Just in terms of increasing stake, too early to comment, but certainly something that frees them up to deploy their capital into what, you know, in our assessment is one of the top two opportunities for them globally in terms of capital deployment. I guess that's the answer as far as Niva Bupa Health Insurance Limited

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as Bupa's own thinking is concerned. But too early to comment, but directionally, this is how this will play out.

But importantly, I think from our standpoint, given the 74% limit and we already have about 68% foreign holding, we feel that this will certainly provide liquidity to our stock as we move forward. To the point on IFRS, I'm going to request Vish to give you a sense on what would be our steady-state combined ratios on an IFRS basis.

Vishwanath Mahendra: Yes, so in terms of IFRS, if we have a steady-state combined ratio of, let's say, 97%, 98%, we can make ROE in high teens, and we are very confident that on a steady-state basis, we'll be able to achieve this. Now, expense and loss ratio, there may be some -- because of mix change, there may be some play here. But broadly, expense would be around 32% to 33% and balance is loss ratio.

Dhaval: And when you say steady-state, that would be a FY '26 or so or it takes longer?

Krishnan Ramachandran: Longer than that.

Moderator: Next question is from Mehak from Emkay. Please go ahead.

Mehak: So I have two or three questions. So, first is, while the company is following 50-50 accounting method, so can you give any color on the impact on the NEP on account of the change in the 1-by-N regulation? That is one. Second, I would like to ask, can you give the proportion of the long-term policies which you have? And thirdly, have you changed any kind of product structures, particularly due to the 1-by-N regulation change?

Vishwanath Mahendra: Yes. So, your first question was on NEP. So, on GW

P, the impact is around INR327 crores,

which we have disclosed. We have not disclosed anywhere the financials in terms of old accounting, but combined ratio is something we have disclosed, which I can tell you is 100.9%.

And the proportion of multi-year policies is, let's say, in early 20s. That's the rate we are experiencing. Doc, you want to talk about?

Bhabatosh Mishra : Yes. In terms of long-term products specifically, there is no significant change that is there. That is why the numbers appear stable, as you could see. So, there is no significant change. However, we have launched new products in the interim with various partners incorporating more innovative, newer benefits to help consumers in different segments. That has also gotten added in the interim.

Moderator: Next question is from Nischint Chawathe from Kotak Institutional Equities. Please go ahead.

Nischint Chawathe: This is actually on the point that we were just discussing earlier about the regulator kind of probably capping the inflation on premium. But I think at the same time, the regulator is somewhere nudging the industry to get together and have a common platform for negotiation with hospitals. Do you really see that happening, or is it like very early days right now?

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Krishnan Ramachandran: I think, Nischint, you captured perhaps what could be the most impactful line in that entire circle that they recently released, that they have said that the insurance industry shall endeavour to put in place a common network. And they've also alluded to the PMJ tariffs. So, I do feel from a regulatory position, in the interest of affordability, they do want us, and honestly, this is something that they've been nudging us for a while now, for a variety of reasons, as an industry, we've not been able to take them up.

But now there is an enabling provision for us to build a common network, but most importantly, with common tariffs along the lines of the PMJ program, as is articulated. So, I do think this is potentially a game changer as far as the industry is concerned in terms of pulling together standardized tariffs and solving for inflation collectively as opposed to individually.

Nischint Chawathe: But do you see that sort of getting rolled out through IRDA or is it still early days? When do we really start kind of -- do we say that next year's negotiations will be done jointly with healthcare companies?

Krishnan Ramachandran: I can't comment on exact timing, Nischint, but what I can say is that there's a lot of impetus and urgency to actioning this. I mean, a lot of impetus and urgency.

Nischint Chawathe: And just one small one is, if you could just remind us on the reinsurance that you do on long-term policies, to what extent are we sort of ceding these policies and how are we treating the inward commission?

Vishwanath Mahendra: Yes, Nischint, so we do the same treatment for reinsurance also as we do for our GWP. So, in case there's long-term policy, we account for GWP on proportional basis. Similarly, we cede also on proportional basis and the commission also we account for on that GWP only.

Moderator: Next question is from Madhukar Ladha from Nuvama Wealth Management. Please go ahead.

Madhukar Ladha: This is the first time I'm interacting with you guys. Maybe my knowledge about the company is a little bit more basic, so this question is a little bit more basic. I wanted to understand this one thing. We do 50-50 accounting. And so, the 1-by-N, how is that changing the NEP in 50-50 accounting?

So, even the long-term policies, how do we sort of account for it? Because my understanding was at least for 1 by 365 accounting, NEP does not change irrespective of how the 1-by-N for the long-term policies is taken. So, why does NEP change in this accounting?

Vishwanath Mahendra: Yes, sure. So,

in terms of treatment of long-term policies, so earlier it was considered whole amount as GWP and let's say we were earning 50% of that and paying whole commission upfront. Now what happens, this premium gets spread over the number of years. Let's say if it's two-year policy, so premium will get spread over two years. Now, we will only earn 50% of the first year GWP or NWP after reinsurance and the 50% will be earned over next year. And the next year GWP that will flow in from here, that also will earn 50% and 50% will go to next to

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next year. So, there's a change. So, what's happening is earning is reducing in this financial year and the same will sit in next financial year.

Madhukar Ladha: I mean, does that mean that if you were writing a three-year policy, you were including NEP 50% of the premium right in the first year?

Vishwanath Mahendra: Yes, that's right. And accounting for commission or any, that expense also upfront.

Madhukar Ladha: So, essentially, one and a half year of premium would be accounted for NEP in the first year itself, if let's say the policy is written after 30th September.

Vishwanath Mahendra: So, there is some disturbance? We could not get the last line.

Moderator: Mr. Madhukar, I'm sorry to interrupt, but if you're on a hands free, request to use the handset, there's a lot of static and disturbance on your line.

Madhukar Ladha: I'm not on hands-free. Is this better?

Vishwanath Mahendra: No, it's not better.

Moderator: Mr. Ladha, we request you to maybe call us back, maybe from a different number or a device.

We can't really hear you. We'll move to the next question in the meantime. The next question is from Shreya Shivani from CLSA. Please go ahead.

Shreya Shivani: I hope I'm audible. I wanted to understand from your distribution mix, I can see that maybe there has been a slight decline in the Bancassurance channel mix, etc., but that's very marginal between 1H and nine months. But I wanted to understand how has the dynamics in the Bancassurance channel been for you? We heard a lot of concern from that channel, though it was more on the life insurance side. But what has been your experience in this channel with your different bank partners? And is there any concern or change in processes that you are noting in that channel? Thank you.

Ankur Kharbanda: Yes, hi. So on the Bancassurance side, as you said, the difference is marginal in terms of the channel mix. And that is also to do with the 1-by-N methodology. Otherwise, if you look at without 1-by-N, it remains the same. There's no difference so to say. In terms of bancassurance model working, the bank's acceptance, their preference, priority on selling insurance, I think the only change which has happened is now it's getting more prudent day by day.

The selling processes, they're refining the selling processes, which helps the customer, which helps us and the service as well. But from perspective of getting to the end customer through this channel, I think the banks are also keen and we are also very keen.

Shreya Shivani: Got it. And just a follow-up on the channel strategy. So of the 1,72,000 individual agents that we've disclosed, how many of them would be the ones we've made them give examination, what you call IC, the ones you've helped them give examination rather than just onboarding from the life insurance agent? How many would be that?

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Ankur Kharbanda: Largely, as a rough idea, around 10% to 15% of our advisors will be onboarded by us as a new agent to us. And the rest would be from the industry, which we get from various life insurance companies and various general insurance companies. But this is because that this was last 10-year agent base. If you look at the recent two, three years, this number is higher.

r. The last two

years, we have been focusing on getting more new than the existing one from the market. So that number is higher.

Shreya Shivani: So on the overall stock, it is 10% to 15%, but the fresh agents that you've probably acquired, you've done most of that examination thing, but as in the KYC thing and all that. Got it, understood. This is very useful.

Moderator: The next question is from Vishal, who's an individual investor. Please go ahead.

Vishal: My question was on the technology front. So the last part of the presentation speaks a lot about the superior tech stack data analytics. So do you see this translating into a better combined ratio when compared to your peers, either in terms of superior underwriting and the loss ratio or more efficient expense ratio?

Vishwanath Mahendra: Yes, definitely. So if you see we have automated every leg of customer journey, right from onboarding to customer sourcing, automated underwriting, claims management with zero human touch and renewal process. And these metrics have been moving upwards in the last two, three years. And this is already yielding us results in terms of flattening the cost curve. So this is helping us and going to help us going forward.

Krishnan Ramachandran: So in the company, we run -- enabled through technology and analytics, we run an initiative that we call Zero Human Touch. So whether you look at customer sourcing, underwriting, 51% of our policies are auto decisioned, which means that they don't go through the hands of a human being, so to speak. So clearly, we would have needed many, many more human beings absent the intervention of tech and analytics in our process. So to Vishwanath's point though, the whole point is this has helped us flatten the cost curve and make sure that our cost curve is not linear to how our business is growing.

Vishal: Absolutely, I definitely agree. But just wanted to get a sense of long term, if you could give a range of how many bps or edge do you think this could be over your peers?

Krishnan Ramachandran: We don't have that view that we can offer at this point in time, but maybe offline, we can have a discussion on what, you know, how far does this translate into?

Moderator: Next question is from Pranav Gupta from Aionios Alpha Investment.

Pranav Gupta: I wanted to understand the accounting of the long-term products better. I'm not sure if this was discussed earlier in the call. I joined late, so apologies for the repetition.

Vishwanath Mahendra: Yes, so the accounting effective 1st October is we are only considering in GWP the proportional premium. For example, if it's two-year policy, INR100 rupees for two year policies. We consider

INR50 GWP this year and INR50 next year. And commission in most of the cases is also on 1 by N basis. There may be some exception and that's something which is under discussion. And similarly, the reinsurance is also on that proportion only in this example, INR50. So we get NWP and the rest of the accounting is similar in terms of calculating earned premium , etc.

Krishnan Ramachandran: So the one thing I want to add and empha size to what Vishwanath said, the true reflection of our economics from an accounting standpoint is through the IFRS accounting standards. We have consciously, you know, as part of the DRHP process , we had our two year financials audited and published on a n IFRS basis. We continue to do that every quarter, we will publish our annual audited IFRS accounts as well at the end of the year. Number one.

Number two, we also consolidate our accounts to Bupa on an IFRS basis, which is the global standard as far as insurance is concerned. And in India as well, the timeline is yet to be firmed up. But outer limit April 2027 is what the regulator has ind icated for the adoption of IFRS accounts in India.

So just in

terms of the principles around matching, especially given that we are a high growth business, and a seasonal business, we do strongly feel that IFRS is the correct reflection of our underlying economics. So I would urge and draw your attention to our IFRS financials. Of course, the reported financials are available. But IFRS is what, I would draw your attention to. Pranav Gupta: No, absolutely understand and appreciate that, sir. I was j ust trying to understand, how the accounting of GWP and NEP works. But keeping that aside, given that, you mentioned that almost 20% plus of our policies are longer term policies.

And with this change in reporting requirement, is there any thought of sort of probably bringing that proportion down? Or are we comfortable with the kind of changes that we need to do in terms of the way we report? that's the question I was trying to understand.

Krishnan Ramachandran: Well, I think the fundamental determinant of why we've been driving multi -year is, it delivers, economic value, because, the retention is guaranteed. So I think, it's more a question of what makes business and economic sense. And the accounting, as I stated, you know, whether it's 1/N or the old accounting, those are both, not necessarily the best reflection of our economics. And IFRS is what we continue to publish for all of you to get a sense of how the economic value of the business is playing out.

Pranav Gupta: Right, and just one last questio n. Assuming that, there's a senior citizen who's probably taken a longer -term policy, with this new construct of a 10% cap, how does the re -pricing on that sort of policy, how would that work incrementally?

Would you be allowed to take a hike, say it's a t hree-year policy, would you be allowed to take a multi -year hike in the fourth year once the policy renews, or how will that work? Is there any understanding around that?

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Krishnan Ramachandran: No, that's a good point. To be honest, we probably need to get that clarified from the regulator as well. I think our operating assumption is that it will have to be on whatever is the last ticker price she or he paid for.

But you make a valid point that effectively, there'll be more than one year of inflation that needs to be caught up, something that's worth clarifying, to be honest.

Pranav Gupta: Sure, sir. Thank you so much. I have more questions, but I'll come back in the queue.

Moderator: Thank you. Next question is from the line of Rachna from Simple.

Rachna: So I just wanted to know, where does the large part of our growth come from? Is it from the renewal premiums or new business? And if it is from the new business, what proportion of new business growth is expected to come from porting inwards? So that's my first question.

Second question is, how do the ticket sizes for retail health policies in newer channels like digital or bancassurance compare to the agency -driven products previously? Is there a decline in ticket size in these new channel s?

And third question would be, what proportion of your retail portfolio is expected to be repriced in the next year? And do you think price hikes can be a major driver for improvement? Yes, that's it.

Ankur Kharbanda: Sorry, I've not understood your first question fully. But on your second question on channel -by-channel ticket size, digital and agency are largely similar. It's not very different.

Bancassurance is a little lower, 10% to 15% lower. But digital and agency are in the same range of ticket size. Can you repeat your first question so that I can answer this?

Rachna: So where does the large part of your growth come from? Is it from the renewal or is it from the new business? And what proportion of new business growth is expected to come from porting?

Ankur Kharbanda: So if you look at our growth rates, largely you would see that both

renewals and fresh business

is growing. And you would get the details. We are growing at a - for the first nine months, we are growing at a 30% number, which is a mix of both renewal and fresh.

So there is no big difference between that. But largely our growth comes from fresh business, but renewal definitely is there as well.

Rachna: Okay. And so what would be your retail portfolio repriced in the next year? And do you think price hikes can be a major driver for improvement?

Vishwanath Mahendra: So we are in that process of annual operating plan preparation. And the repricing is outcome of this. But generally we reprice all the products like we mentioned for inflation and some mix change.

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So that's usual. Don't think that's the major driver of growth. So this is basically to take care of medical inflation, loss ratio and that stuff.

Moderator: Next question is from Supratim Dutta from Ambit.

Supratim Dutta: I have two follow-ups. So firstly, on the loss ratio, you gave the nine-month FY'25 IFRS numbers. Could you give us the nine-month FY'24 IFRS numbers as well? That would be very helpful. And secondly, there was a question on hospital tariffs, which was previously asked? And you indicated that there is significant impetus on getting everybody on board and bargaining with hospitals. But do you think, till date, the bargaining or hard bargaining by insurance companies has been somewhat counterproductive? Because what has happened is the smaller hospitals have folded up or been acquired by larger hospitals.

And hence, their bargaining power has increased. So how do you balance this? How do you balance this shift of power, which has happened from smaller hospitals towards larger hospital networks, because a hard bargain could result in this further accelerating. Those were my two questions. Thank you.

Vishwanath Mahendra: Sure. So Supratim, on your first question, the loss ratio, which we mentioned for this year, 64.2. The last year, for nine months, was similar, 20-30 basis point here and there. Otherwise, more or less similar.

Bhabatosh Mishra: On the second point, two parts. One is there is, as Krishnan sir mentioned, there is a lot more focus, urgency with regards to negotiating standardized tariff across provider network in India, largely driven by the recent directive of the regulator. And the regulator has been nudging the industry to do so.

There has been some progress made, but we do see the pace of progress to move up substantially now on. And in terms of this negotiation, we have not seen much of acquisitions of smaller providers by large providers. There had been some consolidation, but largely within the sphere of tertiary acquiring a tertiary, not a smaller provider.

We don't feel it would have any significant impact, adverse impact to any of the portfolios. In fact, standardization will bring in a lot more clarity, not just to insurers and to the customers as well. And it would bring in what we call more price predictability or cost predictability from provider, of which the benefit is premium stability, which will directly pass back to the consumer.

Moderator: Next question is from Madhukar Ladha from Nuvama Wealth Management. Please go ahead.

Madhukar Ladha: So, I don't know if I missed a little bit of the call. So, just on yours, I wanted to get a sense of the split, your GW P split. So, of this 30.8%, which is a Group, how much of it is the employer employee, and how much is credit linked? And could you also help me understand where is the

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credit linked coming from? And we have a direct business of brokers of about, sorry, brokers of about 29%.

So, which type of business do we get mainly from brokers? And what is this others channel, which is also quite big at

20%? Oh, sorry, that's a small part. Others is small, less than 1%. But yes, the brokers get about 29%. So, what business do we get from there?

Krishnan Ramachandran: So, the broker is a combination of brokers like Marsh, Aon, Tower Watson Willis as well as digital brokers like RenewBuy, Policybazaar, Turtlemint. So, it's a combination of both retail

broking as well as corporate broking. In terms of the split of the 30% , I would say roughly one - third, two -third is what it is. One -third towards the corporate and two -thirds towards the asset linked products.

Madhukar Ladha: Two-third is asset linked, okay. And where do you get most of this 20% from?

Krishnan Ramachandran: It's across banks, non -banks. So, it's a fairly diversified mix of partners that we get.

Madhukar Ladha: But mainly would be banks and corporate agents?

Krishnan Ramachandran: Banks as well as non -banks, both.

Madhukar Ladha: Non-banks would be in corporate agents, right?

Krishnan Ramachandran: So, it could be NBFCs - NBFCs, Yes. They could be brokers or corporate agents, depends.

Madhukar Ladha: Okay. And then of that 29%, which is brokers, a large part of it would be, what part of that would be corporate? And what part of that would be retail? Because I'm guessing retail would be in the biggest share would be Policy Bazaar.

Krishnan Ramachandran: Yes. Retail would be the larger share in that 29%. But we do have a fast -growing corporate book as well.

Madhukar Ladha: Right. And how much would be the retail?

Krishnan Ramachandran: We'll have to get back to you on that.

Moderator: Thank you very much. That was the last question in queue. I would now like to hand the conference back to the management team for closing comments.

Krishnan Ramachandran: So, thank you very much to all of you for your patient hearing as well as your very thoughtful questions. I deeply appreciate it. Just to summarize, we have had this - the last quarter has been a quarter of transition for the industry and us. And I do believe we have to a very large extent been successful in navigating the transition, but still work to do. But thank you once more.

Moderator: Thank you very much. On behalf of ICICI Securities, that concludes the conference. Thank you for joining us, ladies and gentlemen. You may now disconnect your lines.

Call: May 2025

Niva Bupa Health Insurance Company Limited
IRDAI Registration No. 145 | CIN: L66000DL2008PLC182918
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May 13, 2025

Ref: NIVABUPA/EQ/2025-26/19

To,
National Stock Exchange of India Limited
Exchange Plaza, C-1, Block G
Bandra Kurla Complex, Bandra (E), Mumbai – 400 051 BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai – 400 001

Symbol: NIVABUPA
Scrip Code: 544286

Sub: Transcript of the Earnings call conducted on May 07, 2025

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 read with Para A of Part A of Schedule III, please find enclosed transcript of the Earnings call conducted on May 07, 2025 with Investors/Analysts in respect to the Audited financial results of the Company for quarter and year ended March 31, 2025.

The same is also available on the website of the Company at www.nivabupa.com.

Kindly take the same on records.

Thanking you,
For Niva Bupa Health Insurance Company Limited

Rajat Sharma
Company Secretary and Compliance Officer
Membership No. : F7069

"Niva Bupa Health Insurance Company Limited Q4 FY'25
Earnings Conference Call"

May 07, 2025

MANAGEMENT : MR. KRISHNAN RAMACHANDRAN – MANAGING DIRECTOR &
CHIEF EXECUTIVE OFFICER, NIVA BUPA HEALTH INSURANCE
COMPANY LIMITED
MR. VISHWANATH MAHENDRA – WHOLE -TIME DIRECTOR &

CHIEF FINANCIAL OFFICER , NIVA BUPA HEALTH INSURANCE
COMPANY LIMITED
MR. ANKUR KHARBANDA – WHOLE -TIME DIRECTOR & CHIEF
DISTRIBUTION OFFICER , NIVA BUPA HEALTH INSURANCE
COMPANY LIMITED
DR. BHABATOSH MISHRA – DIRECTOR , CLAIMS , UNDERWRITING
AND PRODUCTS , NIVA BUPA HEALTH INSURANCE COMPANY
LIMITED
MR. DHIRESH RUSTOGI – CHIEF TECHNOLOGY OFFICER , NIVA
BUPA HEALTH INSURANCE COMPANY LIMITED
MR. VIKAS JAIN – CHIEF INVESTMENT OFFICER , NIVA BUPA
HEALTH INSURANCE COMPANY LIMITED
MODERATOR : MR. RUSHAD KAPADIA – ICICI SECURITIES

Niva Bupa Health Insurance Company Limited
May 07, 2025

Moderator: Ladies and gentlemen, good day and welcome to the Q4 Results of Niva Bupa Health Insurance Company Limited hosted by ICICI Securities.

This conference may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not guarantees of future performance and involve risks and uncertainties that are difficult to predict. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Rushad Kapadia from ICICI Securities. Thank you and over to you, sir.

Rushad Kapadia: Thank you. Good evening, ladies and gentlemen, and welcome to the Q4 FY25 Results Conference Call for Niva Bupa Health Insurance.

We have with us from the Management , Mr. Krishnan Ramachandran – Managing Director and CEO, Mr. Vishwanath Mahendra – Chief Financial Officer, Mr. Ankur Kharbanda – Chief Distribution Officer, Dr. Bhabatosh Mishra – Director (Claims , Underwriting and Products), Mr. Dhires R ustogi – Chief Technology Officer and Mr. Vikas Jain, Chief Investment Officer.

So thank you and over to you, sir.

K Ramachandran : Thank you, Rushad. Good evening and thank you to everyone of you who is participating in this call at a late hour. It is my privilege to present the full year financial results of Niva Bupa the first time after we listed as an organization in November 2024.

I will walk you through some “Key Highlights of FY25” and I will request my colleagues to chip in as we move along . As much as possible, I will refer to numbers on a like -to-like basis because as you are all aware, there was a significant accounting change effected by the insurance regulator on October 1 last year, so for ease of comparison, I will refer to a bunch of numbers on a like -to-like basis.

So we closed last year in terms of GWP at Rs.7,406 crores, a growth rate of 32% without the “1/N” accounting change. We closed the year on an IFRS profit after tax of Rs.203.3 crores on a full financial year basis. We continue to maintain consistently a high claims settlement ratio ; 92.4 claims settled out of every 100 claims that we get. And we improved our weighted average NPS to 55 for the full financial year, up from 50 -odd in FY24.

Niva Bupa Health Insurance Company Limited
May 07, 2025

Just to walk you through progress on strategic pillars :

- Pillar #1 is being the health partner of choice for customers .
- Pillar #2 is building out a multi -channel and diversified distribution mix.
- Pillar #3 is a business model that's underpinned by technology and analytics, keeping discipline around underwriting and claims and a big focus on talent management.

On a full year basis in terms of product mix, we closed the year with 65.5% retail and the balance split between group , PA and travel. Our group mix increased on the full book, primarily because we had the privilege of writing two large corporate accounts that valued our propositions specifically around the wellness ecosystem and our ability to deliver on a total cost of ownership platform centered around not just insurance, but also managing the health of employees at very acceptable economics. We also grew our retail market share from 9.1% in FY24 to 9.4% on a full year basis. During the last quarter, we launched a new product called “Rise .” We are very excited with this product because it targets what in our assessment is the largest unserved population in health insurance in India, which is the “Missing Middle” as NITI Aayog refers to it, middle

le class, lower

middle -class Indians. So we launched this product in February, and we believe this opens up a whole new and large customer segment for us as a company.

We continue to make solid progress on our health and wellness ecosystem ; borrowing of Bupa's global healthcare strategy. And all of this is delivered through our customer app. We have more than 11 million downloads of our app as of last financial year and our monthly active users on the app is in excess of half a million.

As I already mentioned, our episodal NPS moved to 55 from 50 and specifically we improved on what is the moment of truth in the health insurance business which is the claims NPS specifically at the time of discharge we move d that number to 67 fo r the full financial year up from 63.

We continue to expand on our distribution. During the last quarter, we added 8 ,000 agents and between banks and brokers, we added 30 new distribution partners during the quarter. Again, we continue to make progress on analytics and technology and one KPI I will highlight is our auto adjudication rate on claims moved up to 28.5% on a full year basis .

We also continue to execute on our Preferred Provider Network strategy which delivers in our opinion the right combination of quality and value for customers . Our PPN network is now present in 40 cities across India and covers close to 600 hospitals .

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The average claim size, which is a good proxy for medical inflation that we experienced in our portfolio, grew by 5% and broadl y the CAGR on this has been about 6.5%, 7% on our portfolio . So last year we experienced unit cost inflation as measured by ACS of 5%.

And before I hand over to my colleague, I think one aspect that we are especially proud of, and we measure ourselves is how well we do on tal ent. And we did get recertified as a Great Place to Work, and we rank once more in the Top-25 Places to Work in Banking and Financial Services .

I am now going to requ est Vishwanath – our CFO to talk about our Financials.

V Mahendra: Thank you, sir. Good evening everyone.

So like Mr. K rishnan talked about, the growth rate on like -to-like basis in terms of GWP it was 32% , on "1/N" basis it is 21% in FY25 over last financ ial year. Net Earned Premium grew by 28% to Rs.4,894 crores .

The PAT under IFRS grew around 91% from Rs.106 crore s in FY24 to Rs.203 crore s in FY25. The profit under iGAAP has also registered a significant growth from a profit of Rs.82 crores in the last financial year to Rs.214 crore s in the current financial year, resulting in around 161% improvement.

There is an increase in combined ratio for FY25 by around 245 basis points to 101.2% from 98.8% in FY24 due to "1/N" impact . The increase in combined operating ratio is majorly driven by loss ratio which is 59. 0% in last financial year and 61.2% in current financial year. Without "1/N" impact, the combined ratio for FY25 is 96.1% with an improvement of around 270 basis points from F Y24, of which 80 bps is coming from improvement in loss ratio and 190 bps from improvement in expense ratio on like-to-like basis.

Investment yield in the last financial is 7.4% with AUM of R s.8,175 crore s. Solvency ratio is at an healthy level of 3.03 x against regulatory mini mum of 1.50 as on 31st March 2025. So , this was broadly an overview of last financial year .

Happy to take questions.

Moderator: Thank you, sir. Ladies and gentlemen, we will now begin with the question -and-answer session. The first question comes from the line of Supratim D atta from Ambit Capital. Please go ahead.

Supratim D atta: Thanks for t he opportunity . Just wanted to understand if you could split the loss ratio between retail and group and within group, your affinity products and group employer -employee, how would those have tracked in FY25 versus FY24 if you could give us some color on th

at, that would be very

helpful ? And the second part is I understand in the commentary you have mentioned that you have

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increased the share of employer - employee at a f avorable economics. Typically , this business has shown time and again that loss ratios can be very volatile. So , what are you doing different that will allow you to arrest this volatility in this product , if you could help me understand that, that would be again, you know very helpful ? And lastly on the claim inflation, the claim inflation appears to have reduced versus FY24, it was around 7.4% , it has now come down to around 5%. Now , this again seems to be in contradiction with what we hear in the industry that claim inflation continues to go up. So again, if you could help us understand what you are doing differently which is allowing you to arrest this claim inflation , that would be very helpful ? And if the claim inflation is coming down, does that mean that the price hikes that we have been taking around 10% , does that need to be revised downwards as well? Those are my three questions. Thank you.

V Mahendra : Thank you, S upratim . So in terms of loss ratio, I will talk about IF RS loss ratios, which are on 1 by 365 and since these are IFRS, there's some loading for claims handling expenses, which is to the tune of 3 percentage p oint, so just to give you context . So last year the overall loss ratio on 1 by 365 IFRS

was around 63% which is 63.8% to be precise in FY25. So FY24 63% moving to 63.8%. So in terms of retail and group, retail was around 65% last financial year, which is 66% in this financial year. So there is a 100 basis points increase in retail loss ratio. In group, we don't bifurcate in employee-employee, non-employee-employee. So in IFRS we look at group on a combined basis, which was 57.7% last year which has increased to 58.2%. So that's the group loss ratio. In terms of medical inflation, 5% inflation, this is more or less in line with what we have been experiencing between 5% to 6%, 6.5% medical inflation year-on-year. Do you want to talk about anything on medical inflation we are doing differently.

Dr. Bhabatosh Mishra: Sure. Thank you for your question. At Niva Bupa entire provider management and tariff management strategy is deeply driven by insights coming from data analytics. Instead of a generic approach of volume-based and other instrument-based discount, we have a targeted discussion with providers. In terms of providers strategy as you would have seen now we are present in 40 cities with a provider network which is preferred to us which is of reasonably good quality treatment at affordable cost to our customers generating value. So that is the strategy we have taken forward and scaling up, more than nearly 600 hospitals right now and gradually customers are happy to move into there because it helps them. We also deploy specific negotiation tactics based on data as I mentioned which is about packaging of procedures and discounting on specific diagnosis and procedures, which have a disproportionately larger impact on our book and positive impact. And last but not the least, we do deploy as you may possibly be aware that billing review, case management, these are measures we deploy so that protocol basis consultation with treating doctors and protocol applications ensuring right treatment and billing review to ensure that the billing format and practices of hospitals are as per the SoC agreed with them. These are some of the measures which help us achieve better control on medical inflation trends.

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K Ramachandran: But more broadly, Supratim, I will just add to what Vish & Doc have said. Ultimately the focus of all of this is to manage to a target claims ratio and we deploy broadly five levers to do that. One is

the risk selection method that we have and we would have spoken in the past as well about our lifetime value approach to selecting risk. We believe that this is the most critical determinant to underlying portfolio quality and therefore claims ratio. Second is the risk assessment framework which is making sure that we are pricing risk appropriately. So, somebody who is diabetic we need to make sure that the risk is priced for average cost, which is over lifetime 1.5 to 2 times more than the averagely healthy individual. Claims management, Dr. Bhabatosh referred to. The other one is good rhythm of continuously cross-selling and upgrading to our customers underpinned by next best offer analytic models. And as we have updated in the past we do execute annual premium revisions to negate overall medical trends that we experience in our portfolio. To your question on employer groups, again, yes, you are right, this is a market where pricing levels fluctuate in the industry, but just making sure that we're disciplined around what price points we're able to write this business at and also making sure that we have a healthy mix of small and medium enterprises. That's a very focused effort within the company to make sure that overall as a portfolio we run this in a way that delivers economic value. Somewhat long answer, but that's broadly the essence of what we do to address your question.

Supratim Datta: Got it, got it. Thank you.

Moderator: Thank you. The next question comes from the line of Prayesh Jain from Motilal Oswal Financial Services Limited. Please go ahead.

Prayesh Jain: Yes. Hi. First of all, good set of numbers. Congratulations for that. The first question is what would be your gross level expense of management in FY25 and how will give us the glide path in achieving the expense of management regulation, how would you meet that? That would be point one. Question two would be on your network hospitals that doesn't seem to be growing in that sense. So what are the thoughts there? And just extending that hospitals question, what is the status with respect to your negotiations with hospitals coming down to a common agreed rate? And last question, what will be your AUM mix between debt and equity? Thanks.

V Mahendra: So I will address the expense of management question. So the expense of management ratio for FY25 is 37.4%; there is an improvement of 190 basis points over the last financial year where it was 39.3%. And incidentally, the same improvement we have seen in FY24 over FY23 also; so in FY23 41.2% improving to 39.3% in FY24 and 37.4% in FY25. And if you just see FY25, let's say, what is the allowable expense ratio, so it is 35.5% considering 35% and some allowances on insurtech, etc. So we are again around 190 basis points away. So we are very confident that we will be able to achieve this in current financial year looking at the trajectory.

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Dr. Bhabatosh Mishra: You are right. The network hospital strength has not grown substantially and that's a conscious decision. While what you see there is a net of additions, deletions, 80%+ of claims come from a

limited number of few 100 hospitals. It thus having a network of 10,500 close to that , also enable servicing our customers across the length and breadth of this country and we follow a rigor of reviewing hospital from quality , cost and other point of view , and other practices point of view periodically and thus while we add quality hospitals based on where we are getting reimbursement claims from, we also consciously de-panel some hospitals based on the practices as I spoke about earlier on cost, quality and on some of other practices around customer service , etc.

K Ramachandran: On your question, Prayesh, on where are we on the common empanelment initiative of the industry, the initiative as you know has

been led by the General Insurance Council. It is well underway. The entire country has been broken up into a number of geographies , teams have been formed and allocated specific hospitals. So discussions are underway . These hospitals to get them to sign up with the Council as the representative authority to build out this common network. It's work-in progress . As you can expect in an initiative like this, there's obviously a pushback because what we are asking for is we tie up with offers the industry the lowest rate that they have with any provider. So there is pushback, but there are also early positive signs of willingness to accept and move forward. So all I can say is very much underway and solid work in progress.

Vikas Jain: Prayesh, to your question on the investment book , all of our investment book is debt as of now. We have a very negligible portion that we have invested in NIFTY ETF as of recently, but it's all practically debt for us.

Prayesh Jain: On the industry, the way things are shaping up , one is there is a price hike that has come through , second is there is a lot of commentary on the rejection of claims , then there is commentary of hospitals not tying up with the insurance companies or discontinuing the tie-ups and then now again there is talk of about insurance companies sending third-party investigators at homes of people to check , the industry seems to be riled with negative news flow. Is this kind of impacting demand or how are you seeing this kind of behavior in the industry ?

K Ramachandran: So I will make one comment, and I will request Ankur to address the question on demand . Yes, you are right. There has been a lot of recent negative press, and I will only speak about health insurance, not the rest of -- There has been a lot of recent negative press around the topics that you mentioned . But what we did is to actually pull out the real data . There is publicly available data around in the NLs around complaints per 10,000 claims , around complaints per 10,000 policies and claim settlement ratios. And actually we internally did an exercise to look at it, in the aggregate, are we doing a better job, worse job, or are we sort of doing what we have been doing on these three specific KPIs because that's then a very data-driven answer to , is the industry really experiencing this or there is just more negative reporting . And the answer to this , Prayesh, you can actually download the NLs Niva Bupa Health Insurance Company Limited
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and do this exercise for yourself . On every KPI the industry has actually improved , claim settlement rates, and when I say industry I am referring to the aggregate of all the industry data on this , the claim settlement rate has improved , complaints have come down both on the claim side as well as on the policy side. But the reality is that obviously the industry has grown, the absolute count of complaints has increased. But more broadly, if I have to sort of sum up the core issue that health insurance is grappling with, it is more a problem of perception driven by anecdote as opposed to what the data or the statistic is saying. Therefore, again, the Council will be embarking on a fairly ambitious PR and awareness program, and we would like to fundamentally combat this perception because genuinely the industry on balance is doing a better job than it was doing three years ago and this is something that you will also witness in the days and weeks to come . Specifically on whether this is having an impact on demand, I will refer to Ankur.

Ankur Kharbanda : Yes. Thank you. On the demand side as well, if you look at all of the numbers, be it our numbers or the industry numbers, the industry is growing at a double-digit today and we are also growing , you would have seen our number. we have grown at a 30% -plus growth. So all of this is continuously happening for i

ndustry and us as well from last few years now. So somehow we feel that there are so many levers which we need to work on, which can really create demand and get customers to be insured, which helps the overall agenda on insurance for all by 2047 as well. And as Mr. Krishnan also referred, all the industry is coming together to create more demand and awareness together as well the way some of the other industries are doing.

Prayesh Jain : Thank you and all the best.

Moderator: Thank you. The next question comes from the line of Ananga Rana from A91 Partners LLP. Please go ahead.

Ananga Rana : Hi. I had two questions. First is that given group health for us has grown much faster than retail , just wanted to understand what is driving that growth between like employer-employee and the loan attached product ? And again for both of these, what would be our outlook going into FY26? That's my first question. The second is that our AUM also has grown much faster than our GDP. Now of course some of that would be because of the equity fund raise that we have done as part of our IPO .

But wanted to understand if anything has changed on the business side because of which we may be generating more AUM. Those were my two questions.

Ankur Kharbanda : I will answer the first question. Largely , our contribution has been similar to what it was earlier, except for the two large groups which we have in the last quarter we have picked up and that's where our overall contribution towards the group side has gone up by 2.5% there. Otherwise , our group business was ranging towards 10% , now it is getting towards 12 % , 12.5% . That's the difference between earlier and now. And as earlier also mentioned , overall growth is at 32%, which is a mix of Niva Bupa Health Insurance Company Limited
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both retail and group whereby all three segments , whether it is B2B which is group or it is B2B2C which is the attached group and the retail , all of them are growing significantly.

V Mahendra : AUM, actually , you are right. It has grown higher because of the primary capital raise we had . If you adjust for that, it is in line with our GWP growth. So no change as such in the products or other things.

Ananga Rana: Got it. Thanks.

Moderator: Thank you. The next question comes from the line of Sanketh Godha from Aventus Spark. Please go ahead.

Sanketh Godha : Yes. Thank you for the opportunity. So, sir, I have a few questions . On group health, which is around Rs.2,185 crores for the entire year , can you give how much is contributed by benefit -based plans and how much is employee -employer , a broader breakup and how the breakup looks for FY24 if possible ?

K Ramachandran: Sure. Sanketh, of the total book, 65% -odd is retail , about 13 % is B2B or employer -employee as Ankur referred to and the balance is benefit based plus indemnity, plus personal accident , broadly affinity business is about 22 %.

Sanketh Godha: Okay, got it. And another again data keeping question . Out of this Rs.4,400 crores of retail, which is 65% of your total portfolio, how much is driven by three -year cover ? And I just want to understand with "1/N" accounting, have you changed a bit of strategy to not to focus on three year as such and any implication of that on the growth ?

V Mahendra : Multi -year proportion is around 20% , Sanketh .

Sanketh Godha: It was on similar lines last year or you toned it down in the current year with "1/N" ?

Ankur Kharbanda : Last year it was slightly higher. We have not done specifically anything to tone it down, but naturally it is going down because the distributor now may not get the full remuneration but will get it annually and that's the reason naturally some of the numbers will get toned down.

Sanketh Godha: Okay. So it's not a conscious decision from your side to slow it down, it's more natural , it has come down a bit ?

Ankur Kharbanda : Correct.

rect.

Sanketh Godha: Okay. A couple of more things . One is maybe if you can give a bit of color of again the retail health, to what extent it is contributed from port-in if you are okay to share that number?

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K Ramachandran: As in the past, Sanketh, that number is in the 20 s and this has been consistent with what we have updated in the past as well.

Sanketh Godha: So no material change as such in the current year compared to the last year, right?

K Ramachandran: No material change.

Sanketh Godha: Okay. Maybe if I can ask , has the company witnessed any intense competition in affinity products , basically what you attach with the loans and where typically the long term gets attached because of "1/N" accounting from multi -line players, especially who have very meaningfully better expense of management , just wanted to understand whether the competitive intensity has meaningfully gone up in that line of business which is honestly a very profitable segment for us ?

Ankur Kharbanda : Sanketh, the competitive intensity, we have been seeing all across, not just this channel , all across goes up and down. But specifically to this , some of the competitors were trying to get in because of various reasons, but we have been able to get more accounts in these last six months, we have been able to get more number of partners as well in the last six months and we have been able to get more number of lines within our partner institutes within the last six months.

Sanketh Godha: Okay. Broadening of your channel partners help in the growth. That's the way I need to understand ?

K Ramachandran: Breadth plus depth , both

Sanketh Godha: Okay. Lastly , this Rs.12 crores of other income what you reported in the shareholder account, which looks a little higher than usual . What exactly it is related to ? That's the last question I have.

Ankur Kharbanda : Sorry, can you repeat your question?

Sanketh Godha: In the shareholder account, there is other income line item which is Rs.11.9 crores which seems to be meaningfully very high compared to your usual run rate. Just wanted to understand what it is related to ?

V Mahendra : Actually there were some debts, IIFL, RCap, etc., which were written off in the past . So there was recovery from those. So that's the one under other income.

Sanketh Godha: Okay. Got it, sir. That is it for my side. Thank you very much.

K Ramachandran: Thank you.

Moderator: Thank you. The next question comes from the line of Shreya Shivani from CLSA. Please go ahead.

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Shreya Shivani: Yes. Hi! Thank you for the opportunity. My first question is on our hospital network of 10,500 hospitals that we have. Can you help us understand what percentage of these hospitals would be the corporate hospitals that we know of and what percentage would be just standalone hospitals, if you could give some broad indicative color, not an exact number is also fine? And is it possible to share how many of the hospitals would be present in bigger like tier one and metro cities and how much are like smaller cities and beyond? That's my first question. And my second question is also on your claim reserve, IBNR reserve, etc., Versus 4Q '24 that number outstanding claims reserve as a percentage of net claims incurred was about 67% or so this is down to 61%. I mean just wanted to understand how is our outlook on IBNR and IBNER book -- have we reduced that book in the quarter and in the year, just wanted understanding of that?

V Mahendra: I just address the second question first. So if you see the whole year, as a percentage of net incurred claim, IBNR + outstanding has not changed, on quarter-on-quarter there is certainly a movement because there's different season of infection disease. So sometimes when you have last quarter,

some

infection, etc., so you end up having higher outstanding in IBNR. So if you see whole year, there's no change as such.

Shreya Shivani: Sure. Yes.

Dr. Bhabatosh Mishra: On the question around network hospitals, first of all, 80% of the claims, as I mentioned earlier come from few 100 hospitals and the balance contribute 20%. The corporate hospitals in India are largely concentrated into larger cities. So in that sense, the vast majority of hospitals are non-corporate hospitals, and I am not referring to standalone only, but there could be few hospitals here and there, but mostly as I said standalone and few small chains contribute the largest part of this 10,500-odd hospitals that we have.

Shreya Shivani: Sure, sure. And just a follow up on the IBNR question. So yes, I did check, that on annual basis actually your claim reserve plus IBNR has been range bound in FY 25 to what it was in FY24.

However, in the years prior like say FY23 because FY22 becomes a COVID year, this was a much higher percentage. So have we become more comfortable in carrying lesser claim reserve now in the past two years versus what it was in FY23?

V Mahendra: Yes. So at that time, we were keeping some reserve because there was apprehension that some claims may rebound and we have seen that nothing of that sort is required now. And this testing of adequacy of IBNR, we do every quarter, so we are very comfortable with this number.

Shreya Shivani: Okay, okay. Yes, sure. This is very useful. Thank you and all the best.

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Moderator: Thank you. The next question comes from the line of Akshay J from Exponent Tribe. Please go ahead.

Akshay J: Thank you for the opportunity. Sir, can you help us understand what claim incidence rates are like in retail business versus your employer-employee business?

K Ramachandran: In employer-employee, is that your question?

Akshay J: Yes. And the claim incidence rate in retail versus employer-employee business?

K Ramachandran: Typically, the employer-employee incidence rate tends to be higher than retail by maybe 2.5 to 3 percentage points primarily driven by maternity, because maternity is typically not a benefit that you offer in retail plans. So that's broadly the gap.

Akshay J: Sure. What is like a steady state claim incidence rate for the retail book like, is it sort of 4%, 5% or is it like 7% 8%, 9%, what is it like for us?

K Ramachandran: Yes, I'd say steady state you could expect 7%, 7.5% for retail.

Akshay J: Sure. So you would be far lower than that right now, no?

K Ramachandran: We are lower than that, yes.

Akshay J: So as we grow and sort of book matures, our growth rates become somewhat lower than where we are today, should we sort of expect a higher incidence rate and intensity kind of growth that inflationary, so claims ratio to sort of inch up over the medium term?

V Mahendra: See, I will just address this. So it is not just one factor. So it's multi-factorial. For example, let's say it also has to do with age of the person. So as your book matures, the average age increases, but so is the increase in the premium you realize because age is a rating factor. So, yes, incidence rate inches up, but it doesn't mean necessarily your loss ratio will go up. And also if loss ratio goes up then expense issue goes down because if you have lot of renewal book, so your expenses are much less there. So what we really look at combined ratio and return on equity.

Dr. Bhabatosh Mishra: As Vishwanath mentioned that's true because age is a rating factor, a 55-year-old pays a higher premium than a 35-year-old. So that adjusts for the enhanced morbidity rates which you can read it

as frequency . And lot of this also is at the point of origin where appropriate underwriting, risk assessment, careful selection based on lifetime value models , e

tc., go towards managing this pool of risk or ensure the pool in the long run better than possibly one would expect. So these are inherently the inputs into eventual frequency of claims one would expect.

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K Ramachandran: Look, I will add one more point . Any risk pool if it's sufficiently large, would have some underlying steady state of morbidity, right . Of course , as people age that will go up, but there's also a continuous influx of younger lives . So there will be some steady state. It's not that continuously incidence rates keep going up and people become sicker and sicker over time. And it starts to mirror the population plus something because it is at the end of the day a large pool, but a selected pool. So broadly incidence rate and the best proxy for that is to look at B2B portfolios . In the last 18 , 19 years that we have been in this business, those are range bound, right? So it's not that corporate incidence rates have been going up and up and up. They've been range bound between X&Y , right. So the same thing will happen on the retail side. So therefore what you are left with is to manage unit cost inflation for a mature book and there one important lever is to pass on that inflation every year through premium revision but there are also the other levers that I refer to, including what Dr. just said around risk selection, making sure that you are pricing adequately, cross -sell, up -sell, claims management. So broadly if you take a static view , claims ratios will go up. But then as an operator, there's a range of levers that we will deploy to make sure that we manage the book to a target loss ratio if you will.

Akshay J: Sure. Sure. So one last thought on this is in our conversations with the channel, one of the things that sort of comes out is that over the last two, three years since COVID, there has been a general significant expansion in incidence rate and what we pick up is that as insurance has become more accessible, there is a perverse incentive for the healthcare industry to sort of get more hospitalization done because it's now paid by some third -party, right? And as a result , the incidence rate seems to have shot up , which kind of is not getting under control and which kind of reflects in some of your peers numbers which are far, far higher than what you think is a steady state, right. So is this something that you also see , is this something that as an industry kind of really worry about , would be great to hear your thoughts on it ?

K Ramachandran: Look , structurally anywhere in the world , this is the problem to solve if you will in health insurance and certainly during COVID we have also put that out in our presentation , there was a significant increase in inflation and it did not revert , right , so it's moved up from a fairly sizable jump and any third -party payer system anywhere in the world suffers from this incentive of fraud, waste and abuse, let me call it that. But that's the problem to solve and it is an ongoing problem, at the industry level, we are addressing it , as an operator we address it through all the levers that I described . Is it a problem? The answer is yes. Do we need to manage it? Are we managing it? The answer, I guess to that also, has to be yes.

Akshay J: But you don't see that kind of going out of control and sort of leading to far worse economics than they are?

K Ramachandran: No, we don't see that going out of control.
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Akshay J: Sure, sure. That's helpful. Thank you so much.

Moderator: Thank you. The next question comes from the line of Gaurav Nigam from Tunga Investments. Please go ahead.

Gaurav Nigam: Hi, sir. Thank you for taking my question. The first question was on the term that you use. I just wanted clarification . You use the term claim inflation

on . I think some of your peers use the term medical inflation . Is there a definition difference or just you are using the same definition?

K Ramachandran: It's the same.

Gaurav Nigam: Okay. Some of your peers are talking about double -digit inflation while you are experiencing mid -single -digit inflation. That's correct, right ? Just to clarify.

Dr. Bhabatosh Mishra: Yes, look, I can talk to what our portfolio is experiencing.

Gaurav Nigam: Sir, second question was on the hospitals . Again one of the earlier analysts asked about this hospitals blacklisting from the insurance companies and we keep on hearing some of these things . Is there anything which insurance companies do to understand the hospital satisfaction, and is that an important metric , how are you doing , how are you ensuring that because providers are one of the important ecosystem partners, how are you ensuring that they are equally responsible and will continue to work with you ?

Dr. Bhabatosh Mishra : Thank you for that question. We do check and our robust provider management team regularly periodically engages with all network hospitals and several non -network hospitals as well. It's a collaborative process. The collaboration is with regards to these following things. One , obviously the

tariff, the cost of treatment , etc., The second is processes how can ease it for the hospital and help this patient , customer in the most effective timely manner and third is of course discussions around protocols and treatment protocol applications right treatment for the right kind of conditions. These are the three important levers on which we periodically engage with hospitals and that yields good results.

Gaurav Nigam: I mean just wanted to understand, is there something which you are doing differently from others , is this something that you are only uniquely doing , what is Niva Bupa doing differently on this?

Dr. Bhabatosh Mishra: Well, I can speak of few initiatives which we feel unique, but I wouldn't have the complete overview of everybody's initiatives. Let me start with the preferred provider network . I mentioned earlier as well. 40 cities, nearly 600 hospitals, these are quality hospitals delivering quality treatments at affordable cost. That is the initiative we continue to scale up and see at least 15% of our claims in these cities and increasing number is moving to PPN. That's one . The second initiative is analytics - Niva Bupa Health Insurance Company Limited
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driven triggers for billing review to ensure that the billing practices by the providers follow the SoC norms and what is agreed between us . That's the second one . And third one is, as I mentioned, things like case management, which is direct engagement with treating doctors on protocol applications, right amount of stay required for a certain procedure or treatment in hospitals, things which are very medically -oriented where a doctor speaks to a doctor defining what is the right treatment for that condition, for the right duration of stay.

Gaurav Nigam: Very interesting, sir. Thank you for sharing a detailed answer. Thank you , sir.

Moderator: Thank you. The next question comes from the line of Bhuvnesh Garg from Magma Ventures. Please go ahead.

Bhuvnesh Garg: Yes. Thank you for the opportunity, sir. Couple of questions from my side. Firstly , is on the product side. So as you mentioned that there is a tendency for some people to abuse the product benefit. So are you making any changes in your product structure so as to reduce this leakage ? And so what are your targets and how are you tracking your progress on those lines? That's my first question.

Dr. Bhabatosh Mishra: Let me start with saying this , that insured population is a selected pool and any selected pool tends to exhibit what you colloquially refer to as fraud , abuse and waste, not just at the end of a consumer, but at the end of

the provider as well. Several changes, several provisions in product already in place and we continue to deploy more such things in revision of products and new products we bring in to manage this. So , there are tremendous benefits that we have brought into product well. Judicious behavior by customer creates more value for them. For example, carrying forward the sum insured , smaller deductibles so that the premium goes down and customer enjoys the benefit of events, which is beyond the threshold of certain claims , small claim values. So we deploy starting from very small as 20,000, 10,000 deductible all the way up to 5,00,000 deductible , etc., So in products we already have such provisions and we continue to build more to manage potential abuse that may happen . Now as you refer to the fraud, it is something that is very empirically analytics driven fraud triggers that we use. These are learning models which factor in trends that emerge because this is something that every insurer like us have to continuously upgrade . We deploy such sophisticated tools, techniques and methodologies to detect fraud and eliminate them. On the waste part, I have already covered in the earlier question things like case management, length of stay management and billing review with regards to the provider part.

Bhuvnesh Garg: Sir, any data if you can share that how in numbers you are tracking this progress like number of fraud cases prevented or how much benefit your initiatives have delivered to your claims ratio , any number you can share ?

K Ramachandran: We are happy to share that offline.

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Bhuvnesh Garg: Sure, sure. And second question is on your average age of retail indemnity customer, how it has changed in FY25 versus FY24?

K Ramachandran: Broadly, the age has not changed significantly. The average age has been in the mid -30s.

Bhuvnesh Garg: Okay. So considering that your claims ratio has increased year -on-year, so can we say that within that same cohort customer has shown the kind of worse behavior , so can we conclude that way?

K Ramachandran: No, I mean the thing is it's to do with the product design, right, so every product has waiting periods exclusions which go away over time . So it's not that behavior gets worse . Of course, morbidity curves go up with age. But as Vishwanath already mentioned, all our premiums are age is a rating factor. So the premium that's charged is appropriate for that age. So it's not that we cross subsidize across ages, so it's more to do with the product design and how that plays out over time.

Bhuvnesh Garg: Okay. And sir, what is our rejection rate in incoming cases ? You said that you have a lot of focus on risk selection. So what is our rejection rate and how it has changed year-on-year?

Dr. Bhabatosh Mishra: That is reflected in our claim settlement ratios, which has consistently moved up year -on-year, closer to about 93% settlement ratio now

Bhuvnesh Garg: No, no, sir. I am talking about onboarding the customer, I mean, so whenever a customer approaches you for insurance, so how many of those customers you reject and how many of those customers you accept?

Dr. Bhabatosh Mishra: Less than 2% of customers, we are currently unavailable to offer an appropriate product.

K Ramachandran: But look, that's not a very useful statistic from your standpoint, because what happens is over time, the distribution understands what's the risk assessment and risk acceptance philosophy of a company and over time they bring in only cases that they believe will be accepted by the company. They would rather take the policy somewhere else because they get to know what is the policy of a company. So not very informative statistic in that sense.

Bhuvnesh Garg: Understood. And sir, how has the number of retail lives covered has changed in FY25 versus FY24?

V Mahendra: Number

of retail lives have grown up by around 18% last year.

Bhuvnesh Garg: Okay. In FY 25?

V Mahendra: Yes.

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Bhuvnesh Garg: Okay. And sir, what's our guidance for FY26 and '27

K Ramachandran: We can take that offline.

Bhuvnesh Garg: Okay. Fine. Sir. That is it from my side.

Moderator: Thank you. The next question comes from the line of Prayesh Jain from Motilal Oswal Financial Services Limited. Please go ahead.

Prayesh Jain: Yes, hi. Thanks for the opportunity again. One question. Could you give us some indication on loss ratios on your three-year cohort say the retail indemnity book that you would have written in FY22, what kind of loss ratios it would be trending at so that can help us understand what's the kind of color of the book?

K Ramachandran: Prayesh, we can specifically answer that offline, but broadly, as we have indicated in the past, idea is to manage the overall renewal book to a loss ratio of about 75% and we are in that ballpark.

Prayesh Jain: Got that, got that. Thank you.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for the closing comments.

K Ramachandran: Firstly, thank you very much for your time late in the evening today and thank you for your questions. In closing, I want to say that we continue to be very excited about the health insurance opportunities.

Yes, as many of you have articulated, there have been some challenges especially around perception around the industry there have been rapid regulatory changes in the interests of the policyholder. But on balance, we believe that we have the right business model to continue to capitalize on the opportunity and to continue to deliver solid multi-stakeholder results, customer, employee and shareholder. Thank you again and look forward to a new financial year.

Moderator: Thank you, sir. Ladies and gentlemen, on behalf of ICI CI Securities Limited, that concludes this conference. You may now disconnect your lines.

Call: Aug 2025

Niva Bupa Health Insurance Company Limited
IRDAI Registration No. 145 | CIN: L66000DL2008PLC182918
Registered Office: C-98, First Floor, Lajpat Nagar, Part 1, Delhi-110024
Corporate Office: 3rd Floor, Capital Cyber scape, Golf Course Extension Road, Sector-59, Gurugram-122101 (Haryana)
Website: www.nivabupa.com | Tel: +91-124-6354900
August 05, 2025

Ref: NIVABUPA/EQ/2025-26/51

To,
National Stock Exchange of India Limited
Exchange Plaza, C-1, Block G,
Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051 BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001

Symbol: NIVABUPA
Scrip Code: 544286

Sub: Transcript of the Earnings call conducted on July 31, 2025

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 read with Para A, Part A of Schedule III, please find enclosed transcript of the Earnings call conducted on July 31, 2025, with Investors/Analysts in respect to the Unaudited Financial Results of the Company for quarter ended June 30, 2025.

Kindly take the same on records.

Thanking you,
For Niva Bupa Health Insurance Company Limited

Rajat Sharma
Company Secretary and Compliance Officer
Membership No. F7069

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Q1 FY '26 Earnings Conference Call "
July 31, 2025

MANAGEMENT : MR. KRISHNAN RAMACHANDRAN – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – NIVA BUPA HEALTH INSURANCE
COMPANY LIMITED
MR. VISHWANATH MAHENDRA – CHIEF FINANCIAL OFFICER –

NIVA BUPA HEALTH INSURANCE COMPANY LIMITED
MR. ANKUR KHARBANDA – CHIEF BUSINESS OFFICER – NIVA
BUPA HEALTH INSURANCE COMPANY LIMITED
MR. BHABATOSH MISHRA – CHIEF OPERATING OFFICER –
NIVA BUPA HEALTH INSURANCE COMPANY LIMITED
MR. VIKAS JAIN – CHIEF INVESTMENT OFFICER – NIVA BUPA
HEALTH INSURANCE COMPANY LIMITED
MR. HIMANSHU AGRAWAL – HEAD INVESTOR RELATIONS –
NIVA BUPA HEALTH INSURANCE COMPANY LIMITED
MR. VARUN GARG – HEAD BUSINESS PLANNING & ANALYTICS
– NIVA BUPA HEALTH INSURANCE COMPANY LIMITED

MODERATOR : MR. ANSHUMAN DEB – ICICI SECURITIES

Niva Bupa Health Insurance Company Limited
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Moderator: Ladies and gentlemen, good day and welcome to Niva Bupa Health Insurance Company Limited Q1 FY '26 Earnings Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference has been recorded.

I now hand the conference over to Mr. Anshuman Deb from ICICI Securities. Thank you and over to you, sir.

Anshuman Deb: Good evening, ladies, and gentlemen. On behalf of ICICI Securities, we invite you all to Q1 FY '26 Results Conference Call of Niva Bupa Health Insurance. Without further ado, I'll now hand over the call to Mr. Krishnan Ramachandran, MD, and CEO. Over to you, sir.

Krishnan Ramachandran: Thank you, Anshuman, and thank you, everyone, for being on the call, and our apologies for the delay. Also, there are some technical glitches on the BSE side because of which the financials and presentation are not yet available, but it's available on NSE. With me are my colleagues, Vishwanath, CFO; Ankur, CBO; Dr. Bhabatosh, COO; Vikas Jain, CIO; Himanshu, Head of Investor Relations; and Varun, Head of Business Planning & Analytics. As far as the industry is concerned, health insurance continues to be the largest segment within the non-life industry. And in Q1, it experienced a growth rate of 10%. One thing for all of you to be aware is that the reported numbers, because of the multiyear accounting change, will continue to have noise depending on the proportion of multiyear. So one caveat in terms of the overall industry growth rates and why they appear to be suppressed relative to historical averages. From an industry standpoint, three very important initiatives that I feel I should give you an update on. One is the industry-wide awareness campaign with a focus on health and motor.

As an industry, we have been talking about this for a while that awareness is one of the reasons why at the industry level, volume growth has not been in keeping with the potential. We believe that the awareness campaign will be a game changer in terms of increasing not just awareness but also urgency to purchase health insurance. And as a company, we do believe we'll be a direct beneficiary of this awareness campaign. This is a multiyear campaign. So what hopefully some of you may have seen during IPL is only the start of a multiyear campaign that the industry has embarked on.

The second important initiative, which we believe will fundamentally make insurance more and more affordable as we move along is a common empanelment initiative, again, led by the General Insurance Council and enabled through the insurance regulations. And this initiative is well underway.

And as we speak, actually, there are close to 1,500 applications that are making their way through various stages to get on to the industry panel. And just to remind all of you, the objective of this is to have common agreements as well as common tariff arrangements over time. Again, another very important industry initiative.

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And the third, again, which has been launched under the aegis of the General Insurance Council is a movement towards more evidence-based practice of medicine. As you're all aware, post monsoon, there is a spurt of infections across the country. So as an industry, we have come together to define protocols for when is admission necessary, what is medically necessary. These have been friction points with customers historically. But now with us as an insurance

industry, laying out standards, we believe that this will move towards b

etter customer

experience, but more importantly, it will, over time, eliminate unnecessary care.

Now coming to the company's performance for Q1. In Q1 -- and a lot of the numbers I'm going to state will be on a like -to-like basis so that there is comparison. Our growth overall as a company for quarter 1 was 28%. Again, this is without the 1/n impact. And within that, our retail health growth -- our retail health business grew at 32%.

Our IFRS PAT for the quarter was INR70 crores, up from INR36 crores same quarter last year. And our combined ratio, again, on an IFRS basis improved from 103.9% to 103.2%. Our Indian GAAP financials will continue to have noise because of the 1/n accounting change. And this impact will take perhaps between 2 to 3 years to play out. But as we have consistently maintained, IFRS is a better reflection of our financials, and we continue to publish and report our numbers on an IFRS basis.

Our retail market share moved up same time last year from 9.9% to 10%. So that's broadly some highlights as far as the financial performance of the company is concerned. On product mix, broadly, it stays the same, 67% retail, about 31% group and 2% travel and PA. On the product side, again, as we have mentioned in the past, at a portfolio level, specifically on mature products, we will execute high -single -digit price revisions. In Q1, specifically on one of our flagship products, which is ReAssure 2.0, we did execute a 7% increase in Q1.

Our ambition is to not just be a health insurer, but also to be a health partner to our customers. And we deliver a host of what we refer to as ecosystem health services to our customers through our health app. We now have 12.3 million downloads and 5.7 lakh monthly active users on the app, which is a very robust indication of the value that customers see in our services.

More than 50,000 health checkups get consummated through the health app every month and more than 6,000 doctor consults, again, are fulfilled through the app every month. In Q1, we launched a very important new capability, which is a chronic condition management program.

As you are all aware, India is the diabetes and cardiovascular capital of the world. And increasingly, obesity and metabolic syndrome is a big health problem with our country. So with a view to, over time, bending the cost -- in claims on account of these conditions, we have launched this program. The objective is to manage these conditions through lifestyle management, through medication management, so that ultimately, we avoid -- customers stay healthy and avoid hospitalization. So this is an exciting new capability that went live in our app in Q1.

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As you know, we measure NPS across 35 touch points. and our blended NPS score stands at 57 at the end of Q1. And on cashless claims discharge, we continue to have an NPS in the high 60s. Broadly, our distribution mix during the quarter remains unchanged.

And we continue to invest in expansion, specifically in terms of sales headcount in Q1 as well as in the quarters leading up to Q3, we will continue to invest in expansion in our distribution strength. On technology and analytics our extent of intelligent automation continues to improve. Specifically, I'd like to call out maybe three capabilities that are in advanced stages of going live. One is we are upgrading our core system to an Oracle stack, Oracle Health, and we are hoping to go live with that sometime in Q2. This will be a significant transformation to our core technology stack. We are also at an advanced stage of implementing Sprinklr, which is a customer system infused with a lot of AI capabilities.

And we have gone live with Convin, which again allows us -- which is an AI technology that allows us to listen to every call and improve, whether on the telesales side or on the customer side, im

prove call quality and consistency. So while we have broadly improved on automation metrics, there is one metric that did go south in Q1, specifically on claims auto -adjudication. On account of a bunch of information security assurance reviews specifically with third parties, we did suspend the auto -adjudication service, which did mean that our SLAs on claims were hit. You would have noticed that typically, our cashless rate in 30 minutes is -- 90% of our cashless approvals are within 30 minutes. In the quarter, that came down to 76% as well as our overall SLAs took a hit in Q1 because of which we have also had a buildup in our outstanding claims in Q1.

Having said that, the information security assurance reviews are complete, and we have gone back to being live in Q2 in the month of July itself. But that's one specific KPI I thought I'd call out which did not go very well for us in Q1. In Q1, we expanded our PPN network to now 43 cities and 17% of claims in these cities go through the PPN network, which is a combination of a great customer experience, but more important -- or equally importantly, making sure that

customers get high-quality treatment, but in a more affordable care setup. Also, specifically around claims for Q1, whether it's ACS or incidence rates, we don't observe any unusual patterns. They are consistent with the trends that we have seen historically.

And the last statement from my side before I hand over to Vishwanath, our CFO, is that we retained our Great Place to Work ranking. We are amongst the top 100 places to work in the country across all organizations and in the top 25 in banking and financial services. We have always said that talent is critical to our ability to execute and compete in the marketplace. And this ranking is a good external benchmark of the emphasis and importance and quality of our talent management practices. So with that, over to you, Vishwanath.

Vishwanath Mahendra: Thank you, sir. So some of the financial highlights for Q1 FY '26 are. So as Mr. Krishnan mentioned, that GWP grew by 28% in first quarter. But against that 28% growth in GWP, net earned premium grew by only 20% under I-GAAP because of this change in accounting for multiyear policies.

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As a result of this change, most of the ratios are looking distorted under I-GAAP. And as you all know, we have been publishing audited IFRS financials for last 3 financial years. And we also use them for consolidation into Bupa accounts. So I'll be covering financial commentary basis IFRS only. The profit after tax under IFRS almost doubled from INR36 crores last financial year Q1 to INR70 crores this year.

And combined ratio under IFRS has improved by 70 basis points to 103.2%. While there is increase in loss ratio by 2.9%, this has been more than offset by reduction in expense ratio by 3.6% under IFRS, resulting in this improvement in combined ratio. The retail loss ratio on 1/365 basis has increased in Q1 by around 2%, largely on account of strengthening of reserves. As Mr. Krishnan mentioned that we had put on hold the claim auto-adjudication rule engine due to information security assurance review across our third parties.

This has resulted in altering the pattern of claim processing and increase in outstanding reserves as on 30th June 2025. So we are keeping higher reserves on a prudent basis. We'll monitor this closely in next 2 quarters and action as warranted. The claim auto adjudication has restarted in quarter 2. And we have not experienced any abnormal trend either in incidence rate or average claim size.

There is Y-o-Y improvement in expense of management ratio to the tune of by 4.8%, with quarter 1 EOM being 35.9% against last year of 40.7% same quarter. This is mainly on account of, one, a decrease in gross commission as a percentage of GWP due to change in mix,

etcetera,

cut down on some discretionary expenses in Q1, but most importantly, because of operating leverage, where expenses have gone up by low-single digit, while GWP has gone up by 28%.

And we are confident to bring down EOM ratio within regulatory limit in this current financial year. And we are almost there. There is a difference of 10 basis points in Q1 as per the glide path submitted to IRDA. Investment yield on annualized basis in Q1 is 7.3% with AUM of more than INR8,100 crores. Solvency ratio is at a healthy level of 2.86 x as on 30th June, against regulatory minimum of 1.50 x.

So this was an overview of quarter 1 FY '26. Happy to take questions.

Moderator: The first question comes from the line of Prayesh Jain from Motilal Oswal.

Prayesh Jain: Sir, firstly, on the IFRS numbers, when we look at the reconciliation that is given, the Insurance Contract IFRS 17 is about -- the adjustment is about INR179 crores. This I would assume would take care of both the benefit of expenses as well as the impact of 1/365. But it's still kind of a very big positive number. So could you explain why is this such a big positive in this quarter?

Vishwanath Mahendra: So actually, in this quarter, because we are looking at UPR on 1/n basis, that's why it is looking on higher side. That's the only reason. So the deferred acquisition cost is consistent.

Prayesh Jain: Sir, I'll take this offline. The other part is on the loss ratio. So is it fair to assume that this incremental IBNR creation that you have done in this quarter, that should help you -- that should lead to lower loss ratios in the coming quarters?

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Vishwanath Mahendra: Most probably, we are confident that trend should stabilize by end of the year and will release as we experience lower incidence.

Prayesh Jain: Okay. And could you break down your loss ratio possibly even on IFRS basis between retail and group?

Vishwanath Mahendra: Retail IFRS ratio is around 68% and group would be around 61% broadly.

Prayesh Jain: And what was it last year Q1 FY '25?

Vishwanath Mahendra: Last year, it was more like -- retail was around 66% and group was around 58%.

Prayesh Jain: So there's an increase in both the sides?

Vishwanath Mahendra: Yes. And group is also to do with mix change more towards corporate than other B2B2C.

Moderator: The next question comes from the line of Shreya Shivani from CLSA.

Shreya Shivani: I have two questions. First is not really related to the quarterly results, but something that we had picked up from the public disclosure of the full year numbers. So I was comparing the volume-wise claim rejection data that you have. It has been largely range bound for Niva Bupa.

In FY '25 also you were at about 7% or so.

But for some of the other players in the industry, this number has significantly come down to like under 5%. So do you think it is a range which is achievable for us? Or do you think that the single digit 7%, 8%, 9% that you operate in is a far more logical place that you would end up being? My second question is on the claims ratio. Sorry, I'm probably not able to understand.

The claim ratio becomes -- there's a huge difference between IFRS and I-GAAP, right, the one which is on your Slide 8 and the one which is on your last slide. Is it all of it is because of accounting? I mean what is the -- I'm sorry, I'm not able to understand such a big gap between these two numbers?

Vishwanath Mahendra: Probably I can take the second one, Shreya. So if you're referring to this 77.9% loss claims ratio, yes, this is on I-GAAP 1/n basis because earning has gone down, claims being same, that's why it's looking inflated.

Shreya Shivani: That should be the only reason, right? Even if you're making higher reserves, that cannot get -- that should not get impacted by the 1/n accounting, right, the IBNR

reserve and all?

Vishwanath Mahendra: No.

Shreya Shivani: Just that NEP is smaller, so it is looking higher. That's the only logic, right?

Vishwanath Mahendra: Exactly. Exactly.

Bhabatosh Mishra: And on the first question, while there is no, so to say, perfect claim settlement ratio, it's largely a function of things like vintage, mix, et cetera, and also how well insurer is performing in terms

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of avoiding unnecessarily non-payable claims. So holistically, if you look at it, we've been very, very stable, consistent over more than 8 quarters with a robust trigger rate, hit rate on the fraud control side. Our mix also is largely towards retail.

That's an important indicator. And book vintage also plays a role. So while there is no specific number to target, we are confident that the number of 7% around of -- or 92%, 93% of the settlement ratios that you observe consistently are likely to stay that way or further improve going forward in time.

Krishnan Ramachandran: So Shreya, I guess the other factor to keep in mind is typically, higher settlement ratios are seen in corporate policy. So depending on the -- I guess, your point on, some of the other players have stable ratios, but settlement rates have gone up. Broadly with retail books, at least our experience is, depending on the maturity, anything from 92%, 93%, 94% is what we have seen. We'll have to examine what it is that the others are doing to see if there's any area for improvement for us.

Shreya Shivani: Sure, sure. Just one follow-up question that I had. You indicated that you've taken about 7% or 8% price hike in your flagship product this quarter. Had you taken any price hike in FY '25?

And I'm asking you this question because your average ticket size per policy between 1Q '25 and 1Q '26, there's a drop.

It could be just a function of what you sold something different altogether in this quarter. But just trying to understand what was the price hike taken last year versus what has been taken this year?

Ankur Kharbanda: So we had not taken for this particular product. Last year, we had not increased the pricing. This is the -- this time only we have increased the price. And on the ticket size, you must be seeing this is similar to what it was last year as well. It's just that at some multiyear here and there mix would have changed. That's where there's a difference there.

Krishnan Ramachandran: So if you look at it on a like-to-like basis, it's there on Page 10 of the presentation, there's not much change, Shreya.

Shreya Shivani: Okay. Got it. Sorry. All right. Understood. So that number is -- the INR26,000 I was seeing is on 1/n. So that's the long-term policy that is getting reflected.

Krishnan Ramachandran: That's correct.

Shreya Shivani: Got it. Okay. This is very useful.

Moderator: The next question comes from the line of Prayesh Jain from Motilal Oswal.

Prayesh Jain: Just to follow-up on claims again. So is there anything that you can help us understand on how the fresh book versus the existing book loss ratios are evolving for you, say, in the last -- generally, I remember you mentioning in one of the calls that you want to maintain the loss ratio

on the renewal book at 75%. So any trajectory that there is this loss ratio on the renewal book, how is this shaping versus what are the loss ratio on the fresh book? This is particularly on the retail side.

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Krishnan Ramachandran: So broadly in line, Prayesh. I'd say range bound. As Vishwanath also mentioned, at least in Q1, we have not seen any pattern shifts in either ACS or incidence rates. And with respect to fresh versus new, broadly in line with what we've spoken about and the number you mentioned.

Prayesh Jain: Okay, and what would be the mix between fresh and

new for us in terms of premium on the retail side? Fresh and renewal, sorry.

Krishnan Ramachandran: It would be 40:60, Prayesh. 40 new and balance renewal.

Prayesh Jain: Okay. And any strategy change with respect to you increasing the share of corporate versus -- is it strategy change there or how are you thinking about this?

Krishnan Ramachandran: So broadly our strategy on corporate, there are two parts to it: one is, let me say it's not a strategy but just about being opportunistic. Wherever we feel our value proposition around integrated care management makes sense and we get adequate price. For example, early this year in January, with two large multinational companies, we were able to win basis our proposition at an adequate price. But otherwise, the strategy continues to be focused on SME, SME through all the distribution channels that we have, whether it's agents, banks, digital partners, or our own teams, including brokers. So that's broadly our corporate strategy, right? And there's no change on that.

Prayesh Jain: This question is particularly because when we've interacted with the competition, they've hinted that the price aggression in the group business, particularly employee -employee still remains on the higher side and winning the mandate at the adequate pricing has been a challenge. So what has been our right to win in this segment?

Krishnan Ramachandran: So broadly, one is, as I said, our focus is on the SME segment where the -- I mean, the price sensitivity is not the same. Not to say that it's not a price -sensitive segment, but because of the nature of how we distribute it. For example, many of our banks are very large SME lenders. So that's one big channel of distribution. Second is our own agents.

So I'd say on the SME segment we have not seen shifts around price sensitivity. On the remainder, as I said, it's opportunistic. It's about being able to win accounts where, on the basis of our proposition, where the pricing makes sense. You'd like to add Ankur?

Ankur Kharbanda: I think you've made the point, yes.

Moderator: The next question comes from the line of Varun Palacharla from Kotak Securities.

Varun Palacharla: Hi, hope I'm audible. I had a couple of questions regarding the pre 1/n and the post 1/n accounting. So the claims ratio on a like -to-like basis, that is without 1/n accounting, if you compare it, is up by about 800 basis points this quarter year -on-year. So can you break this down into how much of this has flown from higher infectious diseases, how much is from the higher reserves you have built because of the auto-abjudication issue? And how much of it is from product mix shift because of the group business or rather the employer employee increasing?

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Because this would be helpful in us understanding where the actual normalized claims ratio would be for this year and how things are shaping up vis -vis peers and everybody. The second question is with regard to the commissions. So if you look at deferred commissions, that create an impact on the net commission line item. So that was about INR27 crores in 3Q of last year. Now it appears to have gone up to about INR50 crores.

So has the share of long -term policies increased? Or is this just driven by volume overall going up? And I did some calculations. Pre -1/n PAT comes out to about negative INR36 -- or rather loss of INR36 crores. Am I right or I'm in the ballpark over here? Can you just guide?

Vishwanath Mahendra: So third one, ballpark, you are right, because in our LODR, we have given what is the difference in GWP and commission. So on loss ratio, your question is, 64% going to 72.3%, Varun?

Varun Palacharla: Yes.

Vishwanath Mahendra: Yes. This is on account of majorly one thing, like Mr. Krishnan mentioned that we have won a large -- two large accounts, MNCs in I

last quarter of last financial year, let's say, January '25. So

basis the accounting for UPR we use. So 50% is earned in same quarter and 50% of that will be earned in last quarter of this financial year, which is in this case without 1/n, and 1/n will not

have impact on this because this is corporate 1 year policy.

And that's the reason the EP is lower in this quarter because we don't have commensurate earned premium for these accounts. That's primarily the reason of increase in claims ratio. And that's why it is better to look at IFRS loss ratio, which will not have all these kind of noises. What was the second question? Commission, I could not understand completely.

Ankur Kharbanda: Can you repeat the second question again?

Varun Palacharla: So when we look at commission that we get in pre -1/n and post -1/n, the difference largely is on account of deferred commission, right, on the long-term policy?

Vishwanath Mahendra: Yes.

Varun Palacharla: So that in 3Q last year was about INR27 crores -odd. Now it has gone up to something like INR50 crores?

Vishwanath Mahendra: Last year, you are referring to...

Varun Palacharla: 3Q

Vishwanath Mahendra: And you are referring to which report? Or maybe can we take this offline? But what we can confirm is this commission we are deferring and that's the only difference, which we have captured in our LODR report, what is the deferment of commission on net basis.

Varun Palacharla: Okay. And one more thing. The IFRS as well, claims ratio is up about 300 basis points, right? That can you break it up into what are the components in that?

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Vishwanath Mahendra: Yes. So one is around 2%, as I mentioned, it is increase in retail loss ratio. That has to do with increase in outstanding, which I explained because of this, we're halting this auto-adjudication rule engine, and around 3% increase in group loss ratio, which is on account of mainly mix change, big corporate which we have written, compared to other B2B2C business in previous quarter of last year.

Moderator: The next question comes from the line of Ananga Rana from A91 Partners.

Ananga Rana : I had two questions. One is, if I look at your average ticket size per policy, that has come down year-on-year. So firstly, what's the reason for that? And secondly, roughly, what has our year-on-year growth been for the banca channel? Those are my two questions.

Krishnan Ramachandran : So on ticket size, if you look at Page 10 of the presentation, on a like-to-like basis, there's not been much change.

Vishwanath Mahendra: If you're referring to Page number 9, this is because of 1/n impact.

Ananga Rana : Okay. Got it. Okay. And on the banca channel, what would the rough growth look like for banca?

Ankur Kharbanda: Our growth on the banca side is also strong. We are growing at a 20% plus on the banca side as well.

Ananga Rana: Okay. And if I could fit in one more question. AUM has remained constant quarter-on-quarter. Is there some business to this or is it just a normal fluctuation?

Vishwanath Mahendra: Yes. This is because of some reinsurance payment. There is annual settlement. We made some sizable reinsurance payment. That's why on quarter-on-quarter, you will see that it is stable.

Moderator: The next question comes from the line of Shobhit Sharma from HDFC Securities Limited.

Shobhit Sharma: I am sorry to harp back again on the loss ratio question. So I am not able to understand. If I look at H2 FY '25 versus H2 FY '24, the increase in loss ratio was around 4 to 5 odd percentage considering the impact of the 1/n. But given in the current quarter, even after acknowledging the mix change which has happened between -- in the retail portfolio or on the group side, the jump seems to be very huge. So can you help us understand what has actually happened on that side?

Vishwanath

Mahendra: So actually, it's a mix of two, three things. One is, as I mentioned in reply of previous question, even without 1/n, there is an increase in loss ratio, moving 64% to 72.3%. That is explained by this large group which we have written for which corresponding earning is not there in this method, while there are claims. So that's one. And from there to 1/n loss ratio, this is sheer change in earned premium because of 1/n.

Shobhit Sharma: Sir, is it largely because of the large corporate deals which we have underwritten in Q4?

Vishwanath Mahendra: So Shobhit, let me repeat. It is not that large corporate deal was lossmaking, that's why it has gone up. We use 50% method of UPR. What that means is 50% is earned in the quarter in which you write the business and 50% in the last quarter. So that's the phasing impact of this earning. And second is the 1/n change.

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Shobhit Sharma: Okay. And you mentioned that we have provided for some extra reserving. Can you quantify that, how much is that contributing to the overall increase in the loss ratio?

Vishwanath Mahendra: So this 2% increase, around 50 basis points would be change in mix, new renewal, and balance would be because of this increase in reserve, strengthening of reserve.

Shobhit Sharma: So 1.5% to 2% approximately.

Vishwanath Mahendra: Yes, correct, 1.5%.

Shobhit Sharma: Sir, another thing which I want to know from you is our approach on the long-term policies. We have seen your peer has been now very aggressive on capturing a higher market share on that side with upfronting of payouts. So how are we protecting our business on that side? Are we losing any market share on that side? I just want to know your strategy on that.

Ankur Kharbanda : So we are not losing our market share. In fact, you would have seen that we are now touched 10% market share on the retail business. But having said that, strategically, we are moving down our multiyear policy. It was in the late 20s earlier. Now this year, it is in the early 20s.

Shobhit Sharma: So early 20s, you mean in the terms of the fresh business we are writing in?

Ankur Kharbanda : Yes, multiyear. GWP multiyear.

Moderator: The next question comes from the line of Shreya Shivani from CLSA.

Shreya Shivani: Just a follow-up. On the premium growth that you spoke about, 28% Y-o-Y or 32% Y-o-Y, can you also give how much of this growth has come from volume increase and how much -- would you be expecting similar trends in the year to come by and for the year to come by?

Ankur Kharbanda: Thank you for that question. This increase of almost 30% growth is largely on the volume growth and not the value growth because you would have seen the ticket size remaining same, which means overall, all of this -- large part of this growth is volume growth only.

Shreya Shivani: Got it. So more than -- okay, more than 80%, 90% of it then in that case, if I had to break it, like almost 30% growth would be from volume only for the overall retail health premium to grow at 32%. Okay, this is very useful.

Moderator: The next question comes from the line of Ritika from Bandhan AMC.

Ritika : Sorry, I'm going to ask you to repeat the bridge you just mentioned to, I think, to Shobhit's question on what was the impact on the loss ratio because of the group exposure and the accounting there. So if you could give the bridge again when the loss ratio on the 1/n basis and without 1/n basis, both?

Vishwanath Mahendra: Sure, Ritika . Yes. So first is, let's say, without 1/n, 1/365 basis, there we have covered this that there is increase in retail loss ratio to the tune of 2%, mainly on account of reserve increase and 3% in group mainly to do with mix change. So that's the 1/365 loss ratio which has both claims and earned premium amortized on daily basis. So that's the increase.

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Now there are two more factors which are playing. So one, if we move this 1/365 loss ratio to 50% loss ratio, without 1/n, which is the accounting we were following previously. So there, what happens is because of this 50% method, if the premium is uniform, it hardly makes any difference on monthly basis. You're writing same premium and you are accounting 50% of that. We wrote one large account -- two large accounts, 2 MNCs, as on 1st January 2025.

So 50% of that was earned in last quarter of last financial year and the balance 50%, given the method will be earned in last quarter of this financial year. But there is a uniform claim payment.

So optically, this number without 1/n, 50% loss ratio is looking on higher side.

This is one impact moving from 1/365 to 50%. Then there is impact of this 1/n where the earned premium is on lower side because of reduction in GWP and accordingly NWP and earned premium. And that's the walk from without 1/n 50% to 1/n 50%. And we can offline also discuss if you need more details.

Bhabatosh Mishra : I must mention that, are still profitably written .

Vishwanath Mahendra: Yes, large groups are profitable. Their combined ratio is 100% or below, yes. .

Krishnan Ramachandran : And also, these are multiyear contracts. So you will see this effect coming back in Q4 this year for us, just so...

Vishwanath Mahendra: Multi-year contract. Not multi-year policy .

Ritika: Sir, you part answered my second question, which was obviously, logically, it should come back, like you just said, that part of this increase is because of the accounting should come back. And also, if you could repeat what you said also on the reserving with that, ideally that also should reverse. And lastly, sir, have we shared any guidance for FY '26 or if you want to share a little longer also, whichever way? That's the second question.

Vishwanath Mahendra: Yes. So on increase in reserve, so basically, it has to do with change in pattern of claims. So outstanding has gone up because of halt in this auto adjudication. Now one way was to -- we reduce IBNR to compensate because generally, outstanding has some portion, which is released when those claims are paid. But what we have done, and we have yet to see whether there is inherent change in pattern of reporting or processing.

That's why we kept that outstanding same and IBNR. As a result, overall, claims have gone up,

which is incurred claim. We will monitor this another two quarters or so. And if we feel that there is a case to reduce this reserve, we will do, else we will carry this on prudent basis. That's on loss ratio. For guidance?

Krishnan Ramachandran : On guidance, it's early. I think probably after the infectious disease season is done, that's probably a better time for us to give specific guidance at this point.

Moderator: The next question comes from the line of Rachna K. from SiMPL .

Rachna K. : Yes. I just wanted to understand your stance on pricing strategy. Are still some of our products -- are we still following the LTV approach, or we have plans to go for zonal wise pricing?

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Vishwanath Mahendra: Yes, LTV, we are following and zonal -wise pricing is extension of LTV only, so charging more appropriate premium to risk pool. And we are considering -- we already have products where we have 3, 4 zones. And we are exploring if there is case to further increase number of zones.

But there is no moving away from LTV approach. It is extension of that only.

Rachna K. : So are price hikes also considered under this?

Vishwanath Mahendra: Price hike, sorry, we missed that.

Krishnan Ramachandran: The price hike, the core objective is to negate inflation, the underlying medical inflation, the main objective is to negate that.

Rachna K. : Understood

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Moderator: Thank you. As there are no further questions from the participants, I would now like to hand the conference over to the management for closing comments. Thank you, and over to you, sir.

Krishnan Ramachandran: Thank you very much for all your questions. Apologies once more for the delay and no further comments from our side. Thank you.

Ankur Kharbanda: Thank you.

Vishwanath Mahendra: Thank you.

Moderator: Thank you. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Nov 2025

Niva Bupa Health Insurance Company Limited
IRDAI Registration No. 145 | CIN: L66000DL2008PLC182918
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Corporate Office: 3rd Floor, Capital Cyber scape, Golf Course Extension Road, Sector-59, Gurugram-122101, Haryana.
Website: www.nivabupa.com | Email id: investor@nivabupa.com | Tel: +91-124-6354900
November 06, 2025

Ref: NIVABUPA/EQ/2025-26/73

To,
National Stock Exchange of India Limited
Exchange Plaza, C-1, Block G,
Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051 BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001

Symbol: NIVABUPA
Scrip Code: 544286

Sub: Transcript of the Earnings call conducted on November 03, 2025

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 read with Para A, Part A of Schedule III, please find enclosed transcript of the Earnings call conducted on November 03, 2025, with Investors/Analysts in respect to the Unaudited Financial Results of the Company for quarter & half year ended September 30, 2025.

Kindly take the same on records.

Thanking you,
Yours sincerely,
For Niva Bupa Health Insurance Company Limited

Vishwanath Mahendra
Executive Director and Chief Financial Officer
DIN: 11019011
Page 1 of 18

"Niva Bupa Health Insurance Company Limited
Q2 FY '26 Earnings Conference Call"
November 03, 2025

MANAGEMENT : MR. KRISHNAN RAMACHANDRAN – MANAGING
DIRECTOR AND CHIEF EXECUTIVE OFFICER – NIVA
BUPA HEALTH INSURANCE COMPANY LIMITED
MR. VISHWANATH MAHENDRA – EXECUTIVE
DIRECTOR AND CHIEF FINANCIAL OFFICER – NIVA
BUPA HEALTH INSURANCE COMPANY LIMITED
MR. ANKUR KHARBANDA – EXECUTIVE DIRECTOR
AND CHIEF BUSINESS OFFICER – NIVA BUPA HEALTH
INSURANCE COMPANY LIMITED
MR. BHABATOSH MISHRA – CHIEF OPERATING
OFFICER – NIVA BUPA HEALTH INSURANCE COMPANY
LIMITED
MR. DHIRESH RUSTOGI – CHIEF TECHNOLOGY
OFFICER – NIVA BUPA HEALTH INSURANCE COMPANY
LIMITED
MR. VIKAS JAIN – CHIEF INVESTMENT OFFICER –

MODERATOR: MR. ANSUMAN DEB – ICICI SECURITIES LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Niva Bupa Health Insurance Company Limited Q2 FY '26 Earnings Conference Call hosted by ICICI Securities Limited. As a reminder, all participants will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ansuman Deb from ICICI Securities Limited. Thank you, and over to you, sir.

Ansuman Deb: Good evening, ladies and gentlemen. It's a privilege to host the management team of Niva Bupa Health Insurance Company Limited for their Q2 FY '26 Results Conference Call. From the management, we have Mr. Krishnan Ramachandran, MD and CEO; Mr. Vishwanath Mahendra, ED and CFO; Mr. Ankur Kharbanda, ED and Chief Business Officer; Mr. Bhabatosh Mishra, Chief Operating Officer; Mr. Dhires Rustogi, Chief Technology Officer; and Mr. Vikas Jain, Chief Investment Officer.

Without further ado, I will now hand over the call to Mr. Krishnan Ramachandran, MD and CEO. Over to you, sir.

Krishnan Ramachandran: Thank you, Ansuman, and thank you to every one of you listening in on this call for your time late evening today. H1 for us was a productive and eventful quarter. Given the accounting changes that happened in the second half of last financial year, to make sure that we are able to assess or view our results on a like-to-like basis, for most part, I will focus on our IFRS financials or without 1/N numbers specifically when it comes to things like growth rate.

So in summary, for H1, we achieved an overall growth rate of 23% and a retail growth rate of 28% without 1/N. Our IFRS PAT for H1 improved to INR132 crores, up from INR60 crores similar period last year. And our combined insurance service ratio for H1 improved by more than 100 basis points to 103.1% down from 104.2% last year.

And our retail market share, which is basis reported numbers and to that extent, has noise because of the 1/N accounting change, held steady at 9.9%. We continue to trend very well on a range of customer metrics. Our settlement rate -- our settlement ratio for Q2 on claims was 95.2%. And our weighted average NPS, to remind all of you, we measure this across 35 critical customer touch points, improved to 57 for H1.

We continue to sell the right sum insured and products to our customers as evidenced by our industry-leading ATS at more than INR31,000, and also close to 83% of our policies have a sum insured 1 million or above.

In Q2, we also launched what we believe is the next-generation retail health insurance product, ReAssure 3.0. It has found very good reception and is doing very well in the marketplace as we speak. We also made good progress on our health ecosystem or as Bupa calls it pay-vider strategy with in H1 more than 13 million downloads.

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We have 5.8 lac monthly active users on the customer app and more than 51,000 health check-ups every month and about 6,700 doctor consults every month using our customer app. Our product and distribution mix has been largely stable. We added one more city in our preferred provider network, which is our strategy to manage a great customer experience and claims costs at the same time.

And about 17% of our claims in the cities where our PPN is present go through these PPN hospitals. We've also seen incidence rates and average claim size range bound and within what we call a stable trend. And also consequently, our retail health claims ratio H1 to H1 this year to last year is more or less flat.

So broadly, that's been a summary of

our performance. And I do -- before I hand over to

Vishwanath, want to touch upon a topic that I understand has fired up our collective imagination, if you will, which is this whole topic of GST. And I really want all of us to step back and look at this change for what it really is, in my opinion. The first part is GST has come down from 18% to 0%. And I'll quote what the Chairman, IRDAI has stated, which is that food is at 0% GST.

So at the highest level of policymaker -- policymaking, health insurance has been recognized as being equivalent to food in terms of how essential it is in the arsenal of financial services products that a customer should have. So I think this is an incredible win for the industry, having personally been involved year after year in lobbying for GST coming down. So I think 0% GST is an incredible step from the highest level of policymakers in our country. Second is we should look at it beyond maybe this quarter or next quarter for what it really is, which is that it is a drop in price. And one of the -- and survey after survey on health insurance has suggested that affordability is a barrier to purchase of health insurance, which is to say that this is a category where demand does see a price elasticity curve as in many other categories. So to that extent, this should be a significant fillip to demand for the category. And indeed, as many of my friends in the industry have already commented, we, like many others, are seeing demand go up.

As a case in point, October, in spite of being a Diwali month, which is historically a low season for health insurance, we have seen very, very good uptick in demand, but I'm sure my colleague Ankur can talk more about that.

Now on the topic of ITC, what I can say is that today is when we processed commissions, we have passed on commissions. But I think using the term passed on commissions is not reflective of our philosophy of what this change means for every stakeholder.

We truly feel or we truly believe it's a win for customers through lower price. We believe it's a win -- we believe and we will make this a win for our distribution. And we're confident that whatever income loss there is will be more than made up through increased volumes. And also, one of the other problem statements for the category is there is significant underinsurance.

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So the 18% fall in price, we should think about it in terms of what can we do to give customers more adequate insurance, both at the time of acquiring new customers as well as renewal. And all of these measures, we truly believe will make it a win for our distribution as well in spite of ITC being passed on.

And in closing, before I hand over to Vishwanath, I mentioned this last time as well, there's been a lot of change in the last 12, 18 months and change necessarily has meant that all of our minds have been focused on the change. But I think now is the time for us to also step back and look at health insurance for what it truly is, which, in our opinion, it is one of the few secular multi-decadal growth opportunities in our country.

As I stated last time, we are very, very excited about this opportunity and we are putting our investments where our mouth is, so to speak, right? So in distribution, for example, this year, we have increased our headcount by more than 1,000 feet on street.

We have set up an AI lab to explore many of the exciting capabilities that Gen AI has to offer. And indeed, one of our customer projects got rated in the top 10 in the global ecosystem of Bupa. So this is something that we are very keenly invested in, focused on in terms of what it can do for our business, both from a sales, customer experience as well as cost standpoint. And we've also gone live along with the launch of ReAssure 3.0 with a modern microservices-based core system, w

hich we believe will be transformational to us as we move along in terms of our ability to launch products and serve customers.

So significant investments we continue in making as a company to pursue the opportunity of health insurance. Growth with profit has been our mantra and that's the journey that we've been progressing on, and this year is no different.

Over to you, Vishwanath.

Vishwanath Mahendra: Thank you, sir. Good evening, everyone. So following are some of the financial highlights for H1 FY '26. GWP for H1 is INR3,983 crores, registering a growth rate of 23% over last financial year on like-to-like basis, which is without 1/N impact. The profit after tax under IFRS more than doubled from INR60 crores in last financial year to INR132 crores this financial year H1.

Combined ratio for H1 FY '26 under IFRS has improved by 105 basis points to 103.1%. While there is increase in overall loss ratio by 1.2%, this has been more than offset by reduction in expense ratio by 2.3%, resulting in improvement of combined ratio. The retail loss ratio, which was slightly elevated in last quarter, has also moderated to last financial year level of H1.

IFRS basis retail loss ratio for first half in current financial year is 68.1%, which is in line with last financial year H1 loss ratio of 68%. There is year-on-year improvement in expense of management ratio to the tune of 3.7% with H1 EOM being 36.3% as against last year of 40% same period.

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This is mainly on account of following factors. One is decrease in gross commission as a percentage of GWP due to change in mix, etc. But most importantly, because of operating leverage with expenses have gone up by low single digit, GWP has gone up by 23%. For first half, the allowable EOM ratio comes to 35.8%. So actually it is above allowed by 50 basis points.

We are confident of bringing down EOM ratio within regulatory limit in the current financial year as per glide path submitted to the IRDAI. Annualized investment yield for H1 FY '26 is 7.3% with AUM of INR8,482 crores. Solvency ratio is at a healthy level of 2.85x as on 30th September 2025.

So this was an overview of H1 FY '26. Happy to take questions.

Moderator: Thank you very much. We will now begin with the question and answer session. Our first question comes from the line of Supratim Datta from Jefferies.

Supratim Datta: I have 3 questions. The first is on the October demand. And like you rightly pointed out that the demand has been fairly strong. Wanted to understand if you could break it down what is driving this growth? Is it new products, new demand coming through or is it existing customers taking higher sum assured or is it greater rider attachment that is really driving growth here? So if you could break it down into what has been the key factor behind the stronger growth we are seeing in October, that would be very helpful.

Secondly, on your comments around GST and the growth offsetting any loss of commissions for distributors, while I do understand that, would you be taking a one-size-fits-all strategy here or it would be more nuanced and depending on the type of distributor would this strategy play out? That's one part of that question.

The other is how much of this impact would you be able to offset through a price hike? And given the GST has just played -- have taken place, would you be able to take a price hike in the next 6 to 8 months? That's the other question we would like to understand. And lastly, on your retail health loss ratio, it has been stable, that's great. But insurers who have reported till now have shown an improvement actually versus last year to this year.

And even if I look at on a IFRS basis, second quarter versus second quarter last year, it's broadly flat. So wanted to understand why is there a difference or should we look at you versus

us

peers differently? So those are my 3 questions?

Ankur Kharbanda: Thank you very much. So first, let me take the first 2 questions, which is on October performance & GST and I will ask my colleagues to talk about the rest 2 on the pricing and the retail loss ratio. First, on the October performance, very happy that one thing which we were pushing for on the GST side, lowering down the GST side from last few years is now a reality. One is it has become a reality, and it has -- for the month of October, which was a Diwali month, has given us substantial results. The numbers which are coming on the retail side are more than 50% growth for the month of October, which clearly talks about that this is really Niva Bupa Health Insurance Company Limited November 03, 2025

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playing out well. It has -- what it has done is if I just give you numbers on the -- one of the platforms which we look at is how are we doing on the queries coming on the Google side. That has gone up drastically. The conversion has also gone up drastically. So both in terms of queries and the conversions, both are -- both have gone up for us and I'm assuming that's the case for the industry as well.

The second thing which it has done is the per person buying in terms of the sum insured and the adequacy of the sum insured has also gone up. The proof for that is the ticket size. And for us, the ticket size for the month of October versus H1 is on the retail new business is plus 15%. That's the big difference which it has made. That's on the new business.

But even on the renewal side, our ticket size has gone up. So one of the things which people are realizing is 18% lower GST means that there's a cushion of 18% for us to sell. We have gone up with our analytics model straight away from 1st October in terms of understanding which customer payability, etc.

And we have seen that there is a massive growth there as well on the renewal upsell, both in terms of sum insured and in terms of adding a rider. Both of them have really, really worked well for us. And let me now get on to your second question on GST. As we know that GST exempt helps the citizen of India, everyone to get closer to our universal health coverage as well.

And to ensure that we give full benefit to the customer, we have passed on the GST impact to the distributors. And our distributors have also understood this that overall income will go up. And October has shown them as well that the overall income has gone up because the number of people buying insurance is going up and the number of people also are taking a better cover there.

So my point and the answer to it is we have done it for all, and distributors have also understood this. And just to relate a mutual fund industry in 2016-17 when this came in, in 7 years, mutual fund industry is 3x of what they were earlier. Same thing happened, a cut, etc., happened.

But the real thing was the customers were getting a better value. And this is also happening in our industry. When the customers are getting a better value, distributors understand that overall sales will go up, and which would mean that overall their income will go up as well.

Krishnan Ramachandran: On the point on price revision, Supratim, given what we have seen and what Ankur said around volumes, we do not intend to take in a revision at least this quarter. We'll monitor how things are and as needed to manage overall portfolio economics, we'll review it at the end of the quarter only. And on your question on loss ratio, I'll defer to Vishwanath to address that.

Vishwanath Mahendra: Yes, Supratim, so on loss ratio, for H1, we have seen same as last year and last year was also kind of stable loss ratio. It was not too elevated. So it is at same level. Q1, it was higher 2.5% to 3%. This year, Q2 is lower. Similar range. Trend perspective, yes, we're also seeing loss ratio on better in

recent months. But for whole H1, it is at the same level.

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Moderator: Our next question comes from the line of Varun Palacharla from Kotak Securities.

Varun Palacharla: My first question is again on the claims ratio part. So last quarter, if I remember correctly, we had provided a higher amount for claims which are outstanding. And as they run down, there should be some benefit coming in this quarter, right? If we include that benefit, how much is the claims ratio increased by in 2Q? That's one thing I wanted to ask.

And second is with regard to the auto adjudication system. Last time, we had some disruption with regard to IT supplier. So are we doing any changes on that front? Or are we still continuing with the same IT service provider?

Vishwanath Mahendra: So in terms of IT service provider, we have taken assurance for Infosec risk, etc., from third party. And after that only, we have started with that. So we are very comfortable. And that was the reason it was -- outstanding was on a higher side. So if you see whole H1, it is at the same level.

As I was mentioning, 2%, 2.5%, it was higher last quarter. The same is lower this quarter. Now quantifying exactly how much is coming from last quarter versus this quarter, that's not something which I have handy. But broadly, for the H1, we are very comfortable. And the trend perspective also is comfortable downward trend.

Varun Palacharla: But the trend would be upward, right, then if we include that impact, likely like 120 basis points, whatever up we are seeing in the first half basis, largely a similar impact would be in 2Q. So it's actually an uptick in claims. Is it not?

Vishwanath Mahendra: Okay. I'll just explain. So there is a trajectory loss ratio has, there Q1 is lower, Q2 is higher than Q3 again lower and Q4 lower. That's the kind of curve. It is following the same curve. It's not that Q2 is lower than Q1. It is more like the trend is lower than last year as we speak in recent months.

Varun Palacharla: Okay. And with regard to the long-term ROE guidance, so now that you've had more of a handle, so are you able to change your guidance? Or would you want to just reiterate the long-term guidance?

Vishwanath Mahendra: We stick to long-term guidance, which is, let's say, FY '29 mid to high teens ROE. We stick to that.

Moderator: Our next question comes from the line of Prayesh Jain from Motilal Oswal.

Prayesh Jain: The first question is on the GST front, where you mentioned that the commissions you have kind of passed on to the distributors. So you are saying that the ITC impact would not be there at all for Niva Bupa. Is that the fair statement or you passed on partially and there is some still impact, which would come on the books for us? And if so, what would be the quantum of that?

Ankur Kharbanda: Yes. Yes, we have passed on entirely to the distributor. And as I explained, the distributor has also understood this that this is ultimately benefiting him because his income is going up. His income is not going down because the volume is going up, ticket size is also going up.

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Prayesh Jain: Right, right. And second is, again, Vishwanath, again, on the loss ratio front, if you adjust for that first quarter kind of one-off, this seems to be much elevated than what we would have expected, right?

So is that the benefit -- is there some pockets where the loss ratio have come in higher in some cohorts or is the group business working against or -- I'm talking about the overall loss ratio for the company level. That's what I'm asking. So do you think that the group business or any

other place where you've seen some higher loss ratios?

Vishwanath Mahendra: Sure, Prayesh. So in terms of retail, as we explained, it is at the same level

as last year. Group,

of course, is higher because of mix change. We talked about one large group we have written, which has very, very low expenses -- expense ratio. So in terms of overall, there is a 1.2% increase and largely, it is coming from group and group is because of mix change, where group has gone up by 5 percentage points.

So in that sense, you're right, this 1.2% is driven by group. And that is again more than offset by a reduction in expense ratio. That's why combined ratio is lower by more than 100 basis points.

Krishnan Ramachandran: Prayesh, while analyzing loss ratio, it's best to split it between retail and group because they have very different combined ratio profiles because of the costing. Retail, as Vishwanath said, is flat compared to H1 last year. And group has gone up because of certain large corporates, but obviously, there's been a relief on the expense side because of which the combined ratio has come down overall.

Prayesh Jain: And it is fair to assume that the second half there will be a significant improvement in loss ratio as a group business because under IFRS, there should not be any change. But on the reported accounts, would that change?

Vishwanath Mahendra: Yes. Under reported in Q4, the loss ratio will be on lower side because that business was written in the Q4 last financial year. But that is, yes, only reported. IFRS, they will not be.

Krishnan Ramachandran: IFRS will be steady. And if you go to the -- we actually have a bridge this time in the investor presentation because that was also something that many of you have. So this time, we have put out a bridge explaining the difference in loss ratio. And clearly, as Vishwanath mentioned, by Q4, you should see it swing on the positive -- in a positive way.

Moderator: Our next question comes from the line of Shobhit Sharma from HDFC Securities Limited.

Shobhit Sharma: Sir, my first question is on your group health business. So what is the strategy on that business now? Because we have seen we had a good growth in last year, first quarter was also good. But in the second quarter, we have seen some slowdown. And secondly, coming to the loss ratio, on the first quarterly call, you mentioned that we have provided for some 1.5% extra provisioning.

So have we taken some reserve releases out of it or still we are holding on that? Now coming on to the expenses, there is some multifold increase in the business support-related expenses, Niva Bupa Health Insurance Company Limited November 03, 2025

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advertisement and publicity-related expenses. How to read about it? Have we increased our spending on that? And you mentioned about the growth in the October month.

So would you like to give some emphasis on which channels are driving this growth? And what kind of conversion rates and the renewal increase we are going to see because of the GST-related impact? And one important thing which I can note from your slide is the share of the direct business has come down by 2%, 2.5% on a Y-o-Y basis. So have we -- are we pushing more on to the more scalable, faster scalable channels or what's our strategy on that?

Ankur Kharbanda: Let me take the first one which was on the group side. As you know, we have been selective.

We have been looking at this channel as a -- wherever we find opportunity whereby the combined, we just don't -- on the group business, we don't look at the LR. We look at the combined ratio. Wherever we feel that the combined is within our side, we do that.

And that's where you have seen last quarter, first -- last year, last quarter, we have taken that basis opportunity there. And this quarter, we have not done that much. So we have been very selective there. On your question on why is the direct business a little lower this one, this is largely an impact of 1/N. If you look at apple-to-apple, there's no difference, largely no difference

between us because our strategy remains the same on this side of business.

We want to grow our direct -- our digital business in a better way and we are really emphasizing on how do we grow that. And just to give you a good sense, our growth of business from our direct digital for the first half has been very good, almost 1.5x of our average growth of the organization. That's how we have been emphasizing on that. And one more question you had on...

Shobhit Sharma: On October.

Ankur Kharbanda: On October, so channel-by-channel split, I would not get into the channel-by-channel split, but what I will tell you is this impact is in all channels, largely in agency and our digital business and digital partnerships. These are the 3 channels which has seen the maximum, maximum impact of this.

Lesser impact in banks because banks we do a large portion of our business is as -- considered as booked under the group RUG rather than a retail, retail platform there. So these are some of

the pointers which I wanted to talk about.

Vishwanath Mahendra: And Shobhit, on other 2 points, loss ratio reserve, we have largely released because now it's -- auto adjudication is back. So -- that's on outstanding. And other question on advertisement, it really depends. It's never smooth across sequential quarter. Last quarter, we had a new product launch. So we spend more on advertisement and publicity.

Shobhit Sharma: Okay. Just 2 follow-ups. One to the -- Ankur, if you can give us some colour around the renewal rates. Have you seen renewal rates increasing because one of your peers have highlighted that they observed some positive traction on that side. And Vishwa, one thing on the loss ratio.

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You mentioned that we have seen improving trend going the recent months. So is it particularly because of the lower incidence rate which you have been observing or is it because of the lower average claim sizes? Yes, that's it.

Ankur Kharbanda: On the -- let me first take on the renewal rates. Renewal rates have gone up for us. Specifically, last year to this year, it has gone up by 100 basis points more than that. Just for the month of October, this I'm talking about H1, but when I look at just for the month of October, it has definitely gone up much higher than that. Second point is it's not just about the renewal rate.

It is also the ticket size, which is the GWP which is coming from a renewal side. That has further gone up. So both impacts put together, we definitely have a big upside coming from -- on the renewals largely because of the cut in GST.

Vishwanath Mahendra: Yes. On loss ratio, actually, it is coming from a mix of both. Average claim size, medical inflation is also benign. And incidence rate also we have seen on lower side.

Moderator: Our next question comes from the line of Sanketh Godha from Aventus Spark.

Sanketh Godha: Sorry, my question is again on group health. So group health, if you see without 1/N, for the half, it is 13% and for the quarter, it is 6% year-on-year. So naturally, it is little lower than typically what you used to report in the past. The slowdown is predominantly visible in corporate plans, that is indemnity plans, or it's more because of the benefit-based products, if you can clarify?

And related to that, out of the total group, which you did around INR1,173 crores in 1H FY '26, how much will be affinity-based products and whether the contribution has gone up or declined compared to last year?

Ankur Kharbanda: I'll talk about the first part. This is largely on the corporate group, whereby, as we said that our strategy has always been be selective, wherever you are able to get a good client basis, the COR calculation, not the LR, but the overall calculation, then only we are picking that. That's the point there.

But let me ask Mr. Krishnan to talk

about the second question.

Krishnan Ramachandran: Sanketh, on your -- in terms of overall group, roughly in the past also we have mentioned of the 30-odd percent that's overall group, roughly, it's one-third, two-third in terms of the split.

And that broadly maybe has shifted -- broadly it has been the same, although the growth has slowed down, but given some of the large corporate business that we wrote, that's broadly stayed the same from an earning standpoint, yes.

Sanketh Godha: Krishnan, the reason I was asking is that if the mix remains broadly the same, then even your highly profitable benefit-based plans have grown in low teens. So that's the reason I was asking that question?

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Krishnan Ramachandran: Yes. So I mean, we grew our business in those 2 segments quite rapidly last year as well as last. So the growth is off a fairly close to 40%, 50% growth last year and prior year, you would have seen those numbers. It's a double digit growth on top of a 40%, 50% growth rate last year, just to put that in context.

Sanketh Godha: Understood. Maybe -- sorry to harp on that point. But just wondering whether the -- we know that multiline companies are paying on N basis on commission, but we moved to 1/N strategy. So...

Krishnan Ramachandran: That has not impacted us. That's not had any impact. I can reconfirm that.

Sanketh Godha: Okay. Perfect. And can you quantify your group health loss ratio in IFRS basis for the current half and the previous half?

Vishwanath Mahendra: That's not something we publish, but...

Sanketh Godha: I think you gave it last time, Vishwanath, that 61 percentage was 1Q FY '26 group health loss ratio and 68% was retail and blended, it was 66.8%. So on similar lines, if you can give the

number, it will be useful?

Vishwanath Mahendra: You are saying overall group, not B2B and B2 B2C...

Sanketh Godha: No, no, overall group. Yes, yes, actually overall group, I'm asking, sorry.

Vishwanath Mahendra: Okay. So this H 1, we have overall 65.9%, where 68.1% is retail and 60.9% group, so roughly 68% retail, 61% group.

Sanketh Godha: And in the last year, same 68% -- what's the number?

Vishwanath Mahendra: 56%. I'm just rounding. Okay.

Sanketh Godha: Okay. So 56% gone to 61%, 68% is flat. That's the way I need to understand it?

Vishwanath Mahendra: Yes, yes. That's -- got it.

Krishnan Ramachandran: And just to remind you, all our ratios include claims settlement cost.

Sanketh Godha: Yes, yes, I understand that point. I understand that point. Yes. And just a fundamental question, see, IRDAI probably allowed or in one of the circulars said that -- or master circular said that your pricing based on claim experience or discount given to the customer based on the claim experience can be implemented.

One of your peers have implemented that to 30% of the portfolio. Just wanted to understand where we stand and whether the incremental pricing, what we do for the portfolio, whenever we'll do it, will we follow this approach consistently?

Krishnan Ramachandran: So Sanketh, as we have mentioned in the past as well, the regulations permit favourable claims experience discount. In our case, favourable claims experience and experience basis, for Niva Bupa Health Insurance Company Limited November 03, 2025

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example, if somebody does on an average 10,000 steps daily and records it on our customer app, they become eligible for as high as 30% discount at the time of renewal. So we continue to implement both of these when we reprice our products or when products come up for renewals as the case may be.

Sanketh Godha: Okay. But we don't have cohort -based pricing. Is it fair to understand? Basically, if it's an same age bracket, one has a little higher loss ratio, and some other guy has a little lower loss ratio. So the price hike,

despite suppose morbidities being same, will he experience a differential pricing, or we don't have a cohort -based pricing? It's based on what you said, the softer points like steps covered and all those things?

Krishnan Ramachandran: And also favourable claims experience discount, right? I mentioned both. We have favourable claims experience discount as well as other health parameters. So it's not just the hospitalization parameter, but other health parameters to broad -base the kind of discounts we give our customers. Essentially, for people who have been healthy, the idea is to encourage them through premium discounts.

Sanketh Godha: And will you be okay to quantify how much percent of the portfolio follows this approach of pricing?

Krishnan Ramachandran: We can probably take that offline, Sanketh.

Sanketh Godha: Okay. Perfect. And the last one, the retail health growth has been very solid for us compared to the industry being little muted even on N basis. So just wanted to understand any colour you want to give on porting policies and what percentage it contributes to total premium or total GWP in first half?

Krishnan Ramachandran: So broadly, the porting percentage has been stable, Sanketh, if anything, it's probably come down. I think in the past, we have guided between 20% and 25% is where our porting has been and it's actually -- it's been range -bound in that level only. And the growth has actually -- let me sort of address another aspect, right?

So we said broadly our retail health has grown 28% for H1 in GWP terms. And I would say 6%, 7% of that has come from value growth and the balance has actually come from volume growth. So close to 20% of the growth has been lives growth and the balance has come from ticket size improvement.

Moderator: Our next question comes from the line of Uday Pai with Investec.

Uday Pai: Just one clarification question that the pass on to distributors, is it implemented for the full quarter or Q3 will still have some impact of GST? Just one question from my side?

Krishnan Ramachandran: We've done it effective October 1.

Uday Pai: Okay. So Q3 should not have any impact of this, right, it should be a clean quarter from GST?

Krishnan Ramachandran: That's correct. That's correct. Yes.

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Moderator: Our next question comes from the line of Rachna K. from SiMPL.

Rachna K.: I had one question. Within our group health insurance portfolio, could you share how the premium mix or share between employee -employer versus SME customers have evolved?

Further, if you could provide some perspective on the underlying business economics at a ballpark level of writing employee group health versus SME?

What factors make the SME business segment attractive? As you know, we had discussed previously that SME business is an attractive segment within the health business and how it is different from writing employee -employer business. In addition to this, what has been our approach to become better in SME business in terms of growth and profitability as this segment tends to be a bit price -sensitive? This is my question.

Krishnan Ramachandran: Actually, employer -employee -- SME is also employer -employee technically. So just want to be clear that both are employer -employee. Just depending on the size and the number of lives covered, we categorize something as large corporate versus SME. As we have stated in the past, our strategy is to focus on the SME segment or disproportionately focus on the SME segment.

And as Ankur mentioned earlier, we do believe we have a strong value proposition for large corporate, but we are opportunistic, right? It has to come at the right economics around combined ratio for us to write that, the case in point being that in early 2025, we wrote large -- a couple of large multinational companies because they believe

very much in a health value

proposition and we were able to write that large business using a health value proposition.

So strategically, I just wanted to clarify that. In terms of the split of the business, I'd say more than 2/3 of our business by volume account of policies comes from SME, probably closer to 70%, 75% or even higher. In terms of -- and SME in the company, we actually run almost like a retail business. We source SME business through direct -to-consumer channels.

We source it -- many of our partners have large SME lending franchises. We ride off our sizable agency network. And we also ride off the broker network. So it's a multichannel approach to the SME business, similar to what we do on the retail business. And indeed, we run it like retail, where the conversation to conversion ratio is something that we closely monitor on the SME side.

And this is a business that we've been strategically investing in and growing. This business has been growing. If I sort of deconstruct the overall growth, while our overall group business growth has been relatively slower than the retail growth, but the SME growth has been -- maybe has been close to 50%. You want to add? That gives you a sense of our overall employer -employee strategy, the role of SME and how -- what engines we're using for growth.

Rachna K.: Okay. And more on the economics perspective, if you could give a ballpark figure in terms of combined ratio?

Krishnan Ramachandran: We've spoken about group combined ratios in the past. I mean, that's what we've been talking about publicly.

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Moderator: Our next question comes from the line of Vinod Rajamani from Nirmal Bang.

Vinod Rajamani: I don't know whether you may have already addressed this because I joined slightly late. I just wanted to know the split between -- in the group segment, the split between employer -employee and benefits, what was the premium split and also the loss ratio split? That's all.

Krishnan Ramachandran: Premium split is roughly one -third employer -employee and balance affinity business. Loss ratios, we have not been disclosing publicly.

Moderator: Our next question comes from the line of Raghvesh from JM Financial.

Raghvesh: I had a couple of questions. First, on the claims ratio reserve release, which you have been discussing, in 1 Q, you had mentioned it will take a couple of quarters for this to stabilize. But the commentary suggests it's now stabilized, and we can kind of consider this INR50 crores number adjusting for, of course, growth to be stable here. Is that a correct understanding?

Vishwanath Mahendra : Yes, that's correct.

Raghvesh: Okay, clear. Secondly, on the gross commission ratio you have been able to reduce. So any specifics you would like to give in terms of what channels have contributed to this? Or there is a change in mix in some way that we are missing?

Vishwanath Mahendra: No major movement in channel. It has more to do with the mix change.

Raghvesh: Okay. So the employer -employee is becoming larger. Is that the reason?

Vishwanath Mahendra: Employer -employee, new renewal, all those kind of mix changes.

Raghvesh: Okay. And finally, from October, the entire aspect about 1/N and N goes. Or is there something residual which will still be coming, and we'll have to look at another like -for-like growth number? What is published monthly is the like -to-like?

Vishwanath Mahendra: Not exactly because October, we started -- last year, October, we started 1/N. So whatever is the premium deferred in those months, it will keep coming. So there will be a cycle. So now we'll keep deferring and it will keep coming from previous months.

Raghvesh: But whatever will be reported will be like -to-like, right?

Vishwanath Mahendra: So last financial year in those months, the previous financial years de

ferred will not be there.

But this financial year, these months will have deferral coming from previous financial year.

So it will...

Raghvesh: It will be slightly higher than -- what will be the...

Vishwanath Mahendra: Yes.

Moderator: Our next follow-up question comes from the line of Sanketh Godha from Avendus Spark.

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Sanketh Godha: Vishwanath or Krishnan, if you can answer. See, the claw back in the -- or reduction in the commissions is probably maybe 65%, 70% or 70%, 75% of your cost. Rest of 2/3 cost, excluding the non-employee cost still will have some GST implications with no input credit availability.

So do you think this will have an implication on overall COR or profitability in second half onwards? Or do you think it will be more than compensated by, say, better renewals or ticket size increase or higher sum assureds, which invariably will have lower loss ratios? Just on that point, if you can qualitatively address it will be useful?

Vishwanath Mahendra: Sure, Sanketh. So -- you're right, there will be some cost items, overhead items where there will be GST and input tax credit will not be available. One is we are looking at each and every item in detail and identifying if we can renegotiate, reduce, etc., on those cost items.

Still, there will be some residual, but that will be more than compensated by a few items, a few you mentioned and there's another additional item where in terms of claims, the GST on pharmacy or medicines has been reduced. So that's also something which will help us. So overall, we feel that there will not be any negative impact.

Sanketh Godha: Understood. Understood. Perfect. And one more thing, if I look at your ticket size numbers, average ticket size per policy for 1H to 1H and for both agency and overall, there is a kind of 12% to 13% decline even if I do that math on 1/N -- without 1/N basis. So any reason you think it has happened or is it because incrementally, distributors are selling less long-term policies and that's getting reflected in the ticket size?

Vishwanath Mahendra: Sanketh, there's no reduction. Without 1/N metric, we have given in Slide Number 8. So if you see GWP per policy sold by agent, so it is INR25,108, INR25,215. So it's marginally high. So probably you are looking at another slide where there is a reduction and that's coming because of 1/N impact. And that will also get addressed from next quarter onwards.

Sanketh Godha: Okay. Understood. Sorry, maybe I looked at a wrong slide. You're right. And finally, can you quantify your advance premium sitting in the balance sheet?

Vishwanath Mahendra: Not handy currently, but we disclosed that in our IRDAI financials...

Sanketh Godha: Yes, yes. But it will come with a lag, so I was asking?

Vishwanath Mahendra: I mean, since it will be available in public domain, we can find out and give you separately.

Moderator: Our next follow-up question comes from the line of Shobhit Sharma from HDFC Securities Limited.

Shobhit Sharma: So firstly, can you help us understand how much of our expenses related to outsourcing expenses contribute to total expenses? And what's our plan on that? Because I believe whatever ITC impact would be there on that portion of the expenses, if we are able to bring that in-house, we'll be able to offset some of that?

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And secondly, on the investment AUM side, if I look at as compared to March '25 to September '25, the year has been more or less been flat. It has grown by 4% to 5% only. So what's the reason behind that? And what's our strategy on the portfolio? Will it always be skewed towards the debt side? And what's our duration of the portfolio?

Vishwanath Mahendra: Sure, Shobhit. So first, on your question on outsourcing. So we have very small outsourcing

vendors where we take help on manpower side for IT, etc. We are looking at each and every contract and seeing is there value in in-sourcing that. So in some cases, we may do.

In some cases, we may still continue with outsourcing. But it's not a very major cost item, any which way. On AUM, so this has to do with reinsurance treaty. Last financial year, we had reinsurance treaty, which was there on -- where settlement was on annual basis. So in May this year, we settled that all voluntary quota share.

And this year onwards, it's on quarterly settlement. So that's why optically, it's looking that AUM has not grown. And the capital contribution was another point because last year, we had INR800 crores capital. So that's why there was a sudden jump, and we raised also some in private market before that. So those are the only reasons.

In terms of bonds, yes, we would like to continue majorly with bond strategy, but we also have close to 6%, which is there in Nifty ETF, AIF, InvIT REIT, etc. So we'll continue with that,

but it's not that we want to ramp up that largely. And second, we are not investing in direct equity. It is only through Nifty ETF.

Shobhit Sharma: Vishwa, what's the duration of the portfolio on the debt portfolio?

Vishwanath Mahendra: Duration would be...

Krishnan Ramachandran: 61 months.

Vishwanath Mahendra: Maturity would be 61 months; Duration, yes, 4.5 years or so.

Moderator: Our next question comes from the line of Kushagra Goel from CLSA.

Kushagra Goel: Just one question. So there was earlier we had a news article, right, that General Insurance Council was...

Krishnan Ramachandran : Kushagra, your voice is not very clear.

Kushagra Goel: Sure. Is it better now?

Moderator: Yes, sir. Please go ahead.

Kushagra Goel: So just one question. If there is any update regarding the negotiation which was happening between the industry -- insurance industry body as a whole with the hospital in terms of keeping your expenses or the -- sort of harmonizing the expenses which are being charged. So if you can give some update on that because there was some recent news also on this front?

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Krishnan Ramachandran: Yes. No, I think -- maybe I'll give a broader update on 3 big industry initiatives. One is an awareness campaign where as I updated last time, as an industry, we have committed to a sizable spend every year for the next 3 years. I think we had the second burst of that campaign happen during Q2. Second is on the common empanelment initiative.

It continues the pace. I think we have close to 3,500 or 4,000 hospitals that have applied under common empanelment. The third, maybe I can request Dr. Bhabatosh to talk about the work that we're doing specifically around standardization, which is also a powerful lever to control claims cost.

Bhabatosh Mishra: Yes. So a lot of focus on standardization of protocols as well for 7 conditions, 7 kind of conditions and more than 10, 12 diagnosis codes, standard protocol indication for hospitalization has already been adopted, largely by all SAHI players and increasingly by the entire industry for health insurance.

This is an initiative where more conditions are being added as we speak. And there is significant, not just push, but endeavour to standardize these protocols of indication for hospitalization and treatments as well, including position statement that is already underway, led by General Insurance Council on behalf of the industry.

Vishwanath Mahendra: And Shobhit, to your question on duration, it is 4.5 years.

Moderator: Our next follow-up question comes from the line of Supratim Datta from Jefferies.

Supratim Datta: One, just wanted to understand what is the GST impact this quarter? Because I understood that it's -- your renegotiated rate started from 1st October. So just wanted to u

nderstand and what was

the impact this quarter? And secondly, wanted to understand what proportion of your GWP currently comes from narrow network products? And how are you seeing that grow over the next 2 to 3 years?

Vishwanath Mahendra: GST is not major. It's INR5 crores, INR8 crores.

Krishnan Ramachandran: Narrow network is still early days. It's probably in the single digit on new sales. But keeping aside that the preferred provider network that we are executing on quite aggressively, which is now there in 44 cities, I think about 16%, 17% of our claims in those cities go through the PPN network.

The objective is the same, except that one is achieved through the product and the other is achieved through communication, providing superior benefits, working with our distribution and nudging customers -- better experience, nudging customers to go into the PPN.

Supratim Datta: And how is the claim experience different in a PPN versus non-PPN as in the loss ratio?

Bhabatosh Mishra : Loss ratio, did I get it right? The difference in loss ratio, between PPN and non-PPN?

Supratim Datta: Loss ratio. Yes.

Bhabatosh Mishra : That is not what we publish in public domain.

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Krishnan Ramachandran: But look, broadly, the price difference, on a like-to-like basis and broadly, there's a difference of about 10% to 15% PPN versus a quaternary tertiary care facility.

Bhabatosh Mishra : Yes. In terms of the average claim cost for like-to-like treatment, definitively, the PPN is, as mentioned, 10% to 15% or perhaps a little lower in that range. However, you cannot also compute loss ratio at a provider level or a cohort of provider levels, right, given the calculation of loss ratio is claims upon earned, you can't compute earned for a set of providers, right? So

that's not something that is even computable.

Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to the management for closing comments.

Krishnan Ramachandran: Thank you, everyone, for your patient hearing and your questions. Let me just close by saying that we continue to be super excited about health insurance, specifically retail is a big focus area for us, and we are continuing our journey of investing and growing the business in a profitable, valuable way. Thank you.

Moderator: Thank you. On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2026

Niva Bupa Health Insurance Company Limited
IRDAI Registration No. 145 | CIN: L66000DL2008PLC182918
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February 03, 2026

Ref: NIVABUPA/EQ/2025-26/92

To,
National Stock Exchange of India Limited
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Phiroze Jeejeebhoy Towers,
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Symbol: NIVABUPA
Scrip Code: 544286
Sub: Transcript of the Earnings call Ref: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015
Dear Sir/Madam,

We hereby enclose Transcript of the Earnings call on Unaudited Financial Results of the Company for the quarter and nine-months ended December 31, 2025, held with Investors/Analysts on January 29, 2026. Transcript shall also be available on website of the Company at www.nivabupa.com .

Kindly take the same on records.
Thanking you,
Yours Sincerely,
For Niva Bupa Health Insurance Company Limited

Aparna Sharma
Company Secretary and Compliance Officer

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“Niva Bupa Health Insurance Company Limited
Q3 FY'26 Earnings Conference Call”

January 29, 2026

MANAGEMENT : MR. KRISHNAN RAMACHANDRAN - MANAGING
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HEALTH INSURANCE COMPANY LIMITED
MR. VISHWANATH MAHENDRA - EXECUTIVE
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MR. ANKUR KHARBANDA - EXECUTIVE DIRECTOR &
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MR. BHABATOSH MISHRA - CHIEF OPERATING
OFFICER , NIVA BUPA HEALTH INSURANCE COMPANY
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MODERATOR : MR. ANSUMAN DEB - ICICI SECURITIES LIMITED

Niva Bupa Health Insurance Company Limited
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Moderator : Ladies and gentlemen, good day and welcome to the Niva Bupa Q3 FY'26 Earnings Conference call hosted by ICICI Securities Limited.

Please note that any statements and comments made in today's call that may look like forward-looking statements are based on the information presently available to the Management and do not constitute any indication of any future performance, as future involves risks and uncertainties which could cause results to differ materially from the current view being expressed.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ansuman from ICICI Securities Limited. Thank you and over to you, sir.

Ansuman Deb: Good evening, ladies and gentlemen. It gives us immense pleasure to host the Senior Management of Niva Bupa Health Insurance Company Limited for their Q3 FY '26 Results Conference call.

I now hand over the call to Mr. Krishnan Ramachandran – Managing Director and CEO. Over to you, sir.

Krishnan Ramachandran: Thank you very much, Ansuman, and thank you to each and every one of you who has joined this call.

Let me start off our presentation :

There has been a number of very, very important developments in Q3, specifically from a policy standpoint and also a number of industry initiatives are picking up momentum.

So, I thought I would spend a minute or two to walk you through all of what is happening from an overall industry landscape standpoint.

- I think the first one is the awareness campaign, which all of you are aware of. But just to reiterate, the industry is committed to spending a sizable amount to the tune of Rs. 120 crores -Rs. 140 crores every year on spreading insurance awareness, general lines as well as health, health being a significant part of this spend. This campaign, one more burst of this campaign is currently live as we speak. So, this is an important initiative which is being sustained by the industry.

- The second important initiative is how we build a more transparent, a more sustainable and better ecosystem of insurance and hospitals for the benefit of the policyholder ; promoting both access to high quality care as well as affordable care. And as you are

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all aware, there is a significant common empanelment initiative underway. There is a lot of focus on bringing about commonality around evidence-based practice of medicine through standard treatment protocols and use of technology. While the overall initiative is underway and we are making great progress, I do want to update all of you that we are very excited that Dr. Prakash, who's an outstanding clinician as well as somebody who has deep experience in the insurance industry, being the Joint Managing Director at Star Health, has now joined the General Insurance Council as the CEO for Health. So, I think his leadership will be very, very instrumental in driving and giving fresh impetus to a number of initiatives around health insurance and health care that the industry has embarked on.

- I think the third big one, which was a big topic of discussion last time, is specifically how is GST going to play out as far as economics as well as consumer demand is concerned. The signs are clearly quite positive as far as Q3 is concerned. And my colleague Ankur will give you an update on business and Vishwanath will give you an update on what it's meant from a financial performance standpoint.

- And the last update on, along this theme is the insurance

amendment bill, which got passed.

I guess a few key highlights :

Of course, a big one from our standpoint is the 100% FDI, which really clears the way for more foreign participation, not just in Niva Bupa, but also into the industry. But a few things which have been topics of discussion amongst us several times.

So, I just thought I would highlight what is not there that was expected to be there is the

composite license has not come about. The ability to generate fee income through value-added services is not there, as well as open architecture on agency is not there. So now there is certainty in terms of what the bill or the Insurance Amendment Act contains. So, I would say that's the other big policy update as far as Q3 is concerned.

Coming on to the business performance of the Company itself :

On a like-to-like basis, I want to repeat, because of the accounting change, we will still continue to focus on giving you an update both on an N as well as 1/N basis. But on a like-to-like basis for 9 months, we overall had a growth rate of 26% as a Company and a retail growth rate of 33%. Our 9-month PAT was Rs. 208 crores and our retail market share improved for the 9-month period to 10%.

I am also particularly proud that we have been recertified for the sixth time in a row as a "Great Place to Work". We have sustained a very "High Trust Index Score". We will figure in the "Top 100 Companies, Great Places to Work in India" and also in the top 25 in "Banking and Financial Services".

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And I cannot overemphasize how important a KPI this is for us because, as you all know, this business is a daily execution-intensive business. And talent, we believe, is a significant differentiator. And this KPI, gives you, the audience, the investor, the analyst, a sense on how well we are doing on what I believe is the most essential raw material for our sustained success.

A couple of key customer metrics on NPS :

We have improved by 5 percentage points. 5 points, rather. Our blended NPS stands at 58. Our cashless NPS holds steady at a very strong 67 and we continue to maintain best-in-class claim settlement ratios at close to 95%.

And last time when we spoke, I gave you a brief update on how we are transforming our value chain using AI. We will give you a more robust update when we do our next call. But just to give you a flavor, while we are already fairly mature when it comes to using, let me just call it traditional AI techniques such as machine learning, we are also making significant progress using Gen AI. I updated, we were on the implementation path of Sprinkler. So, Sprinkler has gone live. And we are adding, continuously adding, infusing AI capabilities, which the product has to offer. We also have a functioning AI Lab, as we speak. And every element of the value chain, and we put this out in the investor presentation, we are working through how we transform it using both traditional AI as the exciting generative AI capabilities through the large language models.

At this point, I am going to hand over to Vishwanath for an update on our financial performance.

Vishwanath Mahendra: Thank you, sir. Good evening, everyone.

So, to start with profit, profit after tax under IFRS increased by 74% from Rs. 120 crores in 9 months last financial year to Rs. 208 crores current financial year YTD. The profit for Quarter 3, Rs. 77 crores in current financial year, against Rs. 60 crores last financial year. This is after taking into account one-off impact of around Rs. 20 crores on account of impact of new wage codes, related to past service cost for gratuity and leave encashment.

Combined ratio for 9 months under IFRS has improved by 50 basis point to 102.9%. If we remove the one-off impact of gratuity and leave encashment, the COR comes to around 102.6% for same period.

d. While there is increase in overall loss ratio by 1.1%, mainly because of mix change, this has been more than offset by reduction in expense ratio by 1.6%, resulting in improvement in combined ratio. Retail loss ratio on IFRS basis for 9 months in current financial year is 66.9%, which is a shade better than last financial year nine month retail loss ratio of 67%. The expense of management, EOM ratio for 9 months improved to 35% from 39% in last financial year on without 1/N basis. When calculated on 1/N basis, the ratio stood at 36.3%. This improvement is driven by mainly decrease in gross commission ratio as percentage of GWP from around 23% in H1 this financial year to around 21% in Q3, mainly due to including GST

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as part of commission. Most importantly, because of operating leverage, where the expenses have gone up by 13%, GWP has gone up by 32%. The allowable EOM including additional allowance comes to 35.9%. And hence on without 1/N basis, we are compliant and with 1/N basis, it is higher by around 40 basis points. We are very confident that we will meet the regulatory requirement on both 1/N accounting and without 1/N accounting for current financial year.

Annualized investment yield for 9 months is 7.3% with AUM of around Rs. 9,000 crores.

Solvency ratio is at a healthy level of 2.49. So, that was financial highlights for 9 months.

Let me now hand over to Ankur for more detailed update on business.

Ankur Kharbanda : Thank you, Vishwanath. Good evening, everyone.

Overall, our growth in Q3 was 31%. And for the 9 months , it is 26% overall. And when I give you new business numbers, the growth in Q3 was 46%. And the total of YTD, which is 9 months is 30%, which helped us to gain market share from a 9.6% in H1 to a 10.2 % in Q3 and taking our overall market share to 10% in the first 9 months .

Let me now go to channel -wise and give you a view on some of the large channels :

Agency saw growth of 43% in Quarter 3 and for the 9 months the growth is 32%. When I give you numbers for bank and non -bank financials as NBFCs, the Quarter 3 growth was 27.5% and 19% on a YTD basis. And most importantly, our digital, direct digital channel, the business overall grew by 70% in Quarter 3. And overall, they are maintaining a healthy growth of 49%. And last time, I updated all that GST will have a very positive impact. And all our Q3 numbers are signaled to one of the reasons is also we got tailwinds from GST. And important to share that Q3 volume growth was also 29%. And the value growth additional was 15% there, which means the ticket size went up by 15% in Q3. Vis-à-vis H1, H1 volume growth was 22% for us , and the value growth, which is the ticket size growth was only 5%.

These are the highlights of this quarter and overall, 9 months performance on the business side and the channel side. I would now request Dr. B habatosh to talk about the products and the claim side.

Bhabatosh Mishra: Thank you, Ankur.

Our most recently launched product Reassure 3.0 has found really great favor with the market. It has in a short period of time become the fastest growing product. This product, if you may recall, or if you may know has very unique features. This is India's first inflation proof product for lifetime. With unlimited sum insured, it beats the high level of medical inflation that our country continues to witness. With features like comprehensive OPD wellness and prevention, it offers coverage not traditionally as for hospitalization, but also for complete suite of OP
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expenses like diagnostics, various consultations and pharmacy as well. With Niva Bupa One membership available in certain variants of the product, customers can access superior services or really wide comprehensive suite of health ch

eckups in top tier institutions, faster delivery o f services and assistance programs throughout their journey, whether it is with regards to application policy or claims or endorsements. Complete customization is possible through a range of optional benefits like global coverage, varied pre -existing waiti ng periods, small to medium size co -payments, very small to high-deductible options. Interestingly, a tiered network which accrues discounts to customer and many more.

On our Digital Health Services through our health ecosystem, we continue to witness wide adoption. On an average more than 50,000 annual preventive checkups and diagnostic tests are booked through our mobile app as a digital asset. Nearly 3,000 HRAs are completed on the platform. We also went live with Phase 1 of completely upgraded and revam ped provider page to help our customers make right health care setup decisions. This also allows them not just to review the ratings, clinical and other parameters of the hospital, but simultaneously compare multiple hospitals to make the right decision. Our app continues to enjoy 4+ rating , 4.2 on iOS and 4. 4 in Android. And our MAU , monthly active users , continue to grow at nearly 600,000 active u sers on a month -on-month basis.

Happy to announce that our PPN network grows from streng th to strength. Now having presence in 47 cities in India with nearly 1,100 hospitals and thus the contribution of PPN to overall has gone up to 20% of total claims coming through PPN and consumer experience, superior consumer experience at PPN exhibi ted through NPS of 80 plus now.

Over to you, Krishnan , sir.

Krishnan Ramachandran: No, I think just to summarize before we throw this open to Q&A, we did have a strong Q3, at least the early signal with respect to some of the, specifically the change around GST, the signs are definitely positive in terms of both volume and value increase. And in spite of, there is a hit on account of GST on non -commissioned services and there is also the one off which Vishwanath mentioned on account of labor code changes, we have had a strong Q3.

So, that's it from our side. Over to every one of you for your questions, comments, suggestions.

Moderator: Thank you very much. We will now begin the ques tion-and-answer session. The first question is from the line of Sup ratim D atta from Jefferies. Please go ahead.

Supratim Datta: Thanks for the opportunity. My first question is on the retail claim loss ratio. So, the re tail claim loss ratio has been broadly stable at around 67% d espite the very strong growth in new business. Just wanted to understand why is that , because typically new business would have a lower loss ratio? So, just wanted to understand, is ther e any other offsetting factor that is going into this, which we should be aware about ? That's one. Second thing on the growth side, there has been

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GST tailwinds, your ReAssure 3.0 product has seen very significant traction as well. But are you seeing these GST tailwinds continue into January as well? And, is that traction continuing? Or should we think of it as more of a structural tailwind as compared to one-off impact that would have played out for three months? And I just wanted to understand, how the trends there are playing out? And then, lastly, Vishwanath, on your commentary around, the regulation bit. Just wanted to understand that there are multiple initiatives, you are right, being taken by the General Insurance Council. But when it comes to medical inflation or commissions, we are not seeing any improvement at an overall industry level. So, when should we start seeing these initiatives, which either the General Insurance Council or companies are taking really flow down to and resulting in the industry profitability improve? How far are we from

that point? And what really

needs to change for that to happen? If you could throw some light there. Thank you.

Vishwanath Mahendra: Supratim, I will just start with loss ratio. So, loss ratio is stable around 67% and see, this is based on earned premium and all the business growth. Of course, we have been consistently growing. But the one which Ankur mentioned, the supernormal growth in last quarter, the earned premium of this will take time. So, the mix change we have to see not only in terms of GWP, but more like earned premium. It will reflect over a period of time. So, in that sense, if we look at our planning, our modeling, etc., this loss ratio being stable itself is, I mean, looking pretty good to us.

Ankur Kharbanda: And on your next question in terms of GST tailwinds to sustain, from October to November and to December, the December growth was even better. And January also looks very healthy to us, which to me looks like it's not a one-time benefit which we have got. Looks like a sustained one to us.

Krishnan Ramachandran: And Supratim, in terms of your question on broadly the two sets of initiatives, right, or three sets of initiatives. Let me take the one on acquisition cost first. I would say as an industry, and we updated last time as well, that the GST impact on commissions would be passed through. That is evident in our data, right? If I look at gross commission ratio for H1, it was 23%. For Q3, it is 21%. So, there is a 2 percentage point fall. And largely this is on account of GST. That's one example. Also, as you may be aware, on senior trail, the commission rates have been dropped to for many, many participants, 10% including GST. So, that's another. And, the senior book is between 15% and 20% of several companies; several large platforms. So, that's another significant development, which is actually operating at the industry level. So, clearly there is action happening, and that action is also evident in the data, at least in terms of what I just told you. With respect to, look, the other point is the awareness campaign, where GST has certainly been an important tailwind. But more broadly, I think the overall spend on awareness should play out. I am sure there is some impact of that in terms of the business growth numbers that Ankur alluded to. But these are things that take time to play out with any such campaign. This is a multi-year impact item, not something that you can expect to see results for in a quarter or two. That's generally how sustained brand building and awareness works. Now, to the point on what is happening on the hospital side. Look, there are close to a thousand hospitals that are

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empanelled with common rates with the industry today. Again, and these are at rates of the industry with its collective bargaining power has empanelled these hospitals. So, for sure, the impact of this and this number will go to 5,000 in the next 6 to 9 months. So, the impact of this will also play out. But let me also add, it's not just tariffs. I would say tariffs is only one part of what the industry initiative on, with respect to hospitals about. It's also about standardization. So, last time I mentioned that, we have standardized protocols for seven medical conditions. We have also standardized protocols for seven treatments. This is also having an impact. We are not yet in a position to quantify it for you. But for sure, this will have an impact on claims cost and therefore ongoing affordability of health insurance.

Supratim Datta: Got it. Just one follow up question there, Krishnan. On the senior citizen plan, it has come down from 15 to 10. I just wanted to understand can this be extended to the other products as well? Because not a lot of effort is really required to drive renewal business. And the renewal commissions actually

goes as the person ages as well, because the premium goes up. So, I wanted to understand if this could be extended for the entire renewal piece as well.

Krishnan Ramachandran: Supratim, it's always about keeping a balance. And it's about taking a measured approach, because as I mentioned last time, we want to make sure that as we do this, of course, there is a

win for the customer, distribution and us. So, it is about finding the balance over time. So, could it be done? The answer is yes. But, it's about having a balanced approach and measured approach to do some of these things. But the point really is in the last 12 months, there has been some fairly serious action.

Supratim Datta: Got it. Understood. And just one data keeping question. What is the IFRS loss ratio in 3Q FY '26? And if you could also mention the gross-earned, the insurance revenue from IFRS, those two could be helpful.

Vishwanath Mahendra: So, Supratim, on IFRS result, this time we are publishing all the results, including with limited review by statutory auditor. So, they should be there in Stock Exchange's website. Maybe in an hour or so. So, you will get everything. But we can talk about, you wanted to know, quarter three IFRS loss ratios overall? This is 64.4%.

Supratim Datta: Okay, that's helpful.

Vishwanath Mahendra: And you will get all insurance revenue, etc., everything.

Supratim Datta: Okay, that would be very helpful. Thank you, Vishwanath.

Moderator: Thank you. The next question is from the line on Sanketh Godha from Avendus Spark. Please go ahead.

Sanketh Godha: Thank you for the opportunity. Vishwanath, can you spell out your group claims ratio for 9 months, current year, and last year? Just to understand, because overall loss ratio is lower than Niva Bupa Health Insurance Company Limited
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the retail. So, naturally, the group is better. So, just if you can give the color, how the number is and how it has changed from last year.

Vishwanath Mahendra: Yes, Sanketh. So, group loss ratio last year was around 57%. This year is 62%. That's the increase. And that has to do mainly with mix change. And you can see the drop in expenses, I mean, this is one of the factors.

Sanketh Godha: Understood. And just related to that point, maybe I don't know the corporate plans, if they have helped to reduce your EoM or accelerate the compliance of your EoM. Just wanted to understand whether the behavior in that business has been in line with your expectations? So, when it comes to the 4th Quarter renewal, you will continue to do it? Or any thoughts on those lines? Or how the contracts are behaving? Suppose you want to withdraw any compliance burden with respect to EoM?

Krishnan Ramachandran: So, Sanketh, as we have always maintained, we write this business wherever we believe it makes economic sense for us. So, in terms of writing corporate business, it is not about EoM. It is about doing it for entirely business reasons. In fact, this portfolio has actually grown slower for us. It's grown at 12% this year, just to give you a sense. So, we write this business when the pricing is supportive for us, and also when our value proposition is resonating. So, compared to last year, this business is only growing at 12%. So, materially slower than the Company's overall growth rate.

Sanketh Godha: Understood, Krishnan. So, actually, that was my next question, that if your group growth is 12, and if the corporate part also has grown by 12, then your banca business has meaningfully slowed down. Maybe I am asking this question very similar to the previous quarter, whether this is market share loss, or in general, disbursements being weak, is leading to that slowdown?

Ankur Kharbanda: No. So, on the banca side, as I mentioned, Sanketh, our growth is 27.5% in Quarter 3, banca NBFC. And YTD, we are at most at 20% growth on the banca

side. It's not slowing down overall.

The 12%, which Mr. Krishnan mentioned, was on the B2B side, employer-employee side.

Sanketh Godha: Okay, understood. Okay, maybe I was looking at the wrong number. Sorry, my bad there. So, understood that point. And which means, eventually, means that your mix in the favor of benefit-based products improved. So, which should be boding well for overall loss ratios in group business to improve going ahead compared to 62, what you reported now?

Vishwanath Mahendra: Yes, in future, you are right. So, when we look at this next year, because this is basis earning, the weights of earning, and that's why we are here, yes.

Sanketh Godha: Understood. And lastly, two questions. One is, can you spell out contribution of your long-term policies in the fresh business you are doing? You said that the growth is on fresh 47, if I got the number right. So, how much was the contribution of long-term in the current 3rd Quarter or 9 months? And how was it in 3rd Quarter last year and 9 months of the last year? And the second
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question is on solvency. See, our solvency was 300 plus, now has dipped to 249, maybe because of 1/N accounting thing. Assume profit pools remain slow and the growth remains as strong as it is in the IG AAP numbers, the solvency is based on IG AAP numbers. So, do you think these numbers will see a challenge or you will go for a sub-debt? I know it's too early to ask, but I just

wanted to understand when the convergence in the profits will happen and therefore it might not trigger solvency to fall below 200 ?

Ankur Kharbanda: So, let me take the first one. Sanketh, our overall multi-year policies have been stable since last year. There has been not very significant change over last year to this year. This is hovering around 20 %-21% even in last year and this year as well. Neither the quarter wise there is any change which I should highlight here.

Sanketh Godha: Sir, this 20 %-21% is on total premium, including renewals. If I consider only new -new, then also the number is same ?

Ankur Kharbanda: Around some change, but not very significant here. I don't have immediate handy number, but not very significant is what I will tell you .

Sanketh Godha: Understood, Thanks.

Vishwanath Mahendra : Yes, on solvency, Sanketh. So, as you know, there is a seasonality in IG AAP profit and Quarter 4 is always heavy in terms of results, so we don't see that to be a challenge . 2.5 should only go up.

So, I mean, it is as per our plan when we raise this capital. So, we are good with that.

Sanketh Godha: Understood. Perfect, those were my questions.

Krishnan Ramachandran: The growth on banca that Ankur mentioned is the channel growth. It doesn't necessarily translate into, channel has both retail as well as group. So, just keep that in mind, as you think through how it will play out over time.

Sanketh Godha: Yes, I understood, Krishnan. Thanks for the clarification.

Moderator: Thank you. The next question is from the line of Prayesh Jain from Motilal Oswal Financial Services. Please go ahead.

Prayesh Jain: Thanks for the opportunity. Firstly, you mentioned about seven surgeries or something, which is kind of agreed rates. So, is it with the entire hospital network or how is it? And what would be the contribution of these, say, in your 9 months claims?

Bhabatosh Mishra: Thank you, Prayesh. It's not on rate, what Mr. Krishnan referred to is, as an industry, most players have come to an agreement to apply evidence-based medicine, driven standard protocols for hospitalization in seven common, seven most common infectious diseases. Now, the same is also available, ratified by and thus is available on General Insurance Council's website as well.

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Now, all the insurers, one of the challenges that we used to, as insurers face is ambiguity about admission criteria in infections mostly. Now, these guidelines, as I said, very evidence-driven guidelines were created. These were circulated and discussed with more than 10,000 -15,000 providers and consequent to their input, and with their input, these have been agreed and have been put on General Insurance Council's website. That removes any ambiguity whether a hospitalization was necessary or not. This is about standard treatment protocols and guidelines and not about the cost.

Krishnan Ramachandran: Maybe you should stick with the ICMR standard treatment workflows.

Bhabatosh Mishra: Yes. So, as you would have heard, as many of you know, ICMR also has come up with standard treatment workflows or call it care pathways or guidelines for a range of more than 100 health conditions and diagnosis and procedures. Industry is actively engaged at advanced stage of adopting this premier institution's very scientific body of work on creating these guidelines under the aegis of General Insurance Council. That is, as I said, at a fairly advanced level. This removes ambiguity and awards a lot of clarity even to consumers. Based on very clearly when is the admission required and whether the treatment is appropriate or not.

Krishnan Ramachandran: Whole point, Prayesh, is we tend to talk a lot about tariffs, but actually the larger impact of how medicine plays out is on admissions, is about over care, it's about unnecessary care, right? So, the whole drive from an industry standpoint, in addition to, of course, common empanelment is on standardization, right? And the idea is, look, when we have standards on when is an admission necessary, what is the appropriate standard of care for a particular presenting diagnosis, right? And these are all, medicine is science. So, the idea is to, as an industry, of course, in collaboration, in consultation with hospitals, do this so that we have a handshake that is great from a consumer standpoint, both from an experience as well as from a cost angle.

Bhabatosh Mishra : And if I may add, Prayesh, there the common empanelment, which Mr. Krishnan referred to earlier, again, driven through General Insurance Council, where already thousand hospitals have, we have achieved closure and sooner than later, likely to go to 5,000 is a combination of both standard tariffs with them and the simultaneous activity, standard treatment protocols, guidelines, what is already live and through the ICMR in combination addresses both the components, which is appropriate care, right admission at right cost.

Krishnan Ramachandran : And do visit the council website to get a flavor of what these protocols are about. They are displayed on the General Insurance Council website.

Prayesh Jain: I will do that. Just more color on it. So, obviously you would have been, you would have a better understanding on this with respect to what has been the average claim sizes on these diseases

and current tariffs or whatever savings. Do you think that those are significantly or materially lower than what we are looking at average claim size on these diseases right now?

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Bhabatosh Mishra: As I mentioned, the standard protocols primarily are about admitting the patient when admission is required based on clinical condition and parameters.

Prayesh Jain: There could be number of reasons it can go wrong?

Krishnan Ramachandran : That's correct. So, in our, for example, post -monsoon, we have historically witnessed a significantly high level of admissions, for example, for dengue fever. Now there is a protocol on when an admission is warranted. And by the application of this protocol consistently as an industry, we are in a position to say, hey, all of the signs and symptoms and presenting diagnosis

does not warrant an admission. And an unwarranted admission is actually harmful to the

customer. So, that, it will lower admissions, completely eliminating the claim as opposed to dealing with average claim size.

Bhabatosh Mishra: And very important to note these two points, if I may add. One is because we had circulated to all providers, all hospitals and have taken their input and then only finalized. That means customer is not inconvenienced. Hospitals also know the protocol that is applied. So, unnecessary admissions are avoided, and consumers are not inconvenienced in that. Otherwise, once somebody unnecessarily admitted at the claim stage, only if you apply, maybe you are doing the right thing, still possibly customer may face some hardship that is also eliminated by providing clarity and removing ambiguity.

Prayesh Jain: Got that. Thanks for that detailed explanation. Last question, just on the commission bit again, there has been a very strong fresh growth in this quarter. And the commission ratios have come down. And with respect to passing on GST, is that a concluded agreement with all your partners or there are still negotiations going on and possibly some impact of it could come in the later quarters? Is there anything on that sort of?

Ankur Kharbanda: We have closed all discussions, and we have passed it on to our distributors. And as I mentioned earlier, they've also seen the results of this GST. Their overall income is not getting impacted.

They're all very happy that overall, business is going up. If you look at all the distributor businesses, overall business is going up. That's a very good news. Yes, there is an impact, but overall income impact is not there. Percentage impact may be there.

Prayesh Jain: And isn't this fresh growth and in spite of that lower commissions, could you explain that?

Ankur Kharbanda: The growth numbers are much higher, which means the overall business has gone up for them. The ticket size has gone up for them.

Prayesh Jain: My question is on your IGA AP commission ratio. In spite of the fact that we had such a strong fresh growth, the ratio has come down. What explains that?

Vishwanath Mahendra: There is 2 percentage point, around 1.67 percentage point drop in commission ratio. Prayesh, that accounts for both new renewal mix, which would take it upward and passing on this 18%

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GST. So, whatever commission we are paying on retail book, so it is divided by 1.18. So, if you just, let's just take a 70% retail book, if there is no change in this, so it should go down by 12.6%, just to give you mathematics. So, 21 divided by 1.126. So, it should have been lower, but it's not lower because of this change in mix where we have higher new business.

Prayesh Jain: I will take this offline. Thank you.

Moderator: Thank you. The next question is from the line of Shobhit Sharma from HDFC Securities Limited. Please go ahead.

Shobhit Sharma: Hi, sir. Thanks for the opportunity. So, my first question is on the recent letter, which we have received from the IRDAI on the EoM. So, though the letter mentioned about the revised methodology for calculating EoM, but why I am asking this question is because there is a lot of noise and there is a lot of statements made by the government and the regulator around the higher distribution cost. So, do you expect that the overall EoM for the industry should be brought, would be brought down by the IRDAI and how prepared are we on that? Secondly, interestingly, you have given a slide on the claims ratio on the IGA AP side, how it has moved. So, I just wanted to understand, last year, you mentioned that there was a favorable impact of 1/N accounting. So, can you help us understand that? And on H1, you mentioned that the 1/N impact was around 5.2%, somewhere close to that. This at the

end of 9-month, this has gone up. So, I

just want to understand why this has happened, because during the quarter, you would have received the second installment of the long term premiums underwritten last year. So, that's it.

And lastly, on the loss ratio, usually Q3 on a seasonal basis should have a lower loss ratio, but it seems it has gone up as compared to the last quarter. So, have we inched up our reserving? So, these are my questions.

Krishnan Ramachandran: Sure. On EoM and commission, there has been a lot of discussion in the media, but in terms of what the position is, whether something is happening, if something is happening, how will it happen? To be honest, nobody has an answer to that. I would be just guessing, even if I told you anything on that. So, that's really where things are as far as both these topics are concerned. As of now, I guess the topic, as far as we are concerned, is what happens with respect to our own EOM, with respect to our glide path and compliance. And the re Vishwanath has already confirmed that with respect to what is the regulation of the day, we are well on track to comply. On the IGA AP and Loss ratio, I will ask Vishwanath.

Vishwanath Mahendra: So, loss ratio has not gone up, it has gone down. If you compare H1 to Q3 on retail side, group, of course, is a function of many things, including mix. So, retail loss ratio has gone down. And now your question on IGA AP. So, IGAAP, we mentioned that there is a one-time impact of one large group, which will get normalized in next quarter because the renewal is due on 1st January and that has been renewed. So, just to address that. And impact of 1/N accounting, maybe we can take offline. It is not very straightforward; that there is impact of business which was Niva Bupa Health Insurance Company Limited
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deferred last year, that plus what we are deferring now. So, net of, if you do, so that's the impact we have shown of 1/N, 5.9%.

Shobhit Sharma: Okay. Vishwa, just one more thing, because of the claims, so because of the GST rationalization on the consumable side, on the claims side. So, have you experienced any kind of reduction in the claim size or claims cost? So, that's one. And on the expenses side, anything else other than the commission rationalization we have done?

Vishwanath Mahendra: Yes, I can take both the questions and both are quite related also. So, we have done analysis in depth, looking at claims, what was the, let's say medicine cost, individual medicine cost, pre-GST and post-GST. So, we have seen there is certainly reduction in those. And if I can just share with you, for this, the impact is around 50 basis point on combined operating ratio. Of course, on loss claims is higher. Second part on GST, non-availability of input tax credit on other expenses. So, we have done 2-3 things. One, of course, we rationalized our expenses. We negotiated with some of the vendors. All those things have helped, but still there is impact on account of that, which is reflected in Q3 results, which incidentally is closer to that 50 basis point as far as COR is concerned. So, they almost nullify each other.

Shobhit Sharma: Okay. So, Vishwa, so you mentioned the 50 basis impact, this is on the 9-month number or for the quarter number?

Vishwanath Mahendra: It is for the quarter. The 9 months would be because H1 there was nothing. So, it is, you can see on underwriting basis.

Shobhit Sharma: Okay. Got it. Thank you. All the best.

Moderator: Thank you. The next question is from the line of Avnish Tiwari from Vaikarya Change LLP. Please go ahead.

Avnish Tiwari: On the positive things you mentioned about industry-wise efforts to control the claims, how much they would have benefited in terms of 9 months? Because the reported number shows sort of a flattish kind when I look at IFRS numbers. And if you look at a c

ohort-wise, because you

have a mix of new, which helps you here, but if you can internally look at the cohort-wise to make a quantitative assessment, how much of impact, positive impact, these industry-wide efforts would have taken?

Krishnan Ramachandran: Look, I just want to emphasize that the industry-wise efforts are again, like the awareness campaign, on the claim side, these are multi-year efforts, right? It's not that there is one action that fills, that you will start to see results in one quarter. So, these are multi-year efforts. And also, the fact of the matter is, with these efforts as well, there will be an inflation that will operate. And the fact that claims ratio is flat last year to this year, in spite of an aging book, and Vishwanath also mentioned with respect to earnings, I would say that means that effectively inflation has been at some level negated, right? So, that also gives you a sense of overall what is Niva Bupa Health Insurance Company Limited
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happening in our portfolio. As far as the retail cohorts are concerned, I would say it's in line with our expectation, as well as planning.

Avnish Tiwari: Okay, so you also give this claims cost index, which is showing a not too much increase so far in this 9 months, right? Is that representation of all these efforts you are making? Is it fair to sort of draw a quantitative inference?

Krishnan Ramachandran: It's a reasonable proxy for you to look at.

Avnish Tiwari: Got it. And your cohort seasoning impact of the claims ratios, is being nullified by the new fresh mix ingredient. That is also a fair assessment. I think if, let's say, you didn't have this, what is going on in terms of seasoning and the new offsetting it, then you would have seen slightly improved ratio on the claims. Is that fair to think?

Vishwanath Mahendra : You are right.

Avnish Tiwari: Okay. Another question I had on this one, if I had to look at the claims ratio you report in IFRS versus the claims ratio you report in the 1/N basis, there is about 8% gap. Can you help me in this accounting wise, what causes this much gap?

Vishwanath Mahendra: Yes, sure. So, IFRS, the claims ratio is on 1/365 method. So, which is in a way, true reflection of underlying claims and earnings. So, this is consistent. On IGA AP, there are two impacts which are playing. One, because under IGA AP, we don't have DAC. So, we know that that issue is there. In terms of claims, the claims ratio is calculated on 50% earnings. So, we set off 50% of NWP as UPR. So, in that sense, there is a seasonality impact. Also, seasonality is accentuated because there was 1 or 2 large groups which were written on 1st January, which will get renewed on 1st January this year, which are already renewed. And next year, next quarter, when you see for whole year, that will be more normalized. And also on top of this, there is a 1/N impact also, because some of the business of multi-year is now deferred, which was not the case historically. So, there is a lot of noise.

Krishnan Ramachandran: Yes, I would just add, and we have said this consistently, and I think all of you agree that the right way to look at our financials is on an IFRS basis. The Indian GAAP Accounting has a lot of noise, as Vishwanath mentioned. Also, because of the change in accounting that was introduced last year. Also, the regulator has also indicated that IFRS will become the local standard of accounting April 1, 2027, onwards. So, we will have to bear with this noise for this quarter as well as four quarters next year. But after that, it should hopefully be all IFRS.

Vishwanath Mahendra: Yes. And just to mention, our IFRS limited review accounts for 9 months, along with the auditor's attestation is available now on the Stock Exchange website. So, you can also download from the stock exchange.

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limited

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Avnish Tiwari: Got it. And the last piece on this, that the pricing increase, which is being taken by the industry-wide, including your self, is that, if you look at 9-month '26, is it sufficient or more than sufficient to cover the medical cost inflation, all of those factors and problems in the industry? Or is this still what you probably will need to come to a profitable level for the industry?

Krishnan Ramachandran: I am not sure I understood the question.

Avnish Tiwari: I meant to say that the price increase you take on your products, right?

Krishnan Ramachandran: Yes.

Avnish Tiwari: The pricing increase, you talked about a few things in the call, but are these price increases enough, given that you have made some controlling effort towards the cost inflation side on the medical cost and industry? But now, are we meeting, matching that criteria where prices and costs are converging to each other, or still the cost inflation is ahead of price increase?

Krishnan Ramachandran: I think we have consistently maintained that our approach to pricing is to do it annually and to do it high single digit. That approach or strategy does not change. What that high single digit is, is a function of what is the underlying inflation that we are seeing. And as you pointed out, 9 months this year has been relatively all right, benign.

Avnish Tiwari: Great, thank you.

Moderator: Thank you. The next question is from the line of Sucrit D. Patil from Eye Sight Fin trade. Please go ahead.

Sucrit D. Patil: Good evening to the team. I have two questions, both forward looking. My first question to Mr.

Krishnan is, with rising healthcare inflation and increasing penetration of retail health insurance, how is Niva Bupa refining its product design, underwriting framework and distribution mix to drive sustainable growth? In this context, how do you balance expansion into your customer category with maintaining long-term claim discipline, customer experience and the existing portfolio quality? That's the first question. I will ask the second question after this. Thank you.

Krishnan Ramachandran: Sure, look, I will reiterate what we have consistently maintained as our approach to building a sustainable portfolio, is our underwriting approach of, which is basis, lifetime value. This is a fairly sophisticated and mature algorithm that we have been working on for the last, close to 6 years now, which is about matching the product, the sum insured, with the economics that we part with to distribution, geography, channel, age, etc, etc. And we are in a position to therefore then indicate, predict when we underwrite a particular risk, is it going to be sustainable over the long term, specifically with respect to how the cohorts behave. So, I think this approach has stood us in good stead. And this is fundamentally the approach that we use to select risk. Now, in terms of building a sustainable portfolio, this is the most powerful lever. But there are other

levers that we have mentioned in the past, and I will reiterate some of them. One is, a discipline
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around inflation-driven price increase every year. We believe that it's better to do single-digit price increase annually as opposed to bunching it up over 2-3 years, where it ends up being a sticker shock and results in selective lapse. So, this is the other pricing discipline that we have maintained. There is a lot of work that we are doing on the claims side, both from a cost management and coincidentally, also improving customer experience. Dr. Bhabatosh referred to the preferred provider network. There is a bunch of industry initiatives that I spoke about, including medical protocols, etc, etc. So, I think that is the other lever that we use to build a sustainable portfolio. And also, o

n the renewal book, there is continuous opportunities to upgrade customers to more appropriate products, more appropriate sum insured. So, there is a steady cross-sell, up-sell rhythm. And nearly one in five of eligible customers do get cross-sold or up-sold at the time of renewal. So, it's taken together. This is what we call our approach to portfolio management that delivers what we believe will be sustainable over time.

Sucrit D. Patil: Thank you. I have just one question to Mr. Vishwanath. Again, it's a forward-looking one, just want to understand your vision on this. Given the constant volatility in claims ratio and the ever-evolving regulatory compliance, how are you thinking about margin sustainability and profit normalization over the short to medium term? Additionally, can you elaborate on how capital allocation, investment tactics, and operating efficiency initiatives are being aligned to support growth while strengthening return metrics and keeping the balance sheet strong?

Vishwanath Mahendra: Yes, sure. See, our medium-term target is to get to ROE of high teens, let's say in next two financial years. And we are on IFRS basis, and we are very much there in that trajectory. So, and for that, of course, like Mr. Krishnan mentioned, underwriting, claims, growth in business, all those are levers which we are using. But if you see our trajectory of profits and ROE in last three years, and all those numbers are available in public domain on IFRS audited accounts, you will realize all those things, including maintaining loss ratios and operating leverage and economies of scale are helping us to achieve the target of high teens ROE in next two years' time.

Sucrit D. Patil: Thank you, and best of luck for the next quarter.

Vishwanath Mahendra: Thank you.

Krishnan Ramachandran: Thank you very much, everyone. Appreciate the questions and your patient listening.

Moderator: Thank you. Due to time constraint, as that was the last question, I will hand the conference over to Mr. Krishnan for closing comments. Over to you, sir.

Krishnan Ramachandran: I already said my thank you. Thank you to everyone for being with us on the call, your questions and very patient hearing.

Moderator: Thank you. On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: May 2026

Niva Bupa Health Insurance Company Limited
IRDAI Registration No. 145 | CIN: L 66000DL2008PLC182918
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Corporate Office: 3rd Floor, Capital Cyber scape, Golf Course Extension Road, Sector -59, Gurugram -122101, Haryana.
Website : www.nivabupa.com | Email id: investor@nivabupa.com | Tel: +91- 124-6354900
May 13, 2026

Ref: NIVABUPA/EQ/2026-27/11

To,
National Stock Exchange of India Limited
Exchange Plaza, C -1, Block G ,
Bandra Kurla Complex ,
Bandra (E), Mumbai – 400 051 BSE Limited
Phiroze Jeejeebhoy Towers ,
Dalal Street,
Mumbai – 400 001

Symbol: NIVABUPA
Scrip Code: 544286

Sub: Transcript of the Earnings call
Ref: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Dear Sir/Madam,
We hereby enclose the Transcript of the earnings call on Audited Financial Results of the Company for the quarter and financial year ended March 31, 2026, held with Investors/Analysts on May 08, 2026.

Transcript shall also be available on website of the Company at www.nivabupa.com.

Kindly take the same on record.

Thanking you,
Yours Sincerely,
For Niva Bupa Health Insurance Company Limited

Aparna Sharma
Company Secretary and Compliance Officer
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“Niva Bupa Health Insurance Company Limited
Q4 FY '26 Earnings Conference Call ”
May 08, 2026

MANAGEMENT : MR. KRISHNAN RAMACHANDRAN – MANAGING
DIRECTOR & CHIEF EXECUTIVE OFFICER
MR. VISHWANATH MAHENDRA – EXECUTIVE
DIRECTOR & CHIEF FINANCIAL OFFICER
MR. ANKUR KHARBANDA – EXECUTIVE DIRECTOR &
CHIEF BUSINESS OFFICER
MR. BHABATOSH MISHRA – CHIEF OPERATING
OFFICER
MR. VIKAS JAIN – CHIEF INVESTMENT OFFICER

MODERATOR : MR. RUSHAD KAPADIA – ICICI SECURITIES

Niva Bupa Health Insurance Company Limited
May 08, 2026

Moderator: Ladies and gentlemen, good day, and welcome to Niva Bupa Health Insurance Company Limited Q4 and FY '26 Earnings Conference Call hosted by ICICI Securities. Please note that any statements and comments made in today's call that may look like forward-looking statements are based on the information presently available to the management and do not constitute any indication of any future performance as future performance involves risks and uncertainties, which could cause results to differ materially from the current view being expressed. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Rushad Kapadia from ICICI Securities. Thank you, and over to you, sir.

Rushad Kapadia: Thank you. Good evening, ladies and gentlemen. It is a privilege to host the management team of Niva Bupa Health Insurance Company Limited for their Q4 FY '26 results conference call.

We have from the management, Mr. Krishnan Ramachandran, MD and CEO; Mr. Vishwanath Mahendra, ED and CFO; Mr. Ankur Kharbanda, ED and Chief Business Officer; Mr. Bhabato sh Mishra, Chief Operating Officer; and Mr. Vikas Jain, Chief Investment Officer.

So, without further ado, I would now like to hand over the call to Mr. Krishnan Ramachandran. Thank you, and over to you, sir.

Krishnan Ramachandran: Thank you, and thank you to all of you who have gathered this evening, Friday evening to be with us. I'll divide my update into two parts. The first is some perspectives on what's going on in the industry. And the second, of course, is Niva Bupa. As far as the industry is concerned, there are a number of ongoing positive developments.

The awareness campaign, Achha Kiya Insurance Liya, in Q4 as well, the industry led by health executed on an awareness campaign, which is now an awarded campaign. And all of the KPIs for the campaign in terms of specifically around reach and awareness are certainly very encouraging. And this is a campaign, as you all know, that we will continue. It's a multiyear campaign.

The second update is GST continues to be a positive or a tailwind for the industry. Indeed, now with the benefit of the entire H2 behind us, the retail health growth, if you looked at H2 for the industry was about 30%. And with Niva Bupa, our retail health growth for the same period was in excess of 40%. So continued strong volume and value growth on the back of what has been a transformational policy reform.

The industry initiatives around hospitals and collaboration around healthcare continue apace.

The common empanelment initiative has now reached 2,500 hospitals, where the MoU has either been signed or is ready to be signed. The last time we spoke, I mentioned that standard treatment protocols for eight infections -- sorry, seven infections are live.

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Work is at a very advanced stage in terms of adding guidelines for modern cancer treatments as well as robotic surgeries and going live with the standard treatment workflows, and there's 144 of them. All of these initiatives help bring about higher transparency and standardization of care, of care pathways and claims cost is embedded in these care pathways. So I think these are great initiatives to bring about transparency and improve affordability as far as health insurance is concerned.

The other big recent positive development, which happened in Q4 is the notification of the Ind AS standard or the IFRS 17 global standard, which is now effective

from April 2026. At Niva Bupa,

we've always been reporting or leading with the IFRS accounts. And this is something that we will be going live with starting this quarter itself. And we do view this as an extremely positive development in terms of bringing about transparency as well as standardization in terms of how accounting is looked at within the insurance industry.

Coming on to Niva Bupa. When I look back at the financial year, we closed at a strong 27.4% overall growth rate for a GWP of INR9,433 crores, and I still continue to talk about these numbers on an N basis. So, in a similar vein, retail growth was 35% for the full year. Our profit after tax on an Ind AS basis was INR366 crores on a full year basis, up from INR203 crores last -- the prior financial year. And our return on net worth crossed double digit for a 10.7% ROE number. Our market share on retail health closed at 10.1% on a full year basis, up from 9.4%. And in Q4 specifically, we moved our market share to 10.4%, up from 9%.

On talent, we continue to -- continue our journey of emphasizing and placing a lot of importance in all of the talent management processes. And once more, we were recertified as a Great Place to Work. We continue to figure in the top 25 in banking and financial services. While we still don't know our rank, but we'll certainly figure in the top 100 of all companies of all sizes in

India. On customer, a few KPIs that we monitor specifically NPS across more than 25 pivotal customer-facing touch points. On a weighted average basis, this number moved up to 60, up from 55 the prior year.

We continue to hold strong on claims settlement at 94% plus on a full year basis. And our journey on an analytics, generative AI and technology across the entire value chain continues, and we have more than 30 pilots or projects underway across the entire value chain using some of these modern technologies. Two other customer-centric as well as health cost management measures. One is our preferred provider network, which is now present in 49 cities, more than 1,000 hospitals and 20% of claims in these cities go through these hospitals.

And we continue to be a strong health partner of choice for an increasingly large number of Indians as evidenced by the increased utilization metrics on our customer app, whether it's doctor consultations, health checkups or any of the new services that we have launched in the last financial year. With that, I'm going to hand over to Vishwanath for an update on our financial performance.

Vishwanath Mahendra: Thank you, sir, and good evening, everyone. So, like Mr. Krishnan mentioned, our profit for the year grew by 80%. The same number for the quarter 4 is 90%, so 90% increase over last year Q4. The combined ratio for FY '26 under IFRS has improved by 160 basis points to 101.4%;
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while there is increase in overall loss ratio by 1.1%, primarily due to mix change, this has been more than offset by reduction in expense ratio by 2.7%, resulting in improvement in combined ratio. The expense of management ratio for FY '26 improved to 33.7% from 39.2% last year. This improvement is primarily driven by operating leverage and economies of scale. The allowable EOM including additional allowances comes to around 36%.

So, we have comfortably complied with regulatory prescribed EOM limit. Annualized investment yield for FY '26 is 7.2% with AUM of INR9,670 crores. Solvency ratio is at healthy level of 2.49 as on 31st March 2026. So, these were the financial highlights for FY '26. We are open to questions.

Moderator: Thank you very much. First question is from the line of Supratim Datta from Jefferies.

Supratim Datta: I have 3 questions. Starting with the growth bit, this has been a very strong year like you articulated at the start. Now thinking of the next 2 to 3 years, assuming that you

grow at

somewhere around that 25% level, which you have tried to meet and successfully done over the past few years, assuming that you grow at 25%, you will get to somewhere around INR15,000 crores, INR16,000 crores GWP now that I wanted to understand what would you require to go from current INR9,000 to that INR15,000 crores, INR16,000 crores for GWP, what would be the building blocks here, if you could give some color around that?

Secondly, when you reach this scale, what kind of operating expense ratios can you operate at an IFRS level? Because your IFRS expense ratio has come down significantly since FY '23. I wanted to understand what would be the steady state ratio here? That's the second.

And lastly, there has been a lot of discussion around commission and commission regulations.

Obviously, everything is speculation. I wanted to understand if there are caps or an absolute reduction in commission, how would you go about mitigating the impact? Would you pass it on to distributors? Or how would you go about addressing that situation? Those are my 3 questions.

Krishnan Ramachandran: Thank you, Supratim. In terms of building blocks, look, there is going to be continuity in terms of what's historically been the levers for our growth. One of our sources of strength, we feel as a management team and it's a strategic choice is our multichannel distribution architecture. Last year, as you would have seen, we've considerably increased our distribution spread, net addition of 58,000 agents, addition of 50-plus brokers, I think 23 additional financial institutions that are now part of our distribution strength.

So certainly, one part of the growth is going to continue -- or a major part of the growth is going to continue to come from the distribution that we already have, and we will continue to invest and grow that distribution. Now layer on to that, this distribution, we will use to tap newer and newer customer segments. For example, we now have a product portfolio that covers practically every income segment, except poor or near poor people across the country.

So, using the same distribution to tap into more and more customer segments, is a layer that will add -- that is a building block, if you will, on top of the distribution. So, products for segments is definitely a building block that will add on top of the distribution. The third one I would add is our strategy on Bharat through our own virtual agency as well as our bank distribution.

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We have access to every pin code in the country. And one of the distribution strategies that we have been doubling down on for the last 2 years is our Bharat strategy, which takes us into Tier 3 cities and below. We have doubled down in a couple of geographies last year. That's given us success and the idea this year is to expand to more geographies.

So broadly -- and of course, we will continue to experiment with new distribution archetypes or models. But given what we know, and of course, there is a continued inflection towards digital channels, we are seeing significantly faster rates of growth in our own digital channels, whether it's our own or through third parties. So, I think that's where our -- that's been our source of growth. We continue to believe that, that will be the source of growth or the building blocks as you refer to it for us.

And of course, we will continue to pilot and experiment on variants of new models within this. Bharat is one example, but there are many other examples across and within channels that we will test, pilot and scale as we see success. So that's the first part of your question in terms of where will the growth come from. On the IFRS part, I'm going to request Vishwanath and then I'll come back along with Ankur on the commission part.

Vishwanath Mahendra: Yes, in case of our long-term view on these

ratios, so what we can share with you is combined operating ratio or in case of IFRS, CISR, our model says it should be, let's say, 99% or so in FY '29. Now the breakup of this in loss ratio and expense ratio, it may vary, of course, depending on what is the channel mix, product mix, etcetera. But broadly, to indicate the loss ratio may remain stable or may inch up by 100, 150 basis points. And entirely, the saving will come from expense ratio. That 99% combined ratio will translate to mid-to-high teens ROE, which is close to 11% currently.

Supratim Datta: Got it.

Krishnan Ramachandran: And on commission, Supratim to your point, we await guidance from the authority in terms of how they would like to move forward. But our belief is that the single limit on expense of management has been an important and transformational change in the insurance industry. It's in line with what happened in the asset management industry where they have a total expense ratio and they manage costs, including acquisition costs within that. So, our belief and prayers to the authority continues to be around keeping a single limit of expense of management and maybe a glide path to lower that. That is our belief.

But look, I think what we have seen with the GST experience is that lower price, affordability does translate into volume and value growth and more robust proposition for customers. So, we are confident that whatever the authority comes up with we will make sure that the distribution is appropriately remunerated for the efforts that they make. And net-net, it will translate into continued strong momentum. If the answer is it makes the product more affordable. We've clearly seen that volume growth more than compensates for other aspects.

Supratim Datta: Thanks a lot for that. Just one last question. So, on the AUM growth, it seems to have slowed down in FY '26 versus the kind of growth that we have seen in the last 2 years. I wanted to

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understand, is there anything that needs to be taken into consideration when we're looking at AUM growth for the upcoming years?

Vishwanath Mahendra: Not really. It has to do with the raise of capital. So that's all. Otherwise, in terms of business, if you keep that aside, it is steady growth.

Supratim Datta: Understood. Okay. Thank you.

Moderator: Next question is from the line of Prayesh Jain from Motilal Oswal Financial Services. Please proceed.

Prayesh Jain: Congrats on great set of numbers. First question is just on the numbers front. There's some reversal of expense. Could you explain that; on the shareholders' account.

Vishwanath Mahendra: Which one you are referring to, Prayesh, you are referring to IFRS...

Prayesh Jain: No, GAAP. Indian GAAP.

Vishwanath Mahendra: Indian GAAP and you're referring to which statements.

Prayesh Jain: Shareholders' account.

Vishwanath Mahendra: Okay. Understood. So, what happened, till 31st December, we were slightly more than allowed EOM so we transferred from policyholder to shareholder account. Now for the whole year, we met that EOM limit, so now that was reversed. So now for the full year, there is no movement from policyholder to shareholder. And that's why the December number has been reversed. That's all. But this is optical only, there is a contra entry so it doesn't change anything.

Prayesh Jain: Got it. The other question was on the long-term policy, right? What is the contribution of long-term policy to the overall retail premium today? And how do you see that going ahead.

Ankur Kharbanda: So long term for us has been similar to what it was earlier years. In the last 2, 3 years, we have

been steady. Around 20% of our business comes from a long-term policy. And it's steady -- we've not changed our strategy on long-term policies.

Prayesh Jain: Got that. And we have seen a phenomenal growth

for the industry in the second half of this year

in FY'26. On that base, what kind of growth momentum should we see a normalized level growth

for the industry, which will stabilize at about 20%. So just thoughts out there once this base comes into picture, how should we think about growth for the industry over the medium term?

Krishnan Ramachandran: So at least our view on this has not changed, Prayesh, which is that on the retail side, 17% to 19% CAGR if you take a 5-year view. So broadly, that's where we think the industry growth rate will continue to be at.

Prayesh Jain: Okay. And the last question is on the channel mix. Banca again has been at the regulators' key focus areas and Banca decently contributes to our premium. Do you see any challenge there in the medium term?

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Ankur Kharbanda: So in fact, what we have today is a very diversified channel mix. In fact, if you would look at the numbers, our overall agency has -- mix has gone up by 1.5%. Banca remaining a little lesser than what our overall digital business has gone up in terms of our overall mix. We feel whatever changes -- one of the changes, exposure draft has already been there from RBI is that there are no changes which are happening on the banca side.

Commission side, I don't think so much change will happen on the business, so to say, specifically because we have a large amount of retail business coming, which we are sourcing along with the bank, which should not change there. In fact, our growth rate on retail business on bank is around 46% new business. And we have been consistently doing that.

Krishnan Ramachandran: I mean just to add, Prayesh, to what Ankur said, one is, of course, with banks, our emphasis is on retail through either branch banking or tele. And asset is cross-sell. So the point which Ankur made on RBI guidelines since a lot of what we do on asset is cross-sell, again, to that extent, it is de-risked.

Prayesh Jain: Got that. Thank you and wish you all the best.

Moderator: Next question is from the line of Sanketh Godha from Aventus Spark. Please proceed.

Sanketh Godha: So the first question, Vishwanath, if you can quantify your group health loss ratio for the year or the quarter would be useful.

And second is -- whether in the fourth quarter, whether there is any change in group health mix towards more indemnity, which expedited or corporate health which expedited your EOM compliance relative to compared to 9 months?

And lastly, from an IFRS point of view, if you can give your outstanding DAC number in the balance sheet broken down into both Retail and Group, if possible?

Vishwanath Mahendra: Sanketh, first Group Health loss ratio is around 60.5% for the year FY '26. Actually, entire IFRS accounts along with annexures and schedules will be available on our website most probably next week. So there we'll have all those details which you are mentioning third question. But what was the second question?

Sanketh Godha: Second was more on Group Health composition, whether it has changed in the fourth quarter.

Typically, we have two third, one third, that is one third is Corporate Health and two third is -- sorry, Banca-Based Health. So whether that number has changed or is it broadly the same?

Ankur Kharbanda: Similar, no changes as such, similar to what it was in the previous year as well and the earlier quarters.

Sanketh Godha: Understood. And lastly, if you can -- just wondering there is a kind of improvement in the Retail Health loss ratio every quarter. So basically, it is around 66.8%, and it has been improving every quarter from when you reported 1H it was 68.1%, then 66.9% and 66.8%.

So anything to read there whether this trend will continue? Is it more to do that you are growing a little more new business and mix changing in the favor of new is driving that number?

Or in

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general, have you seen frequency severities or even your claim management from hospital point of view played a role for this consistent improvement from 1H to FY'26.

Krishnan Ramachandran: Sanketh, one is -- this is Krishnan, and I'll request Vishwanath and Doc to add. But broadly, there is seasonality to our claims ratio driven by the post-monsoon infections. See, broadly, the way I would characterize our approach to claims ratio in general and specifically retail is we do

have a plan that we work off, right?

And that plan, as Vishwanath often says, does factor in for basis points worsening, if you will, on retail claim ratio, but more than compensated by operating leverage. So broadly, we are fairly comfortable with the level at which we are operating.

And in terms of target, I don't think we want to target the claims ratio that operates below where we are because you also have to understand that there has to be value to customers. There's a lot of regulatory and policy oversight around making sure that products are affordable

There's value to customer, etcetera, et cetera. So we are quite comfortable with where this is operating. And in terms of the underlying incidence rates, claim sizes, all of those are in line with our plan assumptions. That's how I would characterize it.

Sanketh Godha: The reason I ask, is that maybe on a year-on-year basis, it deteriorated 80 bps. I understand there is seasonality. But given deterioration is not that huge, but the kind of savings you made on cost is meaningfully very high. So I understand the point that on renewal, the costs are meaningfully very low compared to loss.

So overall combined might not change. But eventually, you ended up reporting a better combined. So just wanted to understand whether the quality of loss ratio compared to what you wrote last year in general in the product is improving or it is sheerly because the new grew very fast and that led to improvement. Because Opex also improved along with it. That is the reason I was asking that question.

Krishnan Ramachandran: So look, in terms of quality, our approach has been consistently around driving a lifetime value approach to every policy we write. So in terms of quality, nothing significant to indicate. In fact, the quality only continues to get refined and improved over time, Sanketh.

Sanketh Godha: Understood. And lastly, I don't know whether you will be comfortable giving this data point or not. Out of the total INR 6,582 crores from retail health, how much is fresh fresh? And within that fresh, how much is long term?

Krishnan Ramachandran: So look, in terms of new, let me call it new and renewal that mix is roughly 40-60. And in terms of port that ratio has been stable between 20% and 25%.

Sanketh Godha: Understood. And sorry, in the 40% of fresh fresh, how much would be long term? You said for the overall premium it is 20%. So just wanted to on fresh long term.

Krishnan Ramachandran: Broadly in that ballpark only, Sanketh.

Sanketh Godha: Okay. Thanks for your answer. That's it from my side.

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Moderator: Next question is from the line of Hitendra Pradhan from Maximal Capital. Please go ahead.

Hitendra Pradhan: So sir, my question is again on the same as for the previous participant. I mean, because the growth is also led by the fresh kind of premiums just wanted to understand, how the renewal book is performing in terms of claims ratio and those vintages what has been the performance in terms of the claims ratio.

Vishwanath Mahendra: So overall renewal book, we can share with you, and we have shared earlier also, that the combined ratio of renewal book is more like 97%, 98%, and we are comfortable with that number. And that's been steady this year, last year.

So that's something that we can share.

Hitendra Pradhan: Got it sir. So sir, you guided that the claims ratio would be more or less in the similar level going forward. So hence the question, I mean, because growth is also led by fresh premiums. So can we see that kind of inching up going forward -- so that's why the question, but yes, I will wait for your data and all?

Sir, the second question is on the expense ratio. You mentioned the benefit will come from the expense ratio side that would be in the order of 2% to 2.5%. So what are the levers for improvement that would be on operating leverage side or something else if you want to call out.

Vishwanath Mahendra: Yes. 2-3 levers. One is the business mix change, like you also mentioned new renewal. So the renewal has much lower cost, both cost of acquisition and cost of administering policies, so that's one lever.

Second is sheer economies of scale. The overheads, fixed overheads grow by inflation, let's say, 6%, 7% while GWP you have seen we are growing at last year was 27%. So that's second.

And third, a lot of investment has been made in technology, analytics, Gen AI. So that's also something which is helping to bend the cost curve. So these are the 3 major levers.

Hitendra Pradhan: Got it sir. The final one is on accounting if you can just explain a bit on the IFRS, NEP, like accounting versus, the NEP accounting as per 1/N. So, there seems to be, like, divergence, if you can give some qualitative color on how the IFRS, how to think about the NEP or the service revenue as per IFRS. I mean, that would be really helpful?

Vishwanath Mahendra: Sure. I can very broadly cover. So under IFRS, the top line is gross earned premium. So they don't have net earned premium. So it is gross earned premium and gross incurred claims and cost of acquisition as insurance service expense and the entire cost of reinsurance is given in one

line which includes premium we cede , the earning on that .
 It includes the commission we receive again amortize d and third, the claims we receive or going to receive on that premium. So this is how it works. So we have insurance service revenue, which is equi valent to gross earned premium.
 Second is gross insurance service expense, which includes gross incurred cla im and amortized commission or cost of acquisition.
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And third is cost of reinsurance and that leads to insurance service result and then we have overheads and investment results.

Hitaindra Pradhan : Okay, sir.

Moderator: Next question is from the line of Shobhit Sharma from HDFC Securities Limited. Please go ahead.

Shobhit Sharma: Sir, I have 3 questions. Firstly, on your average ticket size. So if I look at your average ticket size has grown by 4% at the overall level, which is lower than the overall grow th in the agency average ticket size. So just wanted to under stand this at the channel level?

As you've seen -- as you can see the long -term policy seems to have taken a toll on this. So -- and one of your large distribution partner has been focusing more on the rider attachment increasing sum assured . So, ideally, this growth should have been in line with the agency channel growth, or should have been ideally higher. So, what has led to this company level, it is being lower than the -- it is growth being l ower than the agency channel growth?

Secondly, if I look at your number of lives which has grown by 25 -odd percentage, so can we split that growth into Retail and Group business? Just wanted to understand that how much of the Retail business growth has bee n driven by the new lives.

And sir, lastly on your IFRS numbers. So when I went to your 9 months view, you had recognized losses from the onerous contracts on the Group side. I'm assuming you would have again recognized those losses on the 12 months number when the sc

hedule comes out. So can

you help us understand what's our approach or strategy or the need for underwriting these onerous contracts?

Ankur Kharbanda: Sure. Let me answer the first 2 questions, and I'll ask to Vish to answer the third one. Let me first attempt to answer the second question first. Overall growth for the organization was 35% and volume growth out of this is 24% . So we have not just grown on value. Volume growth has been very consistently up and it is at 24%.

On ticket size, on your question, you are relating it to some other data point, but let me tell you one more data point. Last 6 months versus first 6 months, the ticket size has grown by almost 14%, 14.5%. That's the big ticket size jump, largely contributed by GST, both on fresh business and renewal, which ultimately helps us with a better premium per life and helps us in bette r overall profitability for us.

Has it grown in some channels? In all retail channels, it has grown consistently, not looking at -
 - I do not have the split of channel wise. But if you just look at the retail channels, all of our channels have grown in the ticket size, both on fresh and renewal business. I'll ask Vish to to answer the third one .

Vishwanath Mahendra: Sure. And again, just to add the avera ge ticket size and GWP per policy sold by agent, the difference is not only other channel, it is also Group and Retail. So the first line is all put together,
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which has B2B, B2B2C. So more relevant is the GWP sold by agent, which is primar ily -- which is actually retail

And Ankur has anyways clarified the growth in ticket size. On 31st December, yes, there was loss component. And around equal amount was there last financial year also. So as such there is no impact of that in last financial year , because pre vious financial year also similar number was there. And there was no loss component in last quarter. In fact, if at all, it was unwound.

Shobhit Sharma: So Vishwa, just wanted to understand what's our strategy ? What is requiring us t o write these onerous c ontracts?

Vishwanath Mahendra: Yes. So actually, the se -- if we create a loss component on onerous contract, it is not necessarily that these are unprofitable. So, the concept is we need to consider expected loss ratio , all expenses and risk adjustment.

So, assume that you are writing an account at 100% COR and investment income is your profit, let's say, in this example, still you need to create loss component, let's say, if you ar e taking risk

adjustment of 5%.

So, anything which is, let's say, 95% or above, you need to create loss component on that. So it's not necessarily that this is loss-making. It is just that IFRS says if it is after risk adjustment more than 100%, then you upfront create provision for that. And during the policy cycle, you keep unwinding that. That helps Shobhit?

Shobhit Sharma: Yeah, Thank you.

Moderator: Thank you. Next question is from the line of Nischint Chawathe from Kotak. Please go ahead.

Nischint Chawathe: Hi, on the incurred claims amount of around INR 5,000 -odd crores, can you break this between actual claims and claim management expenses?

Vishwanath Mahendra: So claims management expenses generally is 3% of 1/n GWP, Nischint.

Nischint Chawathe: And the ratio remains similar this year, is it?

Vishwanath Mahendra: Yes, it's similar. Just that number has changed.

Nischint Chawathe: Got it. So if I sort of look at the net claims ratio that kind of moved up from around 59.4% to around 61.3% for the year. So how should we read this ratio? Any specific reason why how would you interpret this ratio and the rise? And how do we see this going forward?

Vishwanath Mahendra: And you are referring to IFRS numbers or?

Nischint Chawathe: IFRS, all IFRS numbers.

Vishwanath Mahendra: So IFRS results, loss ratio.

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Nischint Chawathe: Yes, I'm just saying you look at net claims ratio, that is net of claim management expenses. I'm saying you know that sort of moves on from 59.4% last year to 61.3%. Yeah sorry.

Krishnan Ramachandran: I think the better thing is to look at retail because the mix between retail and group can explain other changes. So if you look at retail per se, that's the better answer explanation for you to give.

Vishwanath.

Vishwanath Mahendra: Yes. This is not really increasing that much. It is similar just that in quarter 4, yeah, the increase in reported number may be higher, but the way you are calculating, that should show a very small increase, Nischint.

Nischint Chawathe: Got it. And the entire claims management can be, I mean, it has to be sort of a proportioned equally you know on a pro rata basis between retail and corporate? Or would you kind of allocate everything to retail?

Vishwanath Mahendra: No, no. We allocate in the proportion of claims.

Nischint Chawathe: In the proportion of claims. Got it got it thank you very much.

Moderator: Thank you. Next question is from the line of Prayesh Jain from Motilal Oswal Financial Services. Please go ahead.

Prayesh Jain: Hi thanks for the opportunity again. Just on the hospital bit you mentioned that I think some 2,000-plus hospitals are kind of empanelled on the various measures on protocols and infections, standard procedures for infections that have been taken. Are these large hospitals could you give us some colour as to what kind of hospitals, have these tied up with any large chain, has kind of come on board? Because since the number is still too small, what are the large chains talking about this? And when do you see the benefits of this kind of coming in for the industry and for Niva?

Krishnan Ramachandran: So Prayesh, as I mentioned, when we first started this initiative, broadly the common empanelment, what we wanted to drive as an industry is a critical mass of hospitals to be signed up. And we consciously chose to leave out the top 20 groups you know? And maybe we will have a different strategy for the top 20 groups.

So the emphasis is on outside of top 20 and 2,500 that I referred to would be outside of the top 20-odd. And the idea is to get to maybe 5,000 in the next 4, 5 months. We have ironed out all of the operational topics around common empanelment, we now have our tech platform, etcetera, etcetera.

In terms of benefits, look, the industry will to the extent that we have claims flow to these setups, the industry already is seeing benefits from this initiative and also certainly benefits from the initiatives around standardization because as I mentioned, a good part of the cost when it comes to claims is captured in the care pathway.

So the treatment choices that get made fundamentally determine what will be the length of stay and the average claim size. And as we standardize that, that is a significant positive impact to

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the industry. So I just want to reemphasize how important that is. Dr. Bhabutosh wants to say

something.

Bhabatosh Mishra: Yes. Prayesh, thank you for your question. The first expectation on a big mandate is to enhance access to hospitals for every insured person. And from that point of view, in Phase 1, the midsize and other hospitals have been focused on. So that access goes up because the top 20, as you know, are already a part of almost every insurer's network or TPA's network. It's a mid-segment where more focus has been done to enhance access to claimants insured population. The protocols that Mr. Krishnan mentioned about and which you asked are applicable to all providers, across the length and breadth of segment of providers in the country, which basically in interest of consumers in b

ringing transparency, in getting right treatment for right conditions at right severity, it will be very beneficial to market in general. And specifically, it would also have a bearing on cost optimization when it comes to claim cost by rationalizing the treatment, optimizing the treatment protocols.

Krishnan Ramachandran: Doc, maybe you can make that real with robotics as an example, right?

Bhabatosh Mishra: Yes. In robotics, for example, with the advancement of modern medicine, robotic is available. Although globally, what is followed is very robust, what you call is health technology assessment or health economic evaluation, basis that robotics get incremental health benefits but at appropriate cost. When that protocols are applied globally and now increasingly in India, as we discussed and Mr. Krishnan mentioned earlier, would mean that how much incremental benefit robot usage against conventional laparoscopy usage in a particular surgery is gained and what is an appropriate cost for that for the gain in many surgeries, you will find, for example, small, small surgeries like fibroid removal, et cetera, robot incrementally does not add much health benefits, but it costs, comes at possibly a significant cost, which is not appropriate to the benefit gain. Those are the issues and protocols through HT and H EA that are getting addressed gradually.

Prayesh Jain: But just a follow-up on that. Do you think this would lead to kind of more challenges with customers on the kind of treatment that the hospital would suggest and what the customer would want and what the insurance company is going to settle for?

Bhabatosh Mishra: In fact, Prayesh, I think this is in interest of consumer mostly because then the consumer would be very much aware that what is the appropriate care and treatment for him or her. And transparency in health care practices will set in helping consumers make the right health decisions for self.

Krishnan Ramachandran: And look, this is something that is globally, a journey that many, many mature markets now practice to a very large level of maturity. This is a journey that has begun in India. For example, the initiative on infections, where we standardized admission criteria for 7 infections. It has now been live for 9 months. And I think there's been a net benefit in terms of transparency and see customers understand, what, customers don't want is surprise.

I think this eliminates surprise all sides, right? So in all these initiatives, clearly, there's communication out to hospitals, there's communication out to customers. And when there's a Niva Bupa Health Insurance Company Limited
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claim, then there's less and less surprise when we take a position on why we, because you know everybody has been informed on why we are doing what we are doing. And then, of course, some customers may still choose to pay out of pocket and undergo a certain treatment, but then it's not a surprise.

Bhabatosh Mishra: These are very evidence based. There is enough and more literature even within the country that is available. And all these are based on very, very scientific evaluations by very appropriate government and nongovernment authorities.

Prayesh Jain: Got that. Any development on the national digital health mission that was picking up some momentum until some time back. Now we don't hear anything about it. What's happening on that? And in fact, that was supposed to help the outpatient insurance as well. So where is that? And how is that kind of shaping up for the industry?

Bhabatosh Mishra: Thank you, Prayesh. In fact, there is renewed focus and energy around some components in a phased manner on the national digital health mission. I would perhaps give you an example of the National Health Claims Exchange, where both payers, providers have come together to adopt it in a meaningful, in a very big way. Those w

orks with various industry bodies through the regulator and other agencies, including NHA, GIC is on. And there's a lot more work that is being done, which is likely to see very positive results fairly sooner than later.

Prayesh Jain: Got that. Last question, if I look at commissions on the Indian GAAP numbers, that commission ratio has come down sequentially in spite of the mix moving towards retail health and fresh business. What explains that?

Ankur Kharbanda: Largely, this is 2 things. One, the senior which we rolled out from 1st of April last year, the reduction in commission on the senior. And second is on the GST impact as well. So both of these are the reasons why this has gone down.

Prayesh Jain: Okay thank you.

Moderator: Thank you. Ladies and gentlemen, as there are no further questions from the participants, I now hand the conference over to the management for the closing comments.

Krishnan Ramachandran: Thank you very much. I appreciate you taking time on a Friday evening and for all your questions. If there's anything further, please do feel free to get in touch with us through

Himanshu. Happy to address any further questions any of you may have. But thank you once more, and have a happy weekend.

Moderator: Thank you, sir. On behalf of ICICI Securities, that concludes this conference. Thank you all for joining us, and you may now disconnect your lines.